

Apollo Tyres Ltd. (APOLLOTYRE)

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Call: May 2023

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TL/ SEC/ 21 May 17, 2023

The Secretary,
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BSE Ltd.
Phiroze Jeejeebhoy Towers,
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Sub: Transcript of Analyst/ Investor Conference Call

Dear Sirs,

Pursuant to Regulation 30(6) and 46(2) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we wish to inform you that a Conference Call for the analysts and investors to discuss the financial and operational performance of the Company for Q4 FY23 was held on May 10, 2023.

Please find attached herewith the transcript of the aforesaid call. The same has also been placed on the website of the Company <https://corporate.apolloytyres.com/investors/ir-updates/>

This is for your information and records.

Thanking you,

Yours faithfully,

For Apollo Tyres Ltd.

(Seema Thapar)

Company Secretary & Compliance Officer

Apollo Tyres Ltd Q4 FY23 Earnings Call

Ronak Mehta: Good evening, everyone. My name is Ronak Mehta. I welcome you all on behalf of JM Financial Institutional Securities to this 4Q FY23 Earnings Call of Apollo Tyres.

We have with us today, Mr Neeraj Kanwar, Managing Director and Vice -Chairman of Apollo Tyres. And we also have Mr Gaurav Kumar, Chief Financial Officer, and the IR team.

So as we always do, we will start the call with a brief opening remark from the Management team, followed by a Q&A session.

So with that, over to you Mr Kanwar. Thank you.

Neeraj Kanwar : Thank you. Very good morning and good afternoon to my fellow colleagues. We are very pleased to provide an update on our company's performance and our outlook. I'm happy to share that despite challenging environments, the team has delivered yet another excellent quarter. I believe we are firmly on track to achieve our medium and long-term vision goals as we continue to work on key pillars.

I will touch upon these in the remaining part of my comments. Coming to our performance, we reported a double-digit YoY growth in consolidated revenues, helped by growth in topline across other geographies.

More importantly, we reported a strong improvement in our operating performance, helped by improved sales mix and tight control over costs. I am confident that we will be able to sustain the momentum in the near term and we'll continue to have a far

more efficient, balanced, and resilient business model in the medium -to-long term.

We are performing better than our peers in the respective markets. Example, in India, we are reporting higher margins than all our relevant peers on a consistent basis. In terms of outlook, we are seeing healthy demand in Indian market . In the replacement segment, we are starting to see recovery in CV segment.

Coming to Europe, we expect the demand to remain soft in the near term . Despite the adverse demand environment, we expect the U S market topline performance to be healthy in the near term.

However, more importantly, I expect the momentum in operating performance to continue in the near term , driven by subdued raw -material prices and consistent focus on our costs.

Let me now talk about key pillars for our Vision '26, and as always, highlight some of the work done by the teams in the boardroom.

Starting with R&D, we continue our focus on new product development and launches. During the quarter, we launched Vredestein Pinza AT in India. In Europe, we are working on commercialisation of our electric vehicle range. In terms of tyre technology, the team is focusing on incorporating technologies like s

ilent tyres and puncture -resistant tyres. During the quarter, the team also showcased a sustainable concept tyre made from 75% sustainable material.

Moving to Digitalisation, we continue to work on new age technologies as we optimise our current process technologies and prepare for our future. Apollo Tyres now has a single data lake, which is underpinning all of our AI and ML initiatives. The data lake, Industry 4. 0 technology and the newly set up Digital Innovation Centers will play a very key role in helping deliver our ambitious project of maximising our asset utilisation and minimal capex.

For example, leveraging new -edge technologies like AI and ML, we have been able to increase our efficiencies of mixes by high -single -digits. This in turn has helped us reduce energy consumption also.

Coming to sustainability, the team continues to scale new heights as we go ahead. I'm happy to share that our work on this front is also being recognised by external agencies. The Company has recorded a significant improvement in sustainability ratings. We recently registered improvement in S&P Global ESG score with Apollo Tyres now getting in the top 18% of the companies compared to being in the top 35 % companies as of last year.

Similarly, our Carbon Disclosure score has also improved from a D rating to a B rating. In case anyone of you needs more details with respect to these ratings, please get in touch with the IR team. Further, value chain extension of the business and with this commitment, the company has adopted the ISO 20400 social responsibility framework for its supply chain . As part of this framework, 79% of the total raw material by value was sourced from ISO certified suppliers globally.

Finally, reaffirming our commitment to becoming carbon -neutral, the Company has achieved a reduction of 8% in its Scope 1 emission in FY23 , as compared to the previous financial year. This is mainly due to some of our manufacturing plants using non -fossil

fuels such as biomass in place of coal. Talking about the Brand , we continue to invest in brands across our key geographies.

To start with, in India, we launched a new television commercial, "Have a wonderful day." We were able to increase our reach and create high recall for the business. The team also worked on a campaign with our brand ambassador, Sachin Tendulkar , which was launched in Quarter 1 of FY '24.

To further strengthen our rural franchise, we closed the year with INR 42 lakh square feet of wall painting and participated in one of the biggest rural sports initiatives Qila Raipur. During the quarter, we also partnered with Telangana Government for the e-Mobility Week .

Coming to Europe, we celebrated 30 years as pioneers in the all-season tyre segment. We launched Quattrac Pro EV, the first all-season tyre designed for electrical vehicles. We also sponsored FIS World Ski Championships in France, in the month of February of 2023. This was broadcasted on national TV in our key strategic markets, reaching an audience of over 100 million viewers across Europe and the US markets.

Finally, the last pillar of our strategy is People. We have started our journey for hiring women at shop floor as well . Our Baroda plant has pioneered this journey of hiring women workers in its two-wheeler plant this year. In March 23, we celebrated the International Women's Day across all our operations, strengthening our commitment to diversity and inclusion.

We continue to focus on employee learning and development and have partnered with IIM Bangalore , for our middle-management programme.

As always, we are keeping a close watch on the markets and our costs. We will continue to be judicious about capex , and we'll continue to focus on ROCE and free-cash flow generation.

With this, I conclude and thank you all for co

ming. Thank you. Over to Gaurav.

Gaurav Kumar : Thank you. Neeraj, and good afternoon , ladies and gentlemen. Continuing from where Neeraj left, let me give some further details of operations for the last quarter.

In India, we continue to see healthy demand momentum in the OEM segment. The volumes in the replacement segment were flatish . More importantly, we were able to maintain the price advantage gained in the last few quarters. Robust pricing along

with tight control over costs helped us report a very healthy improvement in EBITDA margin, about 300 basis points from the sequential quarter and a 650 basis point year-on-year, and a healthy free cash flow.

There was an increase in capacity utilisation. We are now at level that is little below 80% capacity utilisation in India. In terms of outlook, while the volume growth is expected to remain muted in the near term , we are seeing signs of pickup in the replacement demand. Given our strong focus on business fundamentals, cost-control, and free-cash flow generation, we expect the operating performance to remain strong in the coming quarters.

Coming to Europe, the market was subdued with passenger car and truck industry volumes showing a negative growth for the industry. Despite this challenging environment, we registered Y-o-Y improvement in topline and a 270 basis points improvement in margins, both sequential quarter and year-on-year basis.

Our UHP to UHP mix continues to remain at healthy 43%. In terms of the outlook, the industry is expected to remain sluggish in the near term. However, we expect the market pick up to start coming through in the second half. We expect the operating performance to remain healthy, helped by the benign raw material costs and focus on cost control.

Moving onto financial results, the consolidated revenue for the quarter stood at INR 62.5 billion, a growth of 12% over the same quarter last year. The consolidated EBITDA for the quarter at INR 10 billion, was a margin of 16%, compared to 11.2% in the same period last year, and 14.2% in the previous quarter.

Coming to the balance sheet, we have been able to improve our leverage ratios given the focus on cash flows and profitability. The net debt-to-EBITDA for the consolidated operations was at 1.4x.

We crossed the double-digit mark for ROCE in this fiscal year. If you look at just the fourth quarter alone and annualise the same, the ROCE is now at a very healthy level of 13.4%.

In India Operations, the revenue for the quarter was INR 43.7 billion, a growth of 9.5% over the same quarter last year and 3% on a sequential basis. The EBITDA for the quarter at INR 7 billion, was a margin of 15.9% compared to 9.4% in the same period last year, and 12.9% in the previous quarter.

Moving onto European Operations, the revenue for the quarter was a EUR 177 million, up 5% compared to the same period last year. Despite this challenging environment, we've been able to gain market shares in key product segments like passenger car

tyres. The EBITDA for the quarter for European Operations was EUR 32 million, a margin of 18.1% compared to 15.4% for the same period last year and the same number for the previous quarter.

We will continue our focus on the free-cash flow. The capex for this coming year would be a very limited, INR 11 billion, out of which INR 6.8 billion would be for India Operations. We will continue to drive improvements in ROCE and expect to start reaching our vision target parameters in this fiscal year on a full-year basis.

With this, I conclude my opening comments. We would be happy to answer your questions.

Question-and-Answer Session

Ronak Mehta : Thanks, Gaurav. We have the first question from Binay Singh. Binay, your line must be unmuted. Please go ahead.

Binay Singh : Hi,

team, thanks for the opportunity. Just a follow-up from the opening remarks. You made a point that replacement is flat in India. Could you give us sense about CV replacement and PV replacement because I believe both declined by around 8% in December quarters. Are both flat now?

The second point is that in our presentation, you said that mix improvement will be one of the drivers for margin in FY '24. Could you share a little bit more details?

And lastly, on Europe side, how are inventory levels now? You had earlier highlighted that inventory in Europe is high and needs to come down. So, if you could comment on that. Thanks.

Gaurav Kumar : So, Binay, on your first question on the replacement side, we have seen a pickup in TBR replacement. So, the volumes were up in double-digits compared to the same period last year. Even sequentially, TBR replacement was positive. So, we are seeing fairly good signs of pickup in TBR replacement demand.

Passenger car was negative. Passenger cars had a negative double-digit in the replacement segment in the current quarter. But it has been made up by good growth on the OEM side.

As for your second question on mix improvement, it's a very important driver that each operation is focusing on. To give you some examples, for example, in Indian Operations, in passenger car tyres, we continue focus on sub-brands, which are more premium. We continue to move away from the lower rim sizes to

higher rim sizes. If 10 years back, our largest selling size was a 12-inch, it moved to 13-inch and now that's between 14-inch and 15-inch sizes.

Europe inventory, yes, we have continued to correct it. The only product category where the inventory is still a little bit high is the agricultural tyres, where the demand was weak, but largely on the passenger car side, the inventory has been corrected.

Binay Singh : Okay, great, thanks, team. I'll come back in the queue.

Gaurav Kumar : Thanks, Binay.

Ronak Mehta : Thank you. We have the next question from Ashutosh Tiwari. Ashutosh, please go ahead.

Ashutosh Tiwari : Yeah, hi, and congrats on a very good set of numbers. Firstly, on the demand side, you mentioned that TBR grew in double digits. What about the bias segment in truck?

Gaurav Kumar : Bias segment was flat, Ashutosh.

Ashutosh Tiwari : Okay, that's not declining, okay. And exports, how was decline their Y-o-Y?

Gaurav Kumar : Exports, we had a significant decline. Overseas markets have been tough. So, overall -- just a minute. I will let you know. Overall, export volumes were down nearly 30%.

Ashutosh Tiwari : Okay, and OEM grew how much?

Gaurav Kumar : OEM grew by nearly 20%.

Ashutosh Tiwari : Okay, can you throw some color around that you mentioned that overall India utilization is less than 80%. But can you provide segment-wise, the PCR, TBR, TBB and all, how much utilization levels?

Gaurav Kumar : Just one minute. Currently, PCR utilization in India is about 80%. TBR with this pickup in demand went up to 85%.

Ashutosh Tiwari: Okay. So whatever capex -- like whatever capex we plan of INR 680 crores in India, what will be that towards, like say, this is maintenance plus something -- some growth capex also there?

Gaurav Kumar: No, there is no growth capex. It is maintenance. And as we've highlighted, we continue to invest in areas of digitalisation, sustainability, etc. So there is no -growth capex planned. Based on the correct utilisation levels, as I mentioned, which are below 80%,

we'll have sufficient headroom to cater to the growth of the market.

Ashutosh Tiwari: But TBR is higher so can we increase capacity through debottlenecking and all in TBR?

Gaurav Kumar: We are undertaking productivity improvement programmes across categories. Neeraj has time and again

mentioned that we are looking at AI, ML, etc., to drive improvements in capacity. And hence we believe that, that itself will provide the cushion if the market growth is beyond a certain level. But as of now, there is no growth capex planned for this coming year.

Ashutosh Tiwari: Okay sure. And lastly on the RM side, how much increase will there be in Q1 or it will be flattish kind of thing?

Gaurav Kumar: We expect the RM situation to be flattish in Q1.

Ashutosh Tiwari: Okay, thanks. Thanks a lot.

Ronak Mehta: Thank you. We have the next question from Pramod Kumar. Pramod, please go ahead.

Pramod Kumar: Yeah, thanks a lot for the opportunity. My first question is on the business outlook in terms of growth, both in Europe and India because the OEM growth has been a big support for us last year in the Indian market and replacement in Europe. But both are expected to see a meaningful moderation this year.

So given this, how should one look at demand on the volume side for both the markets and in that context, how should one expect the industry to behave given the excess of the normalised margins which are back?

Is there a risk that we could see some deterioration in the pricing environment, especially in the replacement Europe side for Tier 2 brands and in India across most of the brands? That's the first question. Thank you.

Gaurav Kumar: Yeah. So on second part of your question, there is no growth capex planned by any of the peers that we've heard of. So to that extent, the capacity utilisations with the growth that is going to come in the current year is only going to improve. So we don't expect a capacity surplus situation to be worse than what it is today and the pricing environment has held up.

The first part of your question, we are aiming to see pickup in the replacement demand. Early days in the current year, we believe that we should be seeing decent growth numbers, not a heavy growth number, but we should be having growth of high-single-

digits to a double-digits, which would be largely volume-led in the current year.

Europe, it's still a bit of a wait -and-watch. And as mentioned in the opening commentary, probably one or two quarters away from demand coming back.

Pramod Kumar : Thanks, thanks, Gaurav. So, in a way if everything goes fine, commodity basket remains steady, I think we should be able to -- the industry should be able to sustain the margins what we've seen in 4Q. Is that a fair understanding, sir?

Gaurav Kumar : Pramod, we do not give out margin guidance. But yes, the raw material situation is -- the outlook is stable and at least as of now, we are not looking to take any pricing action.

Pramod Kumar : Fair enough. And second question, Gaurav, is on the balance sheet given the kind of improvement in profitability what we're seeing, how should one look at say FY '25 balance sheet numbers for Apollo in terms of -- what is the deleveraging target you have there? If you can help us understand that.

Gaurav Kumar : From a long-term vision stated, Pramod, we are already well below that which was the 2x, which was set up as an upper cap. Based on the current plans, we will continue to deleverage because even in the current year, as I mentioned, there is a limited capex. We will be free-cash flow positive.

A little early to say for FY '25. We need to see at least for a couple of quarters as to how it unfolds. But the focus on being free-cash flow positive, focus on even further upping the ROCEs from current levels will continue. So we expect the balance sheet strength only to improve, including the leveraging parameter that we mentioned.

Pramod Kumar : Thanks a lot, Gaurav and wish you guys all the best. Thank you.

Gaurav Kumar : Thanks, Pramod.

Ronak Mehta : So next is Siddharth Behra. Siddharth. Please

go ahead. I think he left. Next is Jinesh Gandhi. Jinesh, please go ahead. Jinesh, your line is unmuted. Please go ahead. I think we can't hear him. Okay, Siddharth is back. Siddharth, your line is unmuted, please go ahead.

Siddharth Behra : Yeah, sir. Can you hear me now?

Gaurav Kumar : Yeah, Siddharth.

Siddharth Behra : Yeah, thanks for the opportunity. And, sir, congrats on achieving some of the vision targets, the margins and ROCE sides. Sir, I have a question on the revenue part of that vision that we had expected to touch close to \$5 billion by FY '26. So given the current outlook now on the growth side and commodity, do you think that also remains on track or do you think there can be some changes to that?

Neeraj Kanwar : Yeah, so Siddharth, I don't think we are so concerned about the \$5 billion revenue target. My main focus remains on balance sheet ratios and on improving EBITDA margins. Our target is to get to \$5 billion, but I think first comes ROCE, free cash flows, my net-debt numbers what we have already mentioned in our vision statement. So that's very important for us.

Siddharth Behra : Understood. And sir, second on just a clarification on the capex

side, you mentioned about INR 6.8 billion capex for the India business. So, close to INR 4 billion will happen then in the Europe business. Is that the right assumption because then it's much higher than what we have seen in the past ?

Gaurav K umar : You are right, Siddharth, the number is a little higher than what we've seen in the past, but it's also because when in the first half , the margin profile, etc., was looking tougher , we curtailed on some capex. So , Europe actually spent less . And to that extent, there is a capex rollover. And that's why the number is a marginally higher number.

Again, in Europe , there is no growth capex happening . It's only maintenance capex, molds, and investment into digitalization or sustainability.

Neeraj Kanwar: Part of this would also be R&D. So part of the INR 400 crores would also be towards R&D.

Siddharth Behra : Unders tood. That is probably the sustainable number to look at? Will that be the right assumption for Europe now ?

Gaurav Kumar : The sustainable number should be slightly lower than this. This is also more of a rollover effect. So, I would say the numbers should be slightly lower than this number.

Siddharth Behra : Got it , sir. And lastly , sir, on the outlook side, you mentioned high single-digit growth for the industry. So, I mean, how do you look at the exports, because we also wanted to grow exports meaningfully and last year there was not much change on a Y-o-Y basis. So, can you just talk about the areas where you are looking to grow exports and if you have any number of growth for this year ?

Neeraj Kanwar : So Quarter 1 is going to be a bit challenging. But as Quarter 2 comes in now, so our main markets are Europe and the U S and Middle East. All of these markets in the month of April were a bit low. But we are seeing May-June pick up is happening. And so I'm pretty sure thereby in the H1, we will have covered up our last year figure. And we will be close to our budget for H1. So , only Quarter 1 remains a bit challenging, but I'm seeing all the three markets will open up as we go along.

Siddharth Behra : Got it. And sir, I have some housekeeping questions on the volume side. What will be the overall volume growth with the standalone business in Q4?

Gaurav Kumar : The overall Q4 number is flattish on volume, Siddharth.

Siddharth Behra : Flattish y-o-y, okay, okay. And the Reifencor income numbers, the revenue and margins if you can share.

Neeraj Kanwar : Just one minute. So Reifencor for this quarter reported EUR 35 million revenue. And just a small positive on the EBITDA margin. For the full-year, R

eyfencor numbers were at EUR 208 million turnover and a 4% EBITDA margin .

Siddharth Behra : Got it, sir. Thanks a lot. I will come back in the queue.

Ronak Mehta : Next , we have Jinesh Gandhi. Jinesh, your line is unmuted. Please go ahead.

Jinesh Gandhi: Yeah. Am I audible now?

Gaurav Kumar : Yeah, Jinesh.

Jinesh Gandhi : Yeah, my question pertains to the replacement demand in India. We are indicating about high single-digit to low double-digit kind of a growth in FY '24. So what is giving us this confidence of this kind of a growth, especially considering that most of the segments are either sluggish or at very early stage of recovery ?

Neeraj Kanwar : The indication, Jinesh, we have got it from the OEMs. The C V cycle is back, also the passenger car segment is coming back. So, we are seeing good numbers coming in both CV and PV. Agri is yet to pick up but season is coming in. And as you know, we've had delayed rains. And so, we do believe that Agri will be a good season.

So given that -- thus given the infrastructure spend that is going on in India, that is going to drive the economy, that is going to drive all the segments. So, we are very optimistic about all the three segments coming into the replacement and you will see in Quarter 1, there will be volume growth, as well as revenue growth.

Jinesh Gandhi : Okay, okay. And secondly, can you talk about our market share trends for the fourth quarter ? Have we seen increase in market share in India as well or it was largely restricted to Europe?

Gaurav Kumar : We would have gained some market share on the TBR side. PCR, we probably would have underperformed a little vis-a-vis our competition as we held onto the prices. So, it's a mixed bag. Even if we look at what our peers have announced, our revenue growth is probably 100 to 150 basis points behind them. So, there might be a small decrease in overall market share.

Neeraj Kanwar : Jinesh, you have to keep in mind that we are -- our whole focus is moving towards profitable sizes. Like Gaurav mentioned earlier, our product mix is very important. So, we are looking at what sizes we need to focus on and what sizes we need to get out from in all segments of guidance.

And so therefore, while I do look at market share, my main focus is still remaining on profitable growth. And so only profitable products are what we are looking for. That then drives my ROCE, that drives my asset utilization, which drives a lot of my balance sheet ratios. So the entire focus of the company like I've been saying also for the past 18 months to two years is driving growth, but profitable growth.

Jinesh Gandhi: That's very good to see. And last question pertains to the India Operations. We have seen a substantial increase in other expenses in the fourth quarter on a Q-o-Q basis, as well as Y-o-Y basis. So, is there any one of the re or bunching up of rent related expenses. Can you clarify that?

Gaurav Kumar : Well, there was no one-off. There were spends on brand promotion, particularly advertisement and publicity, etc. It is to drive building up the brand. There are no one-off specifics.

Jinesh Gandhi : Sure, and lastly, can you quantify the RM cost savings which we saw in 4Q?

Gaurav Kumar : The RM basket came down by 6% year-on-year, and sequentially it came down by 8%.

Jinesh Gandhi: Got it, got it. And no price increases in this quarter as well, on the

replacement side.

Neeraj Kanwar : No

Jinesh Gandhi : Great . Thanks , and all the best.

Gaurav Kumar : Thank you, Jinesh.

Ronak Mehta : Next is Aryn Pirani . Aryn, please go ahead.

Aryn Pirani : Hi, can you hear me?

Gaurav Kumar : We can hear you.

Aryn Pirani : Yeah , my first is actually a small accounting question. In the Others segment in the segmental reporting, we've seen

EBIT actually turning significantly negative from positive, which is actually reducing the strength of the consol. So is there something happening there? Is it a one-off? If you can just help us with that.

Gaurav Kumar : So Aryn, this is largely related to some of the overseas markets. In US, as the market slowed down, we were trying to make sure that we liquidate some of the inventory and don't build up the inventory. So the US Operations had a significant reduction as we wanted to make sure that there is not just pushing up of sales and that had a certain scale effect.

Also, as we focused on inventory , the other big region is Singapore, which is a purchasing entity. That also had a fixed scale effect in terms of reduction in revenue sides and that is what has caused this thing. It's a one-off for this quarter and it will normalise going forward.

Aryn Pirani : Okay, that's helpful. The second question is on the ROCE. So as you mentioned, this quarter you have already sort of hit the midpoint of your vision '26 range of 12% to 15%. So , my question is given whatever we have discussed till now regarding next year and the kind of free-cash flow you're expecting, do you think that there is a potential that the 15% upper-end can be beaten or do you think that there are potential risks which can keep you within this range?

Gaurav Kumar : Well, I mean, the attempt would be the kind of progress that we've made over the last two years from a number which was mid-single digits to now, getting into our vision target range. The attempt would be to get to the higher end of that range or even breach it. The intention is not to be satisfied because we said the 12% to 15% range to be there.

It will depend on market conditions. But as highlighted by Neeraj, the operations are all now focused on the key financial parameters like ROCE, free-cash flow, etc. And yes, if the market conditions remain favorable and given our spend on capex, etc. , we could reach even the upper end of our target.

Aryn Pirani : Thanks. Thanks. Actually, the performance is actually quite great because when the 12% to 15% target was given, actually, it

seemed very difficult to achieve. And we've already hit the midpoint.

But if I could just extend the argument now, obviously this year capex was below INR 800 crores. Next year, you're saying INR 1,100

crores, which remains significantly below the INR 15 billion to INR 20 billion rupees that we had seen in the previous three to five years. Now, I'm guessing that at some point in time you will have to come with some growth capex because as the utilization picks.

So, I'm not asking for a guidance, but how should we think about what can be the quantum of that capex whenever it comes and how should we think about beyond -- assuming that demand environment remains stable, there are no big positive or negative surprises, like how big can that be and how should we think about the timelines?

Neeraj Kanwar : So, I want to tell you one thing, Aryn, that right now I will not even think about that. As I mentioned in my opening remarks, we are going for the next at least two years on a capex light model, which would be mainly maintenance capex and IT digitalization related and sustainability related. So, you will see the range of what Gaurav has already mentioned, in that range going forward.

: When I need growth, all the capex that we're putting in now in digitalization, AI, machine learning is going towards enhancement of productivity. And that's why we are looking at a capex light model to try and see how we can free up more capacity in both PCR and in Truck Bus Radial and that's how the growth is going to come. When I need -- I'm not even going into looking at a brownfield expansion right now because the entire focus is on enhancing productivity and

bottlenecking some of our plants.

Aryn Pirani : That's quite helpful, sir. I am hoping to see the 15% number soon. Thank you.

Neeraj Kanwar : 15% would be -- like you said, in all likelihood we should reach the 15%.

Aryn Pirani : All the best, sir. Thank you. Thanks a lot.

Neeraj Kanwar : Thank you, Aryn.

Ronak Mehta : Thank you. Next is Basudeb Banerjee. Basudeb, please go ahead.

Basudeb Banerjee : Yeah, thanks, congrats for the great set of numbers. Few questions, starting one for Gaurav. If I look at your consolidated balance sheet numbers, your receivable numbers look quite elevated Y-o-Y. If it was normal, your FCF would have been much higher. Is that a right observation, Gaurav?

Gaurav Kumar : Ravi, do you want to comment?

Ravi Shingari : So that is basically in -- under the accounting norms, it's more of an accounting entry. There is nothing which is hiding onto the receivable balance. So under some guidelines, we have to reclassify certain adjustments and that is reflected in the accounting balance.

Basudeb Banerjee : So just to understand that the receivable days now on this new normal, such accounting is a one-time treatment or that is going to remain at this receivable re-enables?

Gaurav Kumar : So, there is -- this amount will definitely come down because it was one time to also take care of past balance. Going forward, this number is going to be much lower.

Basudeb Banerjee : Understood, sure. Second, Gaurav, as you said, on a sequential

basis , RM basket is down to 8% . So, as you mentioned, for this quarter, if you can give your rates for key commodities ?

Gaurav Kumar : Sure. Basudeb, natural rubber was around INR 160 a kg. Synthetic rubber around at around INR 170. Carbon Black INR 115, and steel cord INR 185.

Basudeb Banerjee : Okay. Next is the typically , if you see that post winter quarter, December, where Europe margin is highest for the year followed by your EBIT margins into subsequent quarters. So if I missed out on anything earlier, this quarter seems margin is far better than the December quarter. So if you can highlight anything one-off in that or it's directionally you're benefiting from lower power cost and lower commodity costs only.

Gaurav Kumar : You're absolutely right, Basudeb. This is a deviation from the normal seasonality. As it is the last quarter, the winter was quite a mild one. So we didn't have that much of an upside in the December quarter. The current quarter's profitability is higher than the previous quarter on account of raw material and energy cost benefits.

Basudeb Banerjee : So even at this scale, such 17%, 18% margin can sustain?

Gaurav Kumar : That's correct, yes.

Basudeb Banerjee : That's great. And last question if I can ask, what's the current utilisation of Hungary plant and how much it can further produce from these levels. And what is your strategy on that? That's flat at current structure .

Gaurav Kumar : For Hungary plant, for the passenger car category, the utilisation levels are just above 85%. Apart from the headroom that is available, that is one of the focus areas as we grow in Europe for our productivity improvements programmes. And we think that we should be able to up the capacity with those programmes as we need the capacity.

For the Dutch plant, they will continue producing the specialised sizes, which they have been doing in the last year. On the passenger car, their utilisation was almost close to 100%. And they will continue to produce high-end specialised sizes and high-end agricultural tyres. So it would be a continuation of that strategy.

Basudeb Banerjee : Okay , thanks. That's all from my side.

Gaurav Kumar : Thank you, Basudeb.

Ronak Mehta : Well, we have the next question from Jai Kale. Jai, your line is unm

uted, please go -ahead.

Jai Kale : Yeah, good evening. Thanks for taking my question and congrats on a good set of numbers. My first question is regarding your outlook on the demand environment, given your capex plans for the next couple of years. We've seen that historically, if you see -- last-time the CV cycle peaked in FY '19 and probably before that, most of the tyre players started an aggressive growth capex, assuming that there will be a continued upcycle.

This time, probably we are reaching the CV cycle peak, probably this year or max next year. So have you all taken a conscious call since out of your TBR, probably around 50% goes to the OEMs. This time to be a little more vigilant on the CV cycle and hence be a

little more cautious on your growth capex or you believe that probably 5% to 7% growth rate is something that you are budgeting for with some bit of debottlenecking in the replacement market.

Neeraj Kanwar : Okay, so firstly, we only supply 22% to 25% of our Truck Bus Retail to OEMs, point number 1. Point number 2 is that, yes, we will -- we are again doing productivity increases through digitalisation on TBR. And so, we will have excess -- we will have new productivity improvements and their funding capacity. And also we have to bear in mind that our TBR utilisation was around 80%.

So there is capacity available, if we were to grow. Also keep one thing in mind that we are in the replacement market around 30% to 31% market share leaders. And therefore, with this capacity, we can only go up if the market starts growing.

Yes, we will look at India as first, India we have to look at. And if more capacity is required for India, then I would change my efforts to India. Okay, so we will not let go off our capacity of our market share in India.

Jai Kale : Understood, second question is regarding your exports. Just one clarification, you mentioned the 30% drop. Your exports also include some part to your European entity, right? How much of your exports would be to the European entity and would that be seeing a bigger drop? If you can just share the mix of European versus end-market?

Neeraj Kanwar : So as you know, Europe is going through a challenging time. For us, yes, there has been a drop and we do supply of over 1 million passenger car units to the European market, but now we are seeing a gradual pickup happening. And so, we will be back to our last year's numbers in the coming quarters.

Jai Kale : Okay, understood. Thanks and all the best.

Neeraj Kanwar : Thank you.

Ronak Mehta : Thank you. We have the next question from Jyothi Singh. Jyothi, your line is unmuted, please go ahead.

Jyothi Singh : Yeah, thank you for the opportunity and congratulations on the good set of numbers. So my question is on the margin front. So overall, we saw the raw material price correction and now expecting it to stabilise and also we stopped taking price increase because of the stabilisation in the raw material prices. And apart from that, we are doing cost control to support our margin. So my main question is what will be the strategy going forward to maintain our margin at this level as if raw material prices will be stable?

Neeraj Kanwar : Yeah, the strategy is very clear. The margins will only expand from here because now a lot of cost controls, like you said, have gone in. We see again the stabilisation of raw material happening. So margins, due to all these things that I've been talking about, productivity enhancement, energy consumption in all the brands, we are looking at a normal improvement in our plants and our supply chain. And supply chain was a challenge during COVID and through a lot of AI and machine learning, we have learned a lot on supply chain. So I see costs coming down overall. And therefore, I'm pretty optimistic about

saying that one is to sustain these margins, and it can only go up from here.

Jyothi Singh : Okay and second thing that overall industry is saying that we will see better traction from H2 FY '24 onwards. So it is because we have concerns about macroeconomic situation or apart from

that, we are doing anything else in the company that because of that we are seeing good traction.

Neeraj Kanwar : No, it's a mixture of both. You can't see one thing at a time. It is a mixer of -- after all India's GDP is going to be 6%, 6.5%. There is a lot of infrastructure spends that are going into the country. And with our new products that we're launching, specifically in the CV and in the PV range, we will gain more market share, and that's why we are optimistic about the numbers.

Jyothi Singh : And also we are seeing better traction in CV side and decline on the PV side. So how much margin contribution we have from CV side as compared to -- I mean, which one is higher?

Gaurav Kumar : So, at an absolute number, CV would still be higher, Jyothi, because it's close to 60% of our revenues versus PCR at 20%. The profitability in terms of margin is much higher for PCR. But in terms of an absolute contribution since the CV proportion is 3 times, it contributes in.

And also just to clarify, the PCR numbers being negative for the fourth quarter, if you look at the full year. The number on PCR is in the double-digit growth on volumes. It's only a fourth quarter phenomenon.

Jyothi Singh : Okay, okay, great, sir. And on India utilization, if you can comment, which is at 76%. So going forward, we are expecting a higher level or similar level, we will see.

Gaurav Kumar : No, we expect given that this year the entire topline growth would be volume-driven, we would see upping of the utilization levels in the current year.

Jyothi Singh : Okay, thank you sir.

Gaurav Kumar : Thank you.

Ronak Mehta : Yeah, next question is a gain from Ashutosh Tiwari. Ashutosh, your line is unmuted, please go ahead.

Ashutosh Tiwari : Yeah, thanks. So if we look at inventory levels, in standalone, it has come down on a y-o-y basis. So is it normal inventory or we -- there is some bit lower than the normal that we have today because what my understanding is working capital can increase in terms of number of days next year, like in FY '24?

Gaurav Kumar : No, the inventory levels are fairly normal, Ashutosh. And as we see over the extended period of the last 8, 10 quarters, the number may be one day lower than what we have even had in the past. So, no significant change would be explicit.

Ashutosh Tiwari : So that could mean that because the capex is like say lingering around INR 1,100 crores in this year, there'll be a decent amount of deleveraging that will happen in '24?

Gaurav Kumar : That's correct.

Ashutosh Tiwari : And on this PCR side, you mentioned that the growth in Q4 is a bit

lower, like say decline was there. So is it like say, we have taken price increases and competition has not, is that the reason or the reason is -- had been mentioned that in certain SKUs, where our margins are lower, intentionally, we are doing less volumes.

Gaurav Kumar : No, it is -- and we did take a price increase in the current quarter. But there was a price gap vis-a-vis the competition and that impacted volumes more than normal. So, we did lose a little bit. But there, as Neeraj has continuously highlighted, the operations are clearly focused on profitability as a key parameter. And hence to that extent, if sometimes a little bit of growth is sacrificed, we are okay with it.

Ashutosh Tiwari : So, I wanted to understand whether this decline in market share in this quarter particularly was mainly in the 12, 3-inches or it is higher sizes as well ?

Gaurav Kumar : We will have to get back to you, Ashutosh. We will need to get from the operations more details. I don't have those details ready.

Ashutosh Tiwari : Okay, okay, that's all from my side. Thank you.

Ronak Mehta : Thanks. Yeah, we have the last question from Raghunandan. Raghunandan, your line is unmuted. Please go ahead.

Raghunandan: Thank you, sir, for the opportunity. Congratulations on stellar numbers. Two questions. Firstly, how much capacity addition is expected due to debottlenecking and productivity improvement measures in India and Europe.

Secondly, margins are strong, but replacement growth is moderate. Do you expect pricing cuts in industry ahead or an increase in marketing efforts going forward?

Gaurav Kumar : Raghunandan, one of the second part, we are not looking at pricing cuts. What competition does is difficult to predict. But we've gone through now a couple of quarters of RM coming back to somewhat normalized levels and the industry has held firm. So, we don't expect that.

It would be difficult to give you a quantum on how much we would gain out of productivity or focus on AI/ML, but a broad

number, a safe number would be mid-to-high single-digits is what we would target to have improvements of capacity.

Raghunandan : Got it, sir. Thank you very much. All the best.

Gaurav Kumar : Thank you.

Ronak Mehta : Yeah, thank you. So, I think that was the last question. So, I would like to thank all the participants and the Management of Apollo for giving us this opportunity. And wish you all a great evening. Thanks a lot, Take care.

Neeraj Kanwar : Thank you.

Gaurav Kumar : Thank you.

Call: Aug 2023

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ATL/ SEC/ 21 August 21, 2023
The Secretary,
National Stock Exchange of India Ltd.,
Exchange Plaza,
Bandra -Kurla Complex,
Bandra (E),
Mumbai - 400 051 The Secretary,
BSE Ltd.
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400001.

Sub: Transcript of Analyst/ Investor Conference Call

Dear Sirs,
Pursuant to Regulation 30(6) and 46(2) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we wish to inform you that a Conference Call for the analysts and investors to discuss the financial and operational performance of the Company for Q1 FY 24 was held on August 11, 2023.
Please find attached herewith the transcript of the aforesaid call. The same has also been placed on the website of the Company <https://corporate.apolloytyres.com/investors/ir-updates/>
This is for your information and records.
Thanking you,
Yours faithfully,
For Apollo Tyres Ltd.

(Seema Thapar)
Company Secretary & Compliance Officer

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Apollo Tyres Ltd Q1 FY24 Earnings Call

Moderator: Good afternoon, and welcome, everyone. Thank you for joining Apollo Tyres First Quarter FY24 Earnings Group Conference Call.

Today's call will be moderated by Nomura Analyst, Siddhartha Bera, Consumer Durables, Auto Ancillaries and Digital Commerce Analyst; and Kapil Singh, Head of Consumer and Digital Commerce Research India and Lead Autos Analyst.

The call will now begin, and I'm handing over to Sid. Hi, Sid. Please go ahead.

Siddhartha Bera: Yeah. Thanks, Linda. Good evening, everyone. I welcome you all on behalf of Nomura to this 1Q FY24 Earnings Call of Apollo Tyres.

We have with us today Mr Neeraj Kanwar, Managing Director and Vice Chairman of Apollo Tyres; and Mr Gaurav Kumar, Chief Financial Officer; and the IR team as well.

We will start the call with brief opening remarks from the management team followed by a Q&A session. Over to you, sir.

Neeraj Kanwar: Thank you, and good morning, good afternoon to everyone. I'm very pleased

to provide an update on the company's performance.

Despite a very challenging environment, the team has delivered yet another healthier quarter with a consolidated operating margin of 17% and approximately 115% increase in consolidated earnings.

As we continue to work on business fundamentals, the results are there for everyone to see. Last few quarters, we have consistently displayed our relentless focus on profitability, on cost optimisation, free cash flows, and improvement in our return ratios. I believe we are at the cusp of an exciting phase given all the work around key pillars, and business fundamentally becomes more efficient and cash generative.

Coming to our business performance, despite sluggish demand environment in some of our key markets, we reported mid-single digit YoY growth in consolidated revenues. More importantly, we reported strong improvement in our operating performance, helped by benign RM cost, improved sales mix, and tight control over cost. I'm confident that we will be able to sustain the momentum going forward as well.

In terms of outlook, we expect the top-line growth to improve in the second half of the year. In domestic markets, we are witnessing good recovery in the replacement segment. Exports remain relatively weak.

Coming to Europe, we expect the demand to remain soft in the near term. However, more importantly, I expect the momentum for operating

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performance to continue in near-term driven by subdued RM cost and consistent focus on cost controls.

Let me now talk about some of the key pillars of our Vision '26. Starting with R&D

, we continue our focus on new product development and launches. During the quarter, we further extended the Quatrac Pro EV (electric vehicle) range by addition of new nine SKUs. During the quarter, we were also awarded for Design and Development and R&D Localisation by Maruti Suzuki.

The team introduced new generation polymers in Europe and also developed low rolling resistance compound package for one of our key EV clients in India.

Finally, underscoring our commitment to sustainability, team showcased PCR concept tyre made from 75% sustainable material, and our truck bus radial concept tyre made from 65% sustainable material.

Moving to Digitalisation, we continue to work on new age technologies as we optimise our current process technologies and prepare for future. The digitalisation of supply chain further has gained momentum during the quarter, helping us to engage with our stakeholders and customers efficiently and in a timely manner.

We continue to roll out new manufacturing execution systems across our facilities, helping us with our Industry 4.0 journey. We have also been working on digitalisation of key internal processes like product costing, budgeting, which would help us gain better visibility of our operations and help us with benchmarking and driving improvements faster.

Coming to Sustainability, the team continues to scale new heights as we go ahead. I'm happy to share that our work on this front is also being recognised by external agencies. Recently, Apollo Tyres' Chennai facility was recognised at the 4th National Water Awards 2022 under the Best Industry category for our global commitment on water efficiency, and was lauded for water conservation initiatives undertaken at the plant.

During the quarter, Apollo Tyres Foundation won an award for its Miyawaki Forestation Project under the "Seeding Sustainability : Recognising companies that have nurtured forests through Impactful CSR Endeavors" category.

We've also joined the Net Zero pilot in Gujarat, being led by NITI Aayog and the World Economic Forum. Finally, we are now sourcing our natural rubber supplies from companies who are committed to sustainability throughout the supply chain, aligning with the code of conduct set out by the global platform for sustainable natural rubber (GPSNR).

Talking about Brands, we continue to invest in brands across our key geographies. To start with, in India, we introduced Terra BT, our latest product in the buyer segment designed specifically for bulk transportation applications. During the quarter, our CV zone surpassed 105 outlets milestone, reinforcing our commitment to providing top-notch service and accessibility.

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During the quarter, we launched the Apollo campaign across India as part of Sachin Tendulkar's 50th birthday celebration. The campaign ran across national print, digital, and along with our BRO partners, we reached out to over 82 million people, and our hashtag #Apollo reached over 17.8 million and trended for seven hours nationally.

Coming to Europe, celebrating 30 years as pioneers in the All-Season segment, we launched the new Vredestein Quatrac Pro+. During the quarter, we also participated in the iconic 1000 Miglia race with a team of classic cars and joined the 1000 Miglia Green, promoting zero emissions racing.

Finally, the last pillar of our strategy is People. We have started our journey for hiring women at Apollo in the field. India's sales force has pioneered its journey on hiring diversity campus batch this year in June. We recently launched our wellness and well-being initiatives in our offices in India, in Singapore, UK, and the U.S., focusing on mental, physical, and financial well-being of our employees.

We're also working on defining our talent value proposition and continue to build on our brand as employer. During the quarter, ET

Now covered Apollo

Tyres as India's finest workplaces, and Apollo Tyres India was certified as a Great Place to Work in India.

Last but not the least, Apollo Tyres has been recognized as one of the Top 30 Leadership Factories of India for the period '23 to '25. We are now a certified Top Employer for 2023 in the Netherlands and Hungary, joining our UK and Singapore offices. This achievement underscores our dedication to exceptional workplaces where our employees can thrive and grow.

As always, we are keeping a close watch on the markets and our cost. We'll continue to be judicious about Capex and will continue to focus on profitable growth and free cash flow generation.

With this, I thank all of you and hand over the call to Gaurav. Thank you.

Gaurav Kumar: Thank you, Neeraj, and good day, ladies and gentlemen. Continuing from where Neeraj left, let me give some further details of the operations for the last quarter.

The consolidated revenue for the quarter stood at INR 62.4 billion, a growth of 5% over the same quarter last year. The consolidated EBITDA for the quarter at INR 10.5 billion was a margin of 16.8% compared to 11.6% for the same period last year, and 16% for the previous quarter.

In terms of continuing our focus on profitability, our net profit more than doubled vis -a-vis last year, and EBITDA levels were higher by more than 50%.

Coming to the balance sheet, we have been further able to improve our leverage ratio, given our continued focus on cash flow generation and profitability. The net -debt -to-EBITDA for the consolidated operations was at 1.1x, and the ROCE for the current quarter annualised is now at a level of 15%.

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In India, during the quarter, we witnessed recovery in the Replacement segment with a revenue growth of 7% year -on-year and 10% sequentially over last quarter. We see good signs of demand pickup in the key replacement segment across product categories.

While this was largely negated by subdued performance in the export segment, we are seeing strong traction in the core domestic market and feel good about our competitive position. More importantly, we were able to maintain the price advantage gained in the last few quarters domestically, and this helped us report a very strong 990 bps Y -o-Y and a 210 bps sequential quarter improvement in gross margins.

This in turn helped us maintain a very healthy operating performance, generate positive free cash flow, and further deleverage our balance sheet. We expect the revenue growth to pick up as the year goes by.

In India Operations, the revenue for the quarter was INR 44.1 billion. The EBITDA for the quarter at INR 7.9 billion, was a margin of 17.8%, compared to 9.7% for the same period last year, and 15.9% for the previous quarter.

In terms of profitability, the net profit more than tripled vis -a-vis last year and EBITDA was higher by more than 80%. We continue to demonstrate profitability leadership in our industry vis -a-vis the key peer set over the last several quarters. The positive free cash flows resulted in deleveraging with the net debt -to-EBITDA for India Operations reducing to 1.2x.

Coming to Europe, the markets were subdued with the Passenger Car and the Truck Tyre industry volumes declining by 13% and 33%. Despite this challenging environment, while we had a small reduction in volumes, we improved our market share in the passenger car segment. We also gained market share in the OHT segment. The key UHP -UUHP mix for this quarter stood at around 40%.

In terms of outlook, while the demand is expected to remain sluggish in near term, we continue to feel good about our competitive position and the set of markets and strategic choices that we have made. We will continue to focus on cost containment measures in the near term.

For the European Operations, the revenue for the quarter was

EUR 144 million, down 5% compared to the same period last year. The EBITDA for the quarter stood at EUR 19 million, a margin of 13.4% compared to 14.4% for the same period last year. The decline was essentially due to an operating leverage impact due to the lower top line.

In spite of the tough external environment, the Europe Operations were also free cash flow positive. Given the work being done around the key pillars and along with improvement in gross margins, we are confident of going back to our target margin levels in medium term.

As Neeraj mentioned, we continue to keep a close eye on our Cap ex outflow and remain committed to our strategy around judicious capital allocation, debottlenecking our plants and sweating our assets. There is no change in our Cap ex guidance for the current year. We will continue to focus on

profitability, free cash flow generation, and improvement in return ratios going forward.

With this, I will conclude my opening comments. We would be happy to take your questions.

Question -and-Answers

Moderator: Thank you. We will now begin our Q&A session. (Moderator Instructions) First question is from Ashutosh Tiwari. Please go ahead with your question.

Ashutosh Tiwari: Yeah, hi. Congrats on good numbers. Firstly, on the volume side in domestic India Operations, how was the growth in the replacement Y-o-Y and decline that you saw in exports and OEM, if there's any?

Neeraj Kanwar: Gaurav, will you answer that?

Gaurav Kumar: Yeah. Yeah, Ashutosh. So the replacement segment volumes were up about 3%. Even the OEM volumes were slightly up. In terms of volume, the decline was only in the Export segment, to the extent of 30%.

Ashutosh Tiwari: Okay, 30% volume decline?

Gaurav Kumar: That's correct, Ashutosh.

Ashutosh Tiwari: Okay. And do we expect export volumes to, I mean, improve from this quarter level going ahead or how should one look at it?

Neeraj Kanwar: Yeah, so exports generally have been down, but we are seeing some gains happening in the month of July, in all countries that we are looking at, mainly Middle East, Southeast Asia, Europe and the U.S. So things are slowly looking up, but it's a slow improvement. We believe H2 will be much better.

Ashutosh Tiwari: Okay. And how do we see replacement volumes, say, from second quarter or going ahead, basically, in India?

Neeraj Kanwar: So replacement will be good. As Gaurav has already mentioned, we've had a double digit growth. We are seeing the OEMs come back, both in CV segment and PCR. So H2 replacement volumes will be much healthier than H1.

Ashutosh Tiwari: Okay. And lastly, on the Europe side, was there also an impact of de-stocking at the dealers end in this quarter? And that probably impacted your cost as well, because fixed costs will not change. And will that change in the second, third quarter? How do you see that?

Neeraj Kanwar: Gaurav, do you want to answer this?

Gaurav Kumar: So, Ashutosh, there is some amount of de-stocking because in a tough environment, dealers want to run thin on inventory. Fundamental demand still has to pick up. As I mentioned, the Passenger Car, the market declined by 13%. So probably for one to two quarters at least, the Europe market is expected to remain weak and then probably pick up.

Ashutosh Tiwari: So in that sense, even the margins in Europe will probably remain weak for one or two quarters?

Gaurav Kumar: We would not like to go with the margin guidance, given that we refrain from that. So, only the topline guidance.

Ashutosh Tiwari: Okay. And lastly, on the debt side, the debt has come down to INR 3,800 crores as of June. Is the working capital normal or is it below normal and it can increase? I just want to understand that going ahead also we will see a reduction in the debt?

Gaurav Kuma

r: Going forward also, Ashutosh, we will see a reduction in debt. Inventory levels are normal or if anything, a little higher, particularly in overseas geography. So the deleveraging would continue.

Ashutosh Tiw ari: Okay. Okay. Thank you and all the best.

Gaurav Kumar: Thank you, Ashutosh.

Moderator: Thank you. Next question is from Jinesh Gandhi. Jinesh, please go ahead with your question.

Jinesh Gandhi: Yeah, Hi. A couple of questions from my side. One is for Europe. Did you mention 33% decline in TBR volumes in this quarter? Did I catch that number correctly?

Gaurav Kumar: Yeah, the market, Jinesh, declined by 33% for this quarter. And our numbers also would be in the similar range, slightly lower. So w e would be also in the minus 30% order.

Jinesh Gandhi: Okay. And any indication of how did OHT segment did in Europe? We did well in terms of market share gain, but how did underlying market behave?

Gaurav Kumar: Underlying market was quite weak, Jinesh. The market decline in OHT segment was also around minus 35%.

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Jinesh Gandhi: Sorry, I missed that.

Gaurav Kumar: The OHT market in Europe also declined by about 35%, Jlnesh. We did much better. And that's where we had market share gains.

Jinesh Gandhi: Got it. And in the domestic market, how has been our market share in Replacement market, particularly on Y -o-Y and Q -o-Q basis? How are we trending in a relatively weaker market?

Gaurav Kumar: Difficult because we've still not got the market data that comes in with a lag.

We believe we would have maintained market share. You've seen the results of our peers. And while we don't have the breakup across the channel wise, as mentioned, our volume growth is decent, particularly in the replacement segment.

In fact, sequentially, the volume growth is almost close to double -digits vis -a-vis Q4. So our estimate is that we would have maintained market share in the replacement segment.

Jinesh Gandhi: Okay. Got it. And lastly, what was the benefit of RM cost savings in 1Q in India. On Q -o-Q basis, would there be a 150% reduction?

Gaurav Kumar: So vis -a-vis last quarter, the RM reduced by about 2%.

Jinesh Gandhi: Okay, thanks. I'll come back in queue.

Gaurav Kumar: Thank you, Jinesh.

Moderator: Thank you. Our next question is from Aryn Pirani . Hi, Aryn. Please go ahead with your question.

Aryn Pirani : Yes, hi. Thank you for the opportunity and congratulations on achieving the 15% ROCE number in this quarter.

My first question was on Europe. Can you comment on how the energy cost is behaving? I think last year you had some hedges which were benefiting you. Now the energy cost itself has come down, but I think it still remains higher than historical levels. So how is that cost behaving for you right now?

Gaurav Kumar: Aryn, you're right that the energy costs are down significantly. Even for the current year, based on prior hedging, we were about 50% hedged.

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So in a very simple manner, is energy cost a cause of concern? No. It is, yes, higher than historical levels, but due to the inflation , so are a number of other factors , and price increases, etc were taken to cover that.

I would say the Europe side is more waiting for the demand to pick up. Energy cost is not a cause of concern.

Aryn Pirani : And as far as demand is concerned, given that your UHP share has remained at around 40%, so would it be fair to say that you have seen equal amount of pain as far as volumes are concerned on the standard tyres as well as UHP tyres? Because normally we see the UHP or the premium tyres do slightly better. So some color there would be quite helpful.

Gaurav Kumar: For us broadly, yes. The decline, which is about mid -single digits compared to the 13% for the market , is fairly similar. Even for the market, i

t's more or less

similar this time, but then we are talking about only one quarter phenomenon, Aryn, and we need to see it on a longer term.

Aryn Pirani : Okay, okay. And lastly, on the India side, just a clarification, I think you mentioned in a previous question that your market share has remained

stable. So, I mean, going forward, given that you have maintained this price premium now for quite a few quarters, as the replacement demand comes back, I mean, is it your assessment that the customers have now absorbed the higher prices and are okay with this level of premium or how are the market dynamics playing out in the last one or two months?

Gaurav Kumar: So, in the last few months, etc, with raw materials being where they are, have we seen increased competitive intensity? No. And yes, a certain amount of premium has been established and we would look to continue that premium price positioning and more importantly, also profit leadership that we have now established over several quarters.

Amyr Pirani : Great, that's good to know. Thank you, I'll come back in the queue .

Gaurav Kumar: Thank you.

Moderator: Thank you. Our next question is from Aditya Jhawar. Hi, Aditya. Please go ahead.

Aditya Jhawar: Yeah, hi. So just wanted to clarify, I mean, you mentioned that market share has been in the Indian market -- there has not been any change, but two data points when we look at, on a Y-o-Y basis, there's a decline in the CV part and on a Q-o-Q basis, there's a decline in the PV part.

So we understand that you mentioned that export was quite weak, but other than that, why there has been such a steep decline on a Q-o-Q basis in PV?

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Gaurav Kumar: Specifically, which data point, Aditya, you're referring?

Aditya Jhawar: So on a sequential basis, there is a 23% decline in PV.

Gaurav Kumar: 23% decline sequentially?

Aditya Jhawar: Yeah? I'll get back, I'll take it offline. With regard to CVs, there is a decline of 7%. And we have seen that other players have reported double-digit growth. And are we having any sense that on the ground, has there been a slight change in market share or the customers incrementally are becoming more price conscious?

Neeraj Kanwar: I think your data points are wrong, because in our estimates, in the Replacement segment, CV has gone up by 10% sequentially, Yes, definitely, we have reduced our OEMs, both with Leyland and Tata, basically on pricing. As I've always mentioned, we are looking at profitable growth.

So where we believe there's no profit coming in, I'm not looking at volumes. We are looking more towards profit -- and you've seen in our margins that our margins have been going up and have been stable.

Aditya Jhawar: Fair enough. Yeah, that's helpful, I'll fall back in queue and take some questions offline. Thank you.

Neeraj Kanwar: Okay, thank you.

Gaurav Kumar: And just to iterate, Aditya, while we'll discuss offline, we've had volume growth in replacement sequential quarter, both in Truck and Passenger Car Tyres.

Neeraj Kanwar: You can take that up, Gaurav, later.

Moderator: Next question from Nishit Jalan. Hi, Nishit. Please go ahead.

Nishit Jalan: Yeah, hi. Thank you for the opportunity. Just wanted to get the overall volume performance in the India business. You highlighted that export was a big decline. So what was the share of exports in India in this quarter versus same quarter last year?

Neeraj Kanwar: So, can you give that answer, please?

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Gaurav Kumar: So, this quarter, the share of exports was 11% vis-a-vis 17% same quarter last year.

Nishit Jalan: And total volumes, how have we done in India in terms of growth or decline, whatever it is?

Gaurav Kumar: In terms of overall volumes, the volumes were down about 5%.

Nishit Jalan: And just on Eur

ope business, while I understand that revenues have declined because of weak industry, our margin performance seems to be on the weaker side. So how are the RM costs behaving there? Is there a bigger lag and we have not started realising or the market has slowed down so suddenly that and we have not been able to adjust our costs accordingly? So what kind of efforts do you think you will be able to make to kind of maintain mid-teens kind of margins in the European business?

Gaurav Kumar: So Europe, Nishit, always has a larger proportion of fixed costs vis-a-vis India Operations. And the big impact there is of the operating leverage. It also has a lag on the raw material side. So some benefit will still flow through, compared to Indian Operations. But the margin decline of 1% vis-a-vis last year from 14.4% to 13.4% is largely due to the operating leverage impact. There are cost containment measures being taken, and you would see those coming into play as we go on further in the year.

Nishit Jalan: Okay. Just to probe a little further on this, on a Y-o-Y basis, what kind of gross margin improvement have we seen in the European business? Just wanted to understand what was the negative impact because of operating leverage on margins in this quarter?

Gaurav Kumar: I will not have the data, Nishit, right now. We can get back to you. So, we've had a gross margin improvement. So, we can get back to you with the data.

Nishit Jalan: No pricing pressure in European market because of the steep declining volumes, right?

Gaurav Kumar: There have been pricing pressures and we've had to follow the market in some cases, particularly on the truck side. So, there are pricing pressures given the kind of demand environment.

Nishit Jalan: Not in PVs?

Gaurav Kumar: Not so much in PVs.

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Nishit Jalan: Okay, thank you.

Gaurav Kumar: Thank you.

Moderator: Next question is from Rohit Jain. Hi, Rohit. Please go ahead.

Rohit Jain: Yeah, hi. Thanks for the opportunity. I have a question on the Off-Highway Tyre segment that you spoke about. If I got it right, you said that the volume decline was about 30% Y-o-Y?

Gaurav Kumar: For the European market, yes, the volume decline was in fact of the order of 35%.

Rohit Jain: So, two questions there. One is, how long do you expect this weak environment to continue, and what is driving it?

And second question is if we look at the commentary from one of the peers, which is pretty big in this segment, there I think the decline has not been so steep. So, are we operating in the same segment or is there a difference in the segments that we are operating in?

Gaurav Kumar: First question, at least in near-term, this tough market is expected to continue, Rohit.

And there is some overlap with the peer in terms of SKUs, but it's not 100% like-to-like.

Rohit Jain: Okay. And the second question that I had was on the recent rise in the oil prices. Is it going to have an impact with the lag on our, let's say, margin levels? Or is it something that still is well within our budgetary estimates?

Gaurav Kumar: So, right now it is still well within the budgetary estimates. Immediately for the current quarter, the raw material continues to be benign. It is difficult to predict for Q3 as of now, but I would say the raw material scenario seems to be fairly benign, at least for the next one, two quarters.

Rohit Jain: Okay. Fair enough. Thanks. Thanks for the answer.

Moderator: Next question is from Raghunandan. Hi, Raghu. Please go ahead.

Raghunandan NL: Thank you, sir, for the opportunity. Congratulations on a good set of numbers. Sir, firstly, on the Europe outlook, the outlook seems to be on the weaker side. And how do you see the industry to fare this year?

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And secondly, for exports from India to offset the weakness in terms of expanding our reach, improving our penetration in the U.S., if you can share thoughts on that.

Neeraj Kanwar: So, like I mentioned, H2, we expect Europe volumes to start on a positive note. We're already seeing some traction coming in. It's still soft, but I think I believe H2, both the U.S. and Europe will start picking up. Our brand in the U.S. is doing very good. We're getting a very good demand pull. So we believe that Quarter 2 onwards and then going into Quarter 3, Quarter 4 volumes will be up in both these countries.

Raghunandan NL: Got it, sir. And in terms of U.S., U.S. is roughly 4%, 5% of revenue. I mean, how do you see that share increasing in future in terms of your efforts on SKUs or improving your addressable market?

Neeraj Kanwar: So there are small steps, small gains, but we are going in the right direction. We are a premium product as far as Passenger Car is concerned. So we've introduced a Vredestein brand there, which is gaining market share. We're still very, very small, but we're going in the right direction. In TBR, as you know, last year we launched the Apollo brand. We've got some large distributors. We've recently tied up with the largest Canadian distributor for our passenger car radials. So all is going well. I guess we are building the foundation and slowly we will see good traction coming in.

Raghunandan NL: Thank you, sir. Gaurav, can I request for the commodity data which you generally share?

Gaurav Kumar: Sure, Raghu. So natural rubber, the average for the quarter was Rs 157/kg. Synthetic rubber, 167. Carbon black, 106. Steel cord, 180.

Raghunandan NL: Thank you. And, I mean, would you be having a couple of months of inventory, which gives the confidence that Q2 would have a stable cost compared to Q1, and possibly at the current price, you'll see some impact in Q3. Is that the right way to understand?

Gaurav Kumar: Raghu, the raw material inventory usually would be under a month. But for most of the materials, the quantity and the price are tied up for one quarter ahead. So for all the sourcing of raw material in the current quarter, the prices would have been fixed, and hence the confidence of having the current raw material scenario continues.

Raghunandan NL: Got it, sir. And would you be able to share the Reifen data, revenue and margin?

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Gaurav Kumar: Sure, just a minute. For the quarter, R eifen did Euro 55 million in revenue, and about 4.5% on EBITDA.

Raghunandan NL: Thank you, sir. Thank you so much. That's all from my side.

Moderator: Thank you, Ragh u. The next question is from Basudeb Banerjee. Hi, Basudeb. Please go ahead.

Basudeb Banerjee: Yeah, so, I have a few questions, most of what answered. I just missed out. As you said, India overall volume was down 5%, including the massive exports decline. How much was the total volume decline in Europe? 13%, you said, PCR, and 33% TBR. So overall, Europe was how much down for you?

Gaurav Kumar: Basud eb, the 13% and the 33% were market. For us, in terms of Passenger Car volumes, we're down about 5 %. And Truck, as I mentioned, was about 30%.

Basudeb Banerjee: Okay, that's helpful. Second thing, currently, how much is the annuali sed TBR utilisation?

Gaurav Kumar: Just one minute. So currently, for TBR, we are utili sed at about 77% -78%.

Basudeb Banerjee: Okay. And last, Capex Outlook for the year, will it be like, to assume, sub INR 1,000 crores broadly, or exact INR 800 crores? How to look at that?

Gaurav Kumar : I think our guidance for consol was about a little over INR 1,000 crores. That will continue. For India , I don't recall the figure exactly. It was in fact more around INR 700 crores.

Basudeb Banerjee: Okay, sure. Thanks.

Moderator: Thank you. And nex t question is from Abhishek Maheswari. Hi, Abhishek, ple
ase go ahead.

Abhishek Maheswari: Yeah, thank you for the opportunity. So a micro -level question. So in terms of power generation, is that something you buy from the open market, or do we have our o wn captive power plants?

Gaurav Kumar: There's a certain amount of captive power which is only as a backup. We source power as a combination from the state electricity grids, also solar power, in some cases wind power, etc.

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Abhishek Maheswari: Okay, so if, say, the coal prices have fallen sig nificantly over the last one year, so do you get some benefit of it or your power purchase agreement s have been structured in a fixed basis on a long -term basis?

Gaurav Kumar: I'll have to look at specific details. I won't have it readily, Abhishek.

Neeraj Kanwar: Gaurav, we are buying from the circuit. So if the power cost comes down from the circuit, so let's say from Gujarat Electricity Board, we don't have long - term contracts. It's on a daily basis.

Abhishek Maheswari: Okay, understood. Secondly, on a broader level, you have guidance of \$5 billion sales over the next two, three years. So do you feel your existing capacities will be able to accommodate that guidance, or you have to set up new greenfield facilities for that?

Neeraj Kanwar: No, we are not looking at any greenfield. We will be looking at consolidating all our plants. And as I've been mentioning, we are using a lot of AI and machine learning to try and see how we can increase productivity from the existing plants, existing equipments. My more focus is on balance sheet ratios, on profitability, rather than the \$5 billion. And so we are looking at, as you've seen, ROCE has gone to 14.9% this quarter. So we are really focusing on these targets.

Abhishek Maheswari: Right, and my compliments on that. The balance sheet has tended significantly last two, three years. Lastly, so when we say that Europe is going through a slowdown, and yes, you've mentioned that it's majorly a demand slowdown. But we know that China has humongous capacities, and they conquer export markets. And domestically, they are going through a big slowdown. So do you feel that there is a competitive element to it also because if there is not enough domestic demand in China, there is more pricing pressure in export markets because of excess supplies, right? So is that something you are witnessing or too soon to tell?

Neeraj Kanwar: No, I don't think so. That's the major issue. The market itself is down, and we do not even operate in the pricing category as Chinese operate in. So they are below budget brands, whereas Vredestein operates in the higher segment of the brand, which is in the 80 - 85 range if Michelin is 100 on a price index. So we are a premium brand, and therefore for us, the Chinese competition is not that severe.

Abhishek Maheswari: Okay, one last question I'll try to fit in. Considering the benign commodity environment and seeing that it's still showing a downward trend in raw materials, do we feel that there is still a scope for operating leverage and margin improvement as capacity utilization improves?

Neeraj Kanwar: Gaurav?

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Gaurav Kumar: So Abhishek, currently these margins are with lower capacity utilization around the mid -70%. So yes, there is definitely scope for operating leverage.

Abhishek Maheswari: Okay, thank you very much, and all the best.

Gaurav Kumar: Thank you.

Moderator: Next question is from Jinesh Gandhi. Hi, Jinesh. Please go ahead.

Jinesh Gandhi: Yeah, hi. Sorry, I was breaking in between. So just can you clarify for second quarter, what kind of RM trends do you see for India business?

Gaurav Kumar: Jinesh, the RM is likely to be flat or marginally down.

Jinesh Gandhi: Okay, okay. And in that context, would it be fair to say that India margins will be function of h

ow replacement demand behaves because current quarter, obviously, there was some mixed benefit given replacement did relatively better. But going forward, large part of margin tailwind will be coming from operating leverage and mix?

Gaurav Kumar: Broadly, yes.

Jinesh Gandhi: Got it. Great. Thanks, and all the best.

Gaurav Kumar: Thank you, Jinesh.

Moderator: Thank you. Next question is from Disha Sheth. Hi, Disha. Please go ahead with your question.

Disha S heth: How much is the replacement growth year -on-year? You mentioned 13%, am I right?

Gaurav Kumar: The revenue growth...

Disha S heth: For Replacement.

Gaurav Kumar: It's about 10% revenue growth.

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Disha S heth: Year -on-year?

Gaurav Kumar: Yes.

Disha S heth: And then the same was 30% de -growth on exports, right?

Gaurav Kumar: That's correct.

Disha S heth: Okay. And so in terms of OEM, since we just discontinued our two clients, so how much was the OEM growth?

Gaurav Kumar: So, we didn't discontinue the two clients. We reduced our volumes to them. Year -on-year, OEM still had a small volume growth.

Disha Sheth: Okay. And sir, in terms of RM costs, with crude price going up, similar questions were asked before, but just want a clarification, with crude price going up, how do we expect, because from Q3, we can say that the RM costs have peaked out and our ma rgins will start – will be same. What is your view on

that?

Gaurav Kumar: Right now, a little too early to talk about Q3 raw material, Disha. We may see some small upward movement but overall, are we seeing some big upward movement in RM likely for Q3? N o.

Disha S heth: Okay. And sir, what is the outlook on Replacement going forward in coming Q2 and H2?

Gaurav Kumar: Right now, we see a good trend on Replacement. In fact, sequentially, the volumes on replacement are up even more close to double -digits. So, we see a good tailwind on the replacement demand going up.

Disha S heth: Okay and exports, any trend of improvement?

Gaurav Kumar: Right now, no, the export markets are still weak but we are seeing some signs of pickup, as Neeraj mentioned in July. But relatively, they are weaker compared to what we are seeing in OEM and Replacement.

Disha S heth: Okay. Okay, sir. Thank you. That's it from my side.

Gaurav Kumar: Thank you.

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Mod erator: Thank you, and Sid. Over to you.

Siddhartha Bera: Yeah, thanks Linda. So, maybe I'll take off the last question. Basically, like you have mentioned in the PPT also as that we have continued to maintain our price advantage in the Replacement segm ent and what I understand is generally, you are expecting some recovery in the Replacement segment to maybe happen in the second half of the year. So, just wanted to understand more here. I mean, will you sort of look at market share gains also as a strate gy to sort of drive growth given that exports also is sort of weak, and it will take some time to recover or -- and given that we already are probably leading in terms of the margins in the Indian tyre landscape. So, will you sort of look at this also as a lever in some way to sort of gain back market shares?

Neeraj Kanwar: So, Siddhartha, the strategy has always been to gain market share, but we are looking at profitable growth. We are exiting sizes where we don't want to or where we are making either sm all money or maybe making losses, which we have, even in Passenger Car, even in Truck Bias. So we are only looking at gaining market shares in the premium segment. And that's not only in India, but that's also in Europe. And so we are targeting the higher end of the category.

And therefore, you see our balance sheet ratio is becoming better. So ROCE has gone to 15%, your EBITDA margins are at 18%. So we'll continue, we are not going to lose marke

t share, but at the same time, we will keep inching up on ma rket share.

So for CV, TBR, we are above 30% market share. And we'll continue to maintain that. In Passenger Car today, we would be number 1 or 2 with 21% - 22%. So we'll continue to take small gains, but the focus will be on higher

margin products.

Siddhartha Bera: Got it.

Neeraj Kanwar: Thank you.

Siddhartha Bera: Okay, sir. So, I would like to thank all the participants and the Management of Apollo Tyres for giving us this opportunity, and wish you all a great evening.
Thanks a lot.

Gaurav Kumar: Thank you.

Neeraj Kanwar: Thank you. Bye -bye.

Call: Nov 2023

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ATL/ SEC/ 21 November 16, 2023

The Secretary,
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Phiroze Jeejeebhoy Towers,
Dalal Street,
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Sub:
Transcript of Analyst/ Investor Conference Call

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ear Sirs,
P

ursuant to Regulation 30(6) and 46(2) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we wish to inform you that a Conference Call for the analysts and investors to discuss the financial and operational performance of the Company for Q2 FY 24 was held on November 8, 2023.

Please find attached herewith the transcript of the aforesaid call. The same has also been placed on the website of the Company <https://corporate.apolloytyres.com/investors/ir-updates/>

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his is for your information and records.

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hanking you,
Y
ours faithfully,
For Apollo Tyres Ltd.

(
Seema Thapar)
Company Secretary & Compliance Officer

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Apollo Tyres Ltd Q2 FY24 Earnings Call

Moderator: Hello, everyone. On behalf of Equirus Securities, I welcome you all on the Second Quarter FY24 Conference Call of Apollo Tyres. From the management side, we have Vice Chairman and Managing Director, Mr Neeraj Kanwar; CFO, Mr Gaurav Kumar, and members of IR team.

Without further ado, I hand over th is call to Mr Kanwar for opening remarks, post which we'll open up for Q&A session. Over to you, sir.

Neeraj Kanwar : Thank you, Ashutosh. Good evening, and thank you all for joining us today. I welcome you all to this post results quarter call. Looking at the second quarter performance, the team has delivered yet another strong quarter with consol operating margin at 18.5%, 160% increase in consol earnings y -on-y. We have time and again consistently displayed our strong focus on profitability, cost optimis ation, free cash fl ow generation, and improvement in return ratios. And this quarter was no different.

Let me also reiterate that we also remain focused on leveraging long term opportunities to achieve segment leading growth across our key markets. And I believe that our continued work on business fundamentals and key pillars , places us in a very favorable position to deliver superior, sustainable, and profitable growth over medium to long term. Finally, let me take this opportunity to thank all our stakeholders once again for their continued support.

Coming to our performance, despite headwinds in some of our key markets like Europe , we reported mid -single -digit y -on-y growth in consol revenues,

along with an impressive 650 basis points improvement in consol EBITDA margin. The performance was driven by improved sales mix, benign raw material costs, and tight control over costs. We are witnessing signs of demand pickup across some of our key markets, and I am confident that we will see significant improvement in the momentum in the medium to long run. In terms of outlook, we expect a recovery in demand environment. In domestic markets, we are seeing good growth segments like commercial vehicles.

Coming to Europe, we expect the demand to recover from current levels. Finally, we are cognisant of slightly increasing RM prices, and will target to

negate the same through improvement in product mix, optimization of our costs, and in case required, well-timed pricing actions.

Let me now talk about key pillars of our F26 vision, and highlight some of the work done by the teams in the past quarter. Starting with R&D, we continue our focus on new product development and launches. On the tyre technology side, the team has developed ultra-low rolling resistance tyre technology for Indian market. This would help

further strengthen our product

range as customers shift towards fuel efficiency and low rolling resistance tyres. The team has also undertaken various process improvements, helping us further improve our process efficiencies. For example, the introduction of conductive curing bladder has helped us reduce cure time, thereby increasing productivity.

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Moving to Digitalisation, we continue to work on new-age technologies as we prepare for the future. On the customer side, we have launched programmes to transform the customer experience. On the other side, we continue to drive our Industry 4.0 initiatives. A vast majority of our production machines across our plants are streaming data into our data lake on a real-time basis, giving us significant data and insights on areas of improvement. Helped by these data insights, we have initiated capacity enhancement programmes, which would help us further improve asset utilisation and our return ratios on existing capital blocks.

Coming to Sustainability, the team continues to scale new heights as we go ahead. Our Chennai plant received the coveted SEEM National Energy Management Award for its initiatives to foster energy efficiency. Recently, we

also won the Silver Award under the category of CSR Water Body Revival Project. Finally, Apollo Tyres Foundation won a Gold Award for its CSR project on a Healthcare Program for the trucking community under the category of health care.

Talking about Brands, we continue to invest in brands across our key geographies. We continue to focus on brand building and range enhancement as we enrich our sales mix. Starting with India, I am extremely happy to share that Apollo Tyre's brand awareness and preference was at an all-time high in September of '23. Furthermore, we are one of the most talked about tyre brands in the category on social media with best-in-class sentiment. Finally, as for latest data set, we are one of the highest-searched brands on Google.

Coming to Europe, we achieved second place in the automotive and suppliers category of MT500 Survey, a Dutch organisation assessing corporate reputation. For the second year in a row, the Vredestein brand was showcased in France early October as naming partner of the 45th edition of the late 20-kilometer de Paris' mass-participation run. On the product side,

the Vredestein Quatrac achieved a remarkable feat last September, consistently ranking in the top five of Auto Bild's annual all-season tyre tests over the past five years. In 2023, it secured second place in wet handling, impressive wet braking performance, and excelled in snow conditions.

Our last pillar is our People. We continue to build on what we have already achieved. We are committed to our D&I targets and continue to build on programmes like Apollo Women in Tech. We're also facilitating workshops and

interventions driving inclusive culture and mitigating unconscious bias. We

recently introduced the Apollo Digital Acumen as we facilitate employee learning and upskilling. IT leaders delivered more than 15 hours of learning sessions on advanced manufacturing, on cloud technologies, on cybersecurity, et cetera. Finally, we recently won the coveted Brandon Hall

Global Excellence Awards, one of the most prestigious awards in human capital management.

As always, we are keeping a close watch on the markets and on our costs. We'll continue to be judicious about CapEx and we'll continue to focus on sustainable and profitable growth.

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With this, I'll conclude my opening comments and hand over to our CFO, Gaurav. Thank you. Gaurav, over to you.

Gaurav Kumar: Thank you, Neeraj. And good afternoon, good evening, ladies and gentlemen. Continuing from where Neeraj left, let me share further details of the operations for the last quarter. The consolidated revenue for the quarter stood at INR 62.8 billion

, a growth of 5% over the same quarter last year. The consolidated EBITDA for the quarter stood at INR 11.6 billion, a margin of 18.5 % compared to 12 % for the same period last year, and 16.8 % in the last quarter.

In terms of our continued focus on profitability, our net profit was more than 2.5x and EBITDA more than 1.5x of the same quarter last year. There was a significant margin improvement even on a sequential basis.

Coming to the balance sheet. We have been able to further improve our leverage ratios given the focus on cash flow and profitability. The net debt to EBITDA for the consolidated operations was at 1x versus a 1.4 x in March 2023.

On the return on capital ROCE, if we annualise the first half, our ROCEs were in excess of 16 %. In the Indian Operations, we continue to see demand momentum with healthy growth in the replacement and OEM segment. We've had a double -digit top -line growth in our domestic sales, which got muted to some extent by the challenging export markets. Even there, the exports are showing signs of pickup vis -a-vis the previous quarter.

Operational efficiency and strict cost control led us to report a healthy improvement in EBITDA margins, about 130 bps on a sequential basis and a 880 bps on a Y -on-Y basis and a healthy free cash flow. In terms of outlook, as Neeraj mentioned, we are seeing good signs of volume growth, particularly in the CV segment, and going ahead, we are confident of delivering a good revenue growth. We are confident that the raw material trend has reversed its downward trend. We would probably face a slightly upward trend, but in terms of delivering a strong operating performance, we are confident on account of better sales mix, price positioning, and cost efficiencies.

For the India Operations, the revenue for the quarter was INR 43.4 billion, a growth of 5% over the same quarter last year. The EBITDA for the quarter at INR 8.4 billion, was a margin in excess of 19% compared to 10.3% in the same period last year and 17.8% in the last quarter. The net debt to EBITDA for the India Operations was at 1.1x compared to 1.7x at the end of March 2023. Coming to Europe, the markets remained subdued with the industry volumes in passenger car and truck declining by 7% and 9%. We continue to do better than the industry. We registered an 18% growth on a sequential basis on the top line and an improvement in sequential margins as well. We've gained market shares in the passenger car and Agri segments.

For the European Operations, the revenue for the quarter was EUR 169 million, up 18% sequentially, though lower compared to same quarter last year. The EBITDA for the quarter stood at EUR 24 million with an EBITDA margin of 14.1% compared to 15.3% for the same period last year and a 13.4% on a sequential basis. We continue to focus on the product mix with the UHP proportion being around 40%. The market is beginning to look better as we move into the third quarter. There is no change in our CapEx guidance for FY24 and we will

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continue to focus on profitability, free cash flow generation and improvement in return ratios as we go ahead.

With this, I would conclude my opening comments. Thank you. We would be

happy to take your questions.

Question and Answer Session

Moderator: We have our first question from Mr Jinesh Gandhi.

Jinesh Gandhi: Hi, can you talk about what was the volume growth in this quarter for India Operations given that we had seen a reasonably good revenue growth? So, breakdown between volume growth and price increases?

Gaurav Kumar: Just one minute, Jinesh. The volume growth was 5%. So, the entire top line growth, Jinesh, came from volume growth.

Jinesh Gandhi: Okay. Okay. And this would be largely replacement driven or how it would be?

Gaurav Kumar: The volume growth?

Jinesh Gandhi: Yeah.

Gaurav Kumar: Overall, both replacement and OEM volumes were in excess of double digits and then got pulled down because of exports.

Jinesh Gandhi: Oh, okay. That's good to know. Secondly, with respect to the pricing environment in the market, if you can talk about that, given that we had seen some bit of increase in competitive intensity in previous quarters, in that context, how things are now?

Gaurav Kumar: The pricing environment has remained fairly stable. There was some pricing action taken on the truck business category by competition and we also had to reduce prices marginally. There has been no pricing action on other product categories.

Jinesh Gandhi: Okay, okay. And lastly, India tax rate for first half seems to be close to about 35%. So, why the tax rate is so high and how do we see it going forward?

Gaurav Kumar: There are, given the current profitability, we would be pretty much in the similar range. There are no abnormalities in this. I would still check with the tax team and we can get back to you.

Moderator: We have our next question from Siddhartha Bera.

Siddhartha Bera: Yeah, sir. Thanks for the opportunity and congrats on a good set of numbers. Sir, on the volume side for the India business, how will be on the replacement side, the growth be across truck and bus and passenger vehicle, if you can just break it out?

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Neeraj Kanwar: Going forward, we are very bullish. We see the CV cycle, as I mentioned in my opening remarks, coming back. We see it already - signs in the OE showing very positive movement in CV. In passenger car also, the OE side is showing a double-digit growth. So, we believe that replacement going forward in Quarter 3 and Quarter 4 is going to be much better than Quarter 1 and Quarter 2.

Siddhartha Bera: And how was the Quarter 2 in terms of the replacement growth in truck and bus and PV?

Gaurav Kumar: Yeah, so PV for us was flattish. The growth in truck was close to 20%.

Siddhartha Bera: Understood. So, is it fair to assume that because of the pricing actions, we have seen some recovery in the volumes because it's been quite weak. So, any color on why this recovery we have seen and do you expect this recovery to sustain in the second half?

Neeraj Kanwar: We have not done any price corrections in Quarter 2. It's purely the brand pull

that's coming in and the cycle of CV coming back. As you know, we are leaders in the CV segment. We are also now the clear leaders in passenger car tyres. We've also introduced the Vredestein brand in the premium segment. So, all of these moves that we have made in the market are now giving us good positive growth.

Siddhartha Bera: Got it. And sir, second question is on the commodity side. So, you indicated that we have seen some increase. So, any color on how much the increase has been on a per ton basis in the current quarter, Quarter 3?

Gaurav Kumar: Siddharth, the expectation for Quarter 3 is about a 2% - 3% increase in the raw material basket.

Siddhartha Bera: Okay. Got it. And sir, last year on the working capital side, we have seen that this first half has been seen some drag on the working capital side. It has gone up quite a bit. So, do you expect there will be some normalisation over the year or do you believe some of these levels -- basically, I think payables have seen a sharp decline which has led to the increase in working capital. So, how to think about this for the whole year?

Gaurav Kumar: Yeah. So, the payables part is a very conscious decision, Siddharth. In some cases, the payments as per normal cycle or paying early was beneficial from a pure financial cost perspective and hence we chose to pay early. We can very easily go back to normal payables. There is no abnormality in the working capital increase. In fact, the inventory levels are down. There is an increase in receivables on account of sharp increase in the OE business which is as per the normal

receivable days and as I mentioned the decrease in the payables which you also highlighted. Both of those are conscious decisions by the company. It is not caused by any pile up of inventory or piling up of receivables which is not usual.

Moderator: We have our next question from Mr Raghunandan.

Raghunandan N. L.: Congratulations, sir, on strong numbers and festival greetings. Sir, firstly, on the Europe market, given that sluggish market is expected in the near term, how

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do you expect the recovery to pan out? And also how much would be the channel inventory as of now? And how it compares with the normal levels?

Neeraj Kanwar: I think we have seen Europe has bottomed out and we believe that now we will see a positive curve as far as growth is concerned. Also, as you know, Apollo is investing a lot in technology and our products are coming out at high levels. Our products have also been consistently attaining podium positions. So, we believe that the Vredestein brand in car tyres, will see a growth. Apollo in passenger car has gone down because of some product, not challenges, I would say, but we do not have some of the sizes, which we are now building those sizes in our factories in India. So, we will also see a surge in Apollo brand of passenger car tyres.

As far as Apollo TBR is concerned, we've already started seeing that there is a very good pull for our brand coming up. So, we believe that even in the CV cycle in Europe, we will have good growth. On the channel inventory, Gaurav, any thoughts?

Gaurav Kumar: Raghu, the inventory on the passenger car tyres, which is the main segment is fairly normal. There is no pile up on that. There is some bit of higher inventory on the Agri side, given how the market has been.

Raghunandan N. L.: Got it, sir. On the commodity increase, you indicated a marginal increase of 2% to 3% next quarter. In your opening remarks, you alluded to cost saving efforts. Any quantification as to what are the focus areas and benefit? And also, if you can add some color on the efforts you are making on the product mix improvement?

Gaurav Kumar: So, on the cost saving side, Raghu, it's an area of constant work going on.

There are savings depending on how the operations are faring, whether on the top line side or pressure from raw material, or savings on the SG&A side.

The manufacturing efficiencies focus on that continues, but here it's more on the SG&A, whether it's directly sales related or

lower spends across advertising, freight, travel, etc etc.

Neeraj Kanwar: And just to add to that, our whole focus is on enriching our product mix. As I mentioned to all of you, that our whole, the new Apollo 2.0 is going only after profitable growth. So, you have seen past eight quarters, Apollo margins have been the best in the industry and they will continue to be the best because our hardcore focus is on our balance sheet ratios, on profitable growth and on margin. So that is a very, very clear mandate given by me to all the regions that we are not going only after market share, but we have to go for profitable growth. So, you'll continue to see better results as far as the company is concerned.

Raghunandhan N. L.: So, on the product mix enrichment, mix enrichment, what ratios you constantly track in terms of, you know, would it be the diameter of tyres, how it is shifting to larger tyres or within your brands?

Neeraj Kanwar: So, I want to tell you two things here. And Gaurav you can take out that pie chart of how much 12-inch-13 inch has gone down from where it was in the meantime, let me know that number. So yes, we do analysis of the diameter as you know 12 inch and 13 inch are really not profitable products in India.

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So, we are continuing to go down on 12-inch-13 inch and go up on 14-inch-15 inch and upwards. So, it's all about upsizing and about go

ing after the

higher sizes which is 17 inch and up in India. That market is also growing as you know SUV market is now the fastest growing market in India and so, Apollo is standing as a leader in the SUV market.

Also, I want to tell on another thing that as far as Indian brands are concerned in India, Apollo is the price leader. Apollo is the price leader in passenger car with the highest volume selling in the replacement market. So, we are continuously monitoring on how to see how we can enrich our product mix. Then we have also brought in the Vredestein brand which is targeting the multinational brands that are in India which is Bridgestone, Michelin, Conti, Pirelli. And so, we have positioned Vredestein at the higher end of the market to compete with the international brands. And so, a combination of both of these, gives a better margin coming into the company.

As far as Europe is concerned, from the very beginning, today our UUHP which is the ultra-high-performance tyres, that basket would be around 44% or 45% of the entire basket. So, that also has come from a 35% level to a 45%. So, that also gives us better margin improvements.

Gaurav, you have that data on 12-inch-13 inch, how it's gone down?

Gaurav Kumar: I don't have the exact figures but Raghu, to give you over a 15-year period, 15 years back, the largest selling size was a 12-inch tyre which would have been about 30% plus, just volume of tyres. 10 years, 7 years back, that moved to 13-inch and currently the largest selling SKU and this is India Operation would be 14-inch, upwards of 30% of the overall mix.

Similarly, within India, while 16-inch and above is a very small market, that would have moved only from negligible to currently in the range of about 5%. So, that's how the mix change in India has happened. In Europe, in fact, if we go back a decade or six years back, the UHP proportion used to be in 20s, early 20s and that's now in excess of 40s. So, that's also been a journey made over the last 6-7 years.

Neeraj Kanwar: And Gaurav, one more thing I want to add here on two-wheeler journey which is very important. So, as you have seen, we have invested in the higher end of two-wheeler in bias and radial. We were the only company pioneering to make motorcycle radials in India. Now the others are trying to come in. These are again, profitable sizes. So, we are not going into volume and mass in two-wheeler because that's not profitable. We are going to high tech. So, if you see the entire radial basket of Apollo, starting from OHT all the way down to two-wheeler in the radial category, these are all high-end technology products where they're making better margins for us.

Raghunandhan N. L.: Thank you so much, sir, for the comprehensive answer. Lastly, Gaurav, would

you be able to share the commodity cost data and reifen numbers?

Gaurav Kumar: Yeah . So, natural rubber was in the region of INR 160 per kg . Synthetic rubber about 145. Carbon black, 114. On the R eifen numbers, just a minute. Reifen in the current quarter was at EUR 38 million.

Raghunandhan N. L.: And EBITDA margin there?

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Gaurav Kumar: EBITD A was just about break- even. This is not seasonally their best quarter.

Raghunandhan N. L.: And for RMV basket, how much was the fall Q -o-Q and Q2?

Gaurav Kumar: Sequential basis, it was a 2% fall.

Moderator: We have our next question from Mr Vimal.

Vimal: Congratulations on a very strong quarter. So , my question is on performance and outlook of the replacement market going forward on the domestic part. So how do you expect that to pan out, especially on the MN C front? And the second question is, assuming that there is a 5% increase in raw material basket and the current mix continues to remain same domestically, what's the kind of pricing increase you'll have to take in order to maintain the current levels of EBITDA per ton?

Gaurav Kumar: Yeah, so repl acement, as we've mentioned, Vimal, that the momentum is very strong. The current outlook is that we should continue with a double -digit volume growth. CV has been very strong. We are seeing good signs in PV. So , from a domestic side, the current outlook on a year -on-year basis would be a double -digit growth.

On your second question, if RM was to go up by 5%, we would need to take about a 3% price increase. I f everything else was to remain just the same.

Vimal: Understood. And this is irrespective of what competition does, you will take a price increase?

Gaurav Kumar: We will always have to see it within context of the industry. We've always been leaders in taking price increases. Currently, the RM increase is much lower. And we'll see how things are. As mentioned, we will first focus on cost reduction efforts and then take a call on the pricing front.

Vimal: And you're confident to maintain EBITDA per t on levels in India? The current EBITDA per ton levels? Because t hese are l evels which we have not seen in a very, very long period of time. So , on EBITDA per t on basis, what's the outlook?

Gaurav Kumar: We don't give out guidance on the profitability front. We are focused on profitability, free cash flow , return on capital that will continue. But specific guidance on profitability, Vimal, we will not be able to give.

Vimal: No issues. All the very best.

Moderato r: We have our next question from Nirav.

Nirav: Yeah. Hi, sir. So , I just wanted to know that at what crude prices are we comfortable maintaining and improving our current EBITDA level?

Gaurav Kumar: So, the current levels of crude, which reflect or maybe a one quarter back, which reflect in the current prices are comfo rtable as seen in the margins , Nirav .

Nirav: So, sir, we can say around USD 80 per barrel ?

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Gaurav Kumar: Just keep in mind, though, that crude while playing into the raw material

prices of a large basket, our raw materials are still fourth, fifth level derivatives. So, yes, crude prices impact them, but they have their own demand supply cycle also.

Nirav: So, sir, I can assume that we are comfortable between USD 80 to USD 85 per barrel price. Or is it much?

Gaurav Kumar: Broadly, yes.

Nirav: Okay. And so, also the current capacity utilisation for the Indian market stood at 73%, which is relatively less. So, what is exactly the reason behind it?

Gaurav Kumar: The reason is simply the where our current capacity is and the demand levels. As Neeraj mentioned, there have been efforts on capacity de-bottlenecking through the whole AI, ML and Digitisation. So, there have been certain capacity enhancements which will come in handy as and when the demand grows. And currently, this capacity is fairly good for serving us for the next couple of years.

Nirav: Sir, could you give me the capacity utilisation product wise for PCR and TB R?

Gaurav Kumar: Broadly for truck it's about 75%, for passenger car it's about 80%. This is India.

Moderator: We have our next question from Mr Amyn.

Amyr Pirani: Hi. Yeah. My first question was on the ROCE, you know, Gaurav, you mentioned that 1H you have already hit 16% and your medium-term target is 12% to 15%. So how should we think about it? Should we think that maybe the target itself can be upgraded or should we think about that there are factors which could take this back down to that 12% to 15% range, which, you know, which could come in the future?

Gaurav Kumar: So, Amyr, when the target was set at the beginning of this five-year cycle, we were at mid-single digits and we have seen how with focus on certain key of these parameters, how much of improvement we have brought about. And yes, the current market conditions are favorable, but we would definitely be looking to revive the target upwards and

continue to maintain it at these levels.

Amyr Pirani: Great. That's good to know. Secondly, you also talked about the fact that in response to a question that, you know, there was some price action taken on truck buyers by competition and you also responded. So, what I'm just trying to understand is that if say the action was in say truck radial or PCR, would your response have been different because, you know, otherwise the problem with this category has always been that, you know, if one player

does something, others end up, you know, responding to it. So, I'm just trying to understand that, are you okay doing it in truck buyers, but in truck radial you feel you have a stronger position or, or how should we think about this?

Gaurav Kumar: Yeah. So, Amyr, as you rightly said, it will depend from segment to segment.

Truck buyers was facing in fact, much lower demand, lower capacity utilisation. So, we took some pricing action on it and each of these capacities

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or product category pricing decisions would be taken independently. We cannot generalise that we will follow the same way that we did on truck bias, but we still have to function within the overall industry dynamics. So, it will always have to be a call taken, taking into account various factors.

Amyr Pirani: And just lastly, you know, I think this is the, I think in 1H also you maintain significant, you know, control on CapEx. And it appears that your utilisation except for PCR is still below 80%. So, how should we think about this? Do you envisage having to do a major capacity expansion over the next six months? Or do you think that for now, you're still comfortable and that is something that you'll have to think about maybe one year down the line?

Neeraj Kanwar: Gaurav, can I answer that?

Gaurav Kumar: Yes.

Neeraj Kanwar: Okay. So, we are not looking at any growth CapEx, as I've been mentioning

quarter on quarter. We are looking at a very CapEx light model to enhance our capacities in all our factories. And even in my opening remarks, I said, through data, through digitalisation, we are getting a lot of data in our cloud lake. We have two now digital innovation centers, one in the UK, one in Hyderabad. And here there are data scientists sitting and they are analysing data, working along with the plants to see how we can increase our production from the current equipments with a very, very small amounts of investment in CapEx i.e., could be conveyor belts, could be some automation, but not, nothing major. So, we are looking for, the next one to two years, all the growth will come through such innovation in the company rather than to go and buy new equipment. I hope I've answered you.

Amyr Pirani: Absolutely. And that's great to know. Thank you and Diwali greetings in advance to the team.

Neeraj Kanwar: Thank you. Happy Diwali to you too. And one more thing is that what will this drive is our ROCEs will become better. Okay? We already had higher than 15% if I'm not mistaken in Quarter 2, we are aiming at going to much higher levels. So, this productivity enhancement will spread the asset much more at much, much lower CapEx, and we'll be able to achieve much better balance sheet ratios going forward.

Moderator: We have our next question from Mr Sanjeev.

Sanjeev: A couple of years back, you'd put out the message and I remember having a discussion on the nature of your R&D expenses, the fact that you were spending higher than industry, and there was a link between that R&D expenditure and the price premium. In fact, at that time, in the OE segment, you were getting your net-net at a discount to average prices to competition, and then you moved from a discount to a premium. So, your, you know, specific spend on R&D had a measurable, which was that you moved from a discount to a premium in the OE segment. So that was the quali

ty sensitive segment, and it was demonstrated that your R&D was productive. So that's, you know, where are we on that? That's one. So, there are there are two detail oriented and then one big picture question.

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Second was that the offtake with your MBOs was your receivables were lower, demonstrably lower. I remember 18 days as compared to almost 30 to 40 days of competition. So, in the MBOs, it was demonstrated that the same thing was happening in the replacement market. And for me, the demonstrable number was that your receivables were lower as compared to industry. So, where are we on that? So, these are the two numbers related question, which is in line with, you know, you've already answered these questions partly about the movement, you know, up the value chain.

My big picture question is that having gone to the premium end, whether it's through Vredestein or, you know, becoming a global player as compared to competition, you know, which is mostly local oriented, and also being more focused on price performance, etc etc. You know, you kind of moved up the value chain. But once you look for dominance in the volume segment, and given that India remains a BOTP market, will you come back into the commodity segment just to dominate? You know, you have the money, you have the CapEx capability, you can start going in for volume shares rather than price or profit pool shares. So, could we get a sense of now what you're thinking going forward? So, this is the big picture, you know, question which is linked to what you will probably do on the M&A side, having, you know, finished your work on the value chain side.

Neeraj Kanwar: Okay. Sanjeev, there are two, three questions you asked. So, I'll try and answer two of them and the time receivables, Gaurav will take on. So, on our strategy perspective, I want to mention, as I've mentioned all the time that there are key five pillars for us going forward, which is going to drive EBITDA margins and our balance sheet ratios. I'm not so concerned about top line. Okay? And that's my mantra of profitable growth going forward, whether it was eight quarters ago, or whether it is eight quarters ahead.

So, we are not going in for value volume products.

We are very clear we are going only after those markets, channels of distribution, which are going to be profitable to the company, whether it is in India, Europe, etc etc. We will keep on investing in R&D. Please understand

because as you have said, R&D has given us a position in the premium segment. Otherwise, we were never in the premium segment. So today, amongst the Indian domestic players, today Apollo in both the truck -bus radial and in light truck radial and in -passenger car radial is clearly the premium price leader. And why is that? Because of the products and our performance and R&D. Okay? And therefore, we have been able to even garner more market share and we've become leaders in these top three segments of the market. We will continue to invest in R&D. We will remain under 2.5%, 3% to sale is our R&D expenditure.

My second basket, which I spoke about is the Brand. Because we've started investing in the brand, there is a brand pull coming in from the customer. So again, we will continue to build our two brands, Apollo and Vredestein in all our markets. So, my theory is very clear that we want to go into any new country, then we have to go and build the brand and build the product and take small steps. Only then can you garner good market share. So today the

company is very, very clear and focused on looking at healthier margins and had profitable growth. Even going forward, that philosophy is not going to change. That philosophy will remain. We will continue to look at ROCEs, we

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will continue to look at free cash flows, and we will continue to better our margins as we move

forward.

Gaurav, you want to come in?

Gaurav Kumar: Yes. So, Sanjeev, on the receivable front, we've always focused on that. Our working capital management has highlighted against competition. In fact, we've got now the operations focusing very sharply on inventory, where I would say we were at industry medi ans. And we are pushing the operations as to how we can improve and look to be the benchmark on that also.

Sanjeev: So, you know, just to confirm my understanding, therefore, we can look forward to a kind of a hub -and-spoke structure where you have production centers in India and maybe Hungary or Europe, and the rest of it will turn into a logistics and distribution company where you will seek, you know, it's going to turn into a distribution -oriented company if you're going to focus on margins rather than size?

Neeraj Kanwar: I didn't understand your -- where's the confusion?

Sanjeev: What I mean is your incremental investments will now be less towards, you know, manufacturing CapEx and more in on the working capital space. That is how you will push up your ROCE, I presume?

Gaurav Kumar: In the near term, as Neeraj mentioned, currently there is no growth CapEx. At some point of time, as the market grows, etc etc., even to just keep pace, there would be requirements, even the current model is the existing set of plants serving both the domestic geographies and the other international geographies across the world, and that will continue, for them to be just sales and marketing or distribution models.

Neeraj Kanwar: See, we are talking about the next two years, how the markets behave, how our brands behave. We will continue to analyse the markets and right now for the next two years, we are going on a very CapEx light model, which is looking at only digital transformation of the factories.

Moderator: We have our next question from Joseph George.

Joseph George: Hi. A great set of numbers. Just one question. I'm trying to understand what is the trigger point for you to take a price increase? So, you know, earlier you

mentioned that next quarter you expect the RM basket to be up 2% to 3%, which might be a small pressure on margins maybe, but you said it's not enough to trigger a price hike. So, do you have like a, you know, a minimum margin criteria, maybe 15%, 16% whatever that number is or an ROC criteria? And if you see the RM pressure pushing the margin numbers or the ROC numbers below those threshold targets, you trigger a price hike, especially given that you're the leader in taking price increases? So, just wanted to understand your thoughts there.

Gaurav Kumar: So, broadly Joseph, the targets were laid out in the vision numbers, which we have been talking about EBITDA margins in excess of 15%. And we are well ahead of that as discussed recently with Amyn also that ROC E targets also have been exceeded and we will look to maintain these. There is no hard

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defined rule to say if ROC E is currently at 16%, at 15.5%, we should trigger a price increase. It's a discussion that will happen on a very regular constant basis. So as next quarter comes in, up to a certain point, the operations push themselves, challenge themselves to absorb the cost push on raw materials and mitigate it through other means. There is no defined set of numbers to say at this point, we'll take the price increase. But broadly, the intention would be, if we keep a ROC E as a sacrosanct, that should be above the 15% mark that we are looking at very stringently.

Moderator: We have our next question from Akash.

Akash: So, I just wanted to gain some understanding about how the RM management is done, the basically the raw materials, how are they kept? So, can you give a broad sense of like, how's the number of inventory days that we have? And then, also on the sourcing side, how is the sourcing between do

mestic and the international? So, just so we can get a sense of how basically the impact should come to our numbers with what kind of lag and etcetera?

Gaurav Kumar: So, the overall RM inventory for us is usually about 20 days. So, let's say anywhere between 2.5 weeks to 3.5 weeks. In the current set for our industry while you can -- we would usually not be dependent on a single supplier as a risk mitigation strategy. One can tie up volumes with the various suppliers based on estimates of demand and production, but pricing is fixed on a quarterly basis.

Akash: Got it. And on the domestic sourcing versus international?

Gaurav Kumar: So, for our India Operations, it would almost be an even mix between domestic and international, almost like 50-50 can vary plus minus 5% depending on the price dynamics or any other factor from quarter to quarter.

Akash: Got it. And next, so you've been talking about strong volume growth that we are expecting in the coming quarters as well, and everything looks good on the domestic side. But in one of the comments, you also mentioned that we are seeing pick up in the export segment and things are looking incrementally better. So, can you give some more qualitative comments on that what, basically where is the improvement coming from and how much of an extent of improvement can we see so that this volume number that's in the mid-single digit overall, can it move towards the high single digit side in the coming quarters?

Gaurav Kumar: So, while the year-on-year decline in the exports volume is of the order of 40%, but on a sequential basis, export volumes have gone up by 7%. Not one particular category, which is a highlight, it is fairly even between truck, passenger car, etcetera. So, one is looking as this continues, the extent of which the exports were dragging down our top line growth in the domestic market should start improving with the domestic volume, sales volume being

up in double digits compared to last year.

Akash: So, will it be fair to assume that we can maybe in the subsequent one or two quarters go towards the overall volume growth towards a high single digit kind of a number?

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Gaurav Kumar: Definitely possible.

Akash: Best of luck.

Moderator: We have our next question from Mr Nishit .

Nishit: Congratulations on a good set of numbers. I have three questions . Firstly, from a segment perspective, Apollo has done well moving away from CVs to passenger vehicle and now focusing on two -wheeler premium also. Just wanted to hear your thoughts on OHT segment, because that's not a big segment from an overall revenue perspective. But if I look at profit pool, that's a very big segment. One of the domestic players is making good money and has a good global presence, right? So, just wanted to understand, should we not focus in that segment in a really big way and that would help us in profitable growth and improving our ROC? That's number one.

Number two, see, you mentioned that there will not be much growth CapEx in the next at least one year and EBITDA should be healthy. In the first half, we have seen some increase in working capital, but going ahead, your absolute net debt should come down very, very sharply. Is that assessment right? And thirdly, more from an industry perspective, we have seen natural rubber prices hovering around low levels while we have seen some volatility and uptake in other commodities. So, your internal assessment, what is your internal assessment on natural rubber prices? How should one look at it? Because we read some of the expert opinion saying that there is some mismatch between demand and supply, now supply is coming down and all those sort of things. So, just wanted to hear your thoughts. So, these are my three questions.

Neeraj Kanwar: Nishit , on OHT, you are right. There are healthier margins while revenues are small

aller. But here the company is focusing on OHT. I want you to know . We have converted one of our plants - nearly 50% of the capacity is going towards OHT. See, OHT in itself, 80% of OHT is Agri. The remainder is the industrial portion and the actual big sizes. Already in Agri, we are the leaders in India.

As far as Europe is concerned, Vredestein has a premium position in Europe. So, if Michelin is 100 % , we are above 90% . So, we are seen as a premium brand in OHT. Currently, Europe and America OHT market is very, very negative. It's in the tune of I think, minus 30 % or minus 40% over last year. So, the company is holding back on making investments in this. We are right now looking at how we can just sustain ourselves in OHT. But there is a very clear focus going forward. Keep also in mind that CapEx is heavy in OHT. So, first, we want to create the brand, create the market and then slowly, slowly, we will look at CapEx going in.

Then, you had asked about net debt. You are right in your views . I think net debt should be going lower than one as a company. Yeah. Then you have mentioned about natural rubber prices. So , you know, given the instability in the world and in the economies of the world, given there's a war, there are two wars going on today. We cannot predict the prices of natural rubber. But I can assure you one thing that I can predict my margins will be healthier. So , if we have to cut costs, if we have to optimise our sales mix, if we have to also

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take timely price increases, we will take as and when we see the basket of RM going up. So , we will continue to have focus on our margins. So natural rubber prices, I can't predict right now.

Nishit: Just one follow up. What would be the share of OHT in our overall revenues in India and Europe? And if you have the numbers handy, how many SKUs do you have in the OHT segment? Because what I understand is that in this segment, you need to have more and more SKUs to have a meaningful market share. Correct me if I'm wrong?

Gaurav Kumar: Farm and total industrial in India was about 12%, but a large extent of it is farm. Whereas in Europe, it's about 13%. I don't have the number of SKUs readily; we'll have to come back to you Nishit.

Moderator: We have our next question from Mr Priya Ranjan.

Priya Ranjan: So, we have seen significant amount of debt reduction, but we have not seen the amount of corresponding reduction in the interest cost. And is it, I mean, one will be the function of the interest rate has gone up in the last one year. But how should we look at that? Because I think that is one of the critical factor for your PAT growth or the PVT growth, going ahead?

And the secondly, on if you can touch upon the strategy in Europe, because I think Europe at this point of time, I think when the inflation is one of the key criteria in Europe, I think the, our market share should ideally improve being a slightly discounted brand. And this is one of the area where we have to spread our wings, I mean, in the major countries across the different geography within the Europe. So, if you can throw some light on that?

Gaurav Kumar: So, Priya Ranjan, interest cost will keep coming down on a quarter basis there might have been working capital borrowings which are then again not there at the end of the quarter, but broadly the interest cost will keep coming down and then feeding into a net profit growth.

On the Europe side, yes, we are a Tier B brand compared to the absolute top brands, but we are also not a discounted brand and we are not attempting to win market shares, as Neeraj has constantly highlighted, by trying to play the price game. So, we will function within the market of building up the brand, taking steps in the various geographies where within Europe we may be not as strong as some of the other geographies but we will not go after big market

share gains on back of pricing actions.

Priya Ranjan: Understood. And in domestic market you touched upon I mean there has been significant amount of growth in the truck side, but I mean the passenger car any reason because I mean this is one segment the passenger car has been not seen any kind of major degrowth in last many years. So, any specific reason do you see in the market is why the market itself is a weak?

Gaurav Kumar: No particular reason, it has had strong growth this one quarter it was flattish so more an aberration. If we look at the previous years it was growing and it was growing much more than the truck side. So, we are seeing now good signs in the festive season and we expect that our demand growth to come back on the passenger car side also.

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Priya Ranjan: Sure. And the 17 inch, 18 inch do you see that pickup is happening in India as well? Because a lot of SUVs are coming with the 17-inch, 18-inch side and that time in the share of that business is I mean, that kind of vehicle is going up. So, how well prepared we are in terms of in next two, three years? And secondly, in last few years because our focus has been on ROCE and profitability. Our marketing, do you think that our marketing investment has been slightly lower and we need to up that game a bit as well?

Gaurav Kumar: So, the share of 17-inch, 18 inch in India is going up with the SUVs etc etc, but still very small compared to what we see in our European Operations, if there are, if we say UHP is 17 inch and above where it's 40% there, here it's still in mid to low single digits. So, it will keep growing faster than the overall market, but still way behind the international levels. We have increased our

marketing spends . Will you see a sudden big splurge or jump from the current levels ? No, we'll be conscious of building up the brand, but building it up with spends, going along with the focus on profitability and cash flows.

Moderator: That was the last question for the day. I will now hand over the floor to the management for any closing remarks. Thank you.

Neeraj Kanwar: Well, we'd like to thank all of you and be rest assured in quarter three you will see a better result from the company. Thank you.

Gaurav Kumar: Thank you.

Call: Feb 2024

ATL/ SEC/21 February 14, 2024

The Secretary,
National Stock Exchange of India Ltd.,
Exchange Plaza,
Bandra-Kurla Complex,
Bandra (E),
Mumbai - 400 051 The Secretary,
BSE Ltd.
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400001

Sub: Transcript of Analyst/ Investor Conference Call

Dear Sirs,

Pursuant to Regulation 30(6) and 46(2) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we wish to inform you that a Conference Call for the analysts and investors to discuss the financial and operational performance of the Company for Q 3 FY24 was held on February 8, 2024.

Please find attached herewith the transcript of the aforesaid call. The same has also been placed on the website of the Company <https://corporate.apolloyres.com/investors/ir-updates/>

This is for your information and records.

Thanking you,
Yours faithfully,
For Apollo Tyres Ltd.

(Seema Thapar)
Company Secretary & Compliance Officer

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Apollo Tyres Ltd Q3 FY24 Earnings Call

Moderator: Hello , everyone . On behalf of Equirus Securities, I welcome you all to the Third Quarter FY24 Earnings Call of Apollo Tyres Ltd. From the management side, we have Vice - Chairman and Managing Director, Mr Neeraj Kanwar, CFO , Mr Gaurav Kumar and members of IR team.

Without further ado, I hand over the call to Mr Kanwar for opening remarks, post which we can open the call for Q&A. Over to you, Mr Kanwar .

Neeraj Kanwar: Thank you ; good afternoon everyone and thank you for joining us today. As always, I welcome you all to our post results quarterly call. Over the last few years, we have tirelessly focused on improving business fundamentals. Despite subdued demand conditions and the challenging environment across some of our key markets, the team has really delivered its best ever operating performance with our highest ever consolidated EBITDA of more than INR 12 billion in Q3 FY24.

Let me take this opportunity to thank all our stakeholders for their continued support as we scale new heights. I remain very bullish on the future prospects of our company as we are extremely well -placed to deliver superior, sustainable and profitable growth over the medium to long term.

Coming to our performance . Despite headwinds in some of our markets, we reported both Y - o-Y and Q-o-Q growth in consolidated revenues along with impressive 410 basis points Y -o-Y

improvement in consolidated EBITDA margin. The performance was driven by improved sales mix, a benign RM cost and tight control over our overhead costs.

Going forward, we maintain a cautiously optimistic stance on market demand. While we expect a recovery in demand environment in mid-long term, top-line growth is expected to remain muted in the near term. In Europe, we expect the demand to further recover from current sales. We expect the operating environment to remain healthy, helping us further strengthen our balance sheet and pare down balance sheet leverage.

Let me now talk about our key pillars for our Vision FY26. Starting with technology, R&D remains one of the key focus areas. During the quarter, we gained OEM fitments for some of the biggest automotive companies globally, including nomination for vehicles in the niche segments like electric SUVs. Continued work on new material compound development, is playing a vital role in development of new age products. During the quarter, we introduced a new range in domestic commercial vehicle market. And over the next few quarters, you would also witness several exciting launches across our key markets.

Moving to Digitalisation, it is increasingly becoming a cornerstone of our strategy as we harness and leverage best in class technologies and tools like data science, machine

learning, generative artificial intelligence to become future ready and improve our existing processes. We have identified and put in place actions to increase efficiency in our plants, thereby further adding to our ROCE journey. Finally, we are engaged with several startups through our Digital Innovation Hubs with clear focus on identified areas of work like customer experience, etc.

Coming to Sustainability, the team continues to scale new heights as we go ahead. As part of our decarbonisation strategy, we have taken initiatives to lower the emissions. The manufacturing plants at Chennai and Limda in India and Gyongyos in Hungary have invested towards renewable energy projects, which has helped them increase share of renewable electricity in total electricity to 25%.

Talking about the Brand, we continue to invest in brands across our key geographies. Starting with India, we launched our new Apol 10 campaign featuring Sachin Tendulkar in a new avatar, leading to improvement in our brand awareness. Furthermore, we were able to maintain our leadership position on social media during the festive season in Quarter 3.

Coming to other key markets, Vredestein was the official tyre partner of the 1000 Mille Miglia, a vintage car race. We are also one of the official sponsors of the 2023 FIS Alpine World Ski Championship being held in France. The ski championship is a flagship event in the global winter sports calendar, attracting millions of enthusiastic viewers worldwide.

Finally, last pillar of our strategy is our People. As we focus on D&I, we have rolled out revised HR policies supporting diversity, including domestic travel policy, maternity policy, etc. To drive employee engagement, we have launched Apollo Recognition Hub as our new brand unified global rewards platform dedicated to celebrating the remarkable achievements of Apolloites worldwide. As always, we are keeping a close watch on the markets and our costs. We'll continue to be judicious about CapEx and we'll continue to focus on sustainable and profitable growth.

With this, I'll conclude my opening remarks. Thank you for joining. I hand over the call to Gaurav. Thank you.

Gaurav Kumar: Thank you, Neeraj. And good afternoon, ladies and gentlemen. Continuing from where Neeraj left, let me share further details of our operations for the last quarter. The consolidated revenue for the quarter stood at INR 66 billion, a growth of 3% over the same quarter last year. The consolidated EBITDA for the quarter stood at INR12.1 billion, a margin of 18.3% compared to 14.2% in the same period last year and slightly higher 18.5% in the last quarter. In terms of our continued focus on profitability, our net profit was more than 1.8X and EBITDA more than 1.3X of the same quarter last year.

Coming to the balance sheet. We continue to improve our leverage ratios, given the focus on cash flows and profitability. The net debt to EBITDA for the consolidated operations is now at 0.7X versus 1.4X in March 2023. We continue to deliver a healthy consolidated ROCE, annualising the current year performance, the ROCEs would be in the range of 16.5%. In

India, we witnessed Y-o-Y volume growth of mid-single digits, helped by growth in replacement and export channels. Replacement demand continues to show momentum.

Operational efficiency and strict cost control led us to report a very healthy improvement in EBITDA margin, a 519 bps Y-o-Y and a healthy free cash flow. In terms of outlook, while the volume growth may remain muted in near term, given our strong focus on business fundamentals, cost control and free cash flow generation, we expect the operating performance to continue to be strong.

Coming to Europe, the market is showing signs of recovery with PCT volume showing marginal growth. The all-season segment registered double-digit Y-o-Y growth in Q3. We registered a 4% sequential improvement in top line and a very significant improvement in margins, 493 basis points Y-o-Y and 624 basis points Q-o-Q. We have gained market share across all segments, passenger cars, truck and agri segments, with a very healthy volume growth in the Vredestein brand passenger car sales. Our UHP mix continues to remain very healthy.

In terms of near-term outlook, we expect marginal growth in the passenger car segment, and a very significant improvement in the second half of the year. We expect the operating performance to remain healthy, helped by the current RM scenario and the focus on cost optimization. India Operations, the revenue for the quarter was INR 43.3 billion, a growth of 2% over the same quarter last year. The EBITDA for the quarter stood at INR 7.8 billion, a margin of 18.1% compared to 12.9% in the same period last year and 19.1% for the last quarter.

Moving on to European Operations. The revenue for the quarter was EUR 176 million, up 4% sequentially as I mentioned. The EBITDA for the quarter stood at EUR 36 million with an EBITDA margin of 20.3% compared to 15.4%

in the same quarter last year and 14.1% in the September quarter. There is no change in our Capex guidance for the current year and we will continue to focus on profitability, free cash flow generation and improvement in our ROCE as we go ahead.

With this, I will conclude my opening comments. Thank you. We would be happy to take your questions.

Question and Answer Session

Moderator: Thanks team for that opening remarks. We will now start the question-and-answer session. We have our first question from Mr Siddharth.

Siddhartha Bera: Thanks for the opportunity. Sir, my first question is on this outlook. First is basically for this quarter, can you indicate what will be the growth, volume growth on a Y-o-Y basis across the CV, PV segments in the replacement market? And second is, I mean, where do you see the most issue in terms of the recovery? What will drive that? Which segment

seems to be lagging according to you? And second is on the export side also, we have now been looking at quite a modest number for past few quarters. When do you think this recovery will start playing out?

Gaurav Kumar: So, Siddharth, in terms of the truck volume growth was 3% and passenger car 7%. So even on the two main channels, the overall growth is still low to mid-single digits. Exports have started showing signs of pickup. For the first time, we had a sequential growth. So, we expect things to improve. In fact, some of the exports were impacted by the disruptions in the Red Sea. Otherwise, our growth in exports would have been more.

Siddhartha Bera: And second is on the gross margin side. So, we have seen a good improvement in the current quarter. We had earlier guided that we may see a 3% to 4% increase in the RM costs in the quarter given the commodity movement. So, what has changed here and how to think about the numbers going ahead now?

Gaurav Kumar: So, the RM did increase -- the RM basket increased by about 2%, lower than what we had guided at the end of the last quarter. But it still did increase. The gross margin is a little bit of an inventory effect. The outlook is fairly flattish. So similar levels of raw material continuing in near term and then maybe slightly inching up.

Neeraj Kanwar: Gaurav, also another point is the richer product mix which you missed out on. So, like you know, I've been saying this for a long time that we are emphasizing on the product mix basket and trying to see how we can go to more profitable products, both in India and in Europe. As far as Europe is concerned, I'm happy to say that they have crossed the 45 % mark in UHP and UUHP. So those are larger profit pools giving you better margins, healthier margins. Even in India, the product mix is becoming richer, both in PCR and in commercial vehicles. So that's part of why the margins are also better.

Siddhartha Bera: Got it. So lastly, on the Cap ex side, I mean, I know we have maintained it at about INR 11 billion, but doing INR 6 billion now in the last quarter, do you think it is possible or why we are sticking with the guidance when we are doing much lesser than the target? And if you are planning to spend so much, I mean, which areas do you plan to invest?

Gaurav Kumar: Siddharth, a whole lot of Capex is in the pipeline. So, the approval process is there and some of the cash flows haven't happened. We may end up lower by INR 1 billion, INR 1.5 billion but fundamentally, it's not as if suddenly a whole lot of new Capex will come up in the last quarter.

Moderator: We have our next question from Raghunandan.

Raghunandhan N. L.: Thank you, sir, for the opportunity and congratulations on strong margin and leverage performance. My first question to Neeraj sir. Sir, you spoke about how the focus is there on improving product mix. And especially in India, if you can elaborate a little on how things are shaping up in PCR and CV. PCR, how the higher diameter tyres or how, you

know, the acceptance is there for the more premium brands. And also, if you can talk about your readiness, especially to cater to the premium segment or luxury vehicles.

Neeraj Kanwar: Okay. So, as you mentioned about the diameter and Gaurav you can give me that figure, 12 and 13 inch, which is not profitable -- not so profitable like the 15 inch and above. Slowly Apollo has been coming down in that area. We used to be a very significant player 10 years ago, but over time, that pie has reduced and more focus is there on the higher inch sizes in PCR.

As far as premium is concerned, as you know, we have launched the Vredestein brand, I think, 2 years ago. That is playing in the higher luxury car segment, let's say the Mercedes and the BMW and the Audis, whereas Apollo plays in the medium to premium segment. And there is a very good demand coming for the Vredestein brand, which is another profit pool which is being added. So, Vredestein is really playing with the Bridgestone's and the Pirellis, Michelins in India. That's how we have priced it. It's much higher than Apollo. And that is the target audience that we are going after. Slowly, slowly, also, you will be seeing Vredestein retail stores that are coming up all across India, and that will add another profit to the margins.

Raghunandhan N. L.: And in terms of the pricing, when I compare Apollo medium to premium, how would you compare the pricing with that of, you know, peers and Vredestein.

Neeraj Kanwar: Okay. If Apollo is 100, just as an index, yeah, then our Indian players are below 95. So, some are even in the late 80s. And then the higher end at 110 would be Vredestein and above -- or 107 would be Vredestein, 110, 112 would be Bridgestone. So that's how we have priced it.

Raghunandhan N. L.: Got it. That's very helpful. And Gaurav, would you have that breakup between inches, 12, 13 inch and above 15 inch?

Gaurav Kumar: Raghu, we can come back with exact numbers. But 10 years back, 12 inch was the largest selling size which was about 30% of our portfolio. It then moved to 13 inch. Currently, within our portfolio, 14 inch is the largest selling by diameter. And the 12, 13 inch, which used to be almost 50% would now be lower than 25 % as a broad indicator.

Raghunandhan N. L.: Got it. That's very helpful. And on the CV side also, you said that the product mix is improving. Would that be because the entire CV industry is seeing a shift towards higher tonnage vehicles?

Neeraj Kanwar: Yes, partly. And also, what we are doing is we are redeveloping the products because now we've got a good 20 years of experience. So, we are re-looking at weights, we are looking at compounds and trying to see how we can make these tyres much more profitable.

Raghunandhan N. L.: Got it. And in terms of again continuing on the product mix side with your readiness on the electric vehicle tyres, you know, is this journey started in terms of getting the product readiness and how these tyres would be costlier compared to the ICE tyres?

Neeraj Kanwar: So not readiness, we've already launched EV tyres for electric vehicles. It's been, I think, over 6 to 8 months where we've already launched in Europe and in India. So, the difference in electric vehicle tyre is really the rolling resistance and the noise. Because now it's only battery, so you can't even hear the engine. So, noise becomes a very big attribute in the product. And we've been doing this now for several years because the OEs have been demanding this also for normal cars. And so, there's nothing new. But nevertheless, we have come out with a range of EV tyres for India and for Europe.

Raghunandhan N. L.: And any thoughts on how the content per vehicle increases, how the pricing increases, EV versus ICE tyres?

Neeraj Kanwar: Gaurav, you want to comment here?

Gaurav

Kumar: Raghu, right now we don't have a very like-to-like comparison because the SKUs are not similar. So, we'll have to really go back to technology team and Himanshu can come back with that data.

Raghunandhan N. L.: Thank you so much, Gaurav. Just a last question. Any impact you're seeing due to the Red Sea issues, that any temporary impact on delay of dispatches or increase in the freight cost?

Neeraj Kanwar: So, basically, the freight costs have gone up by around 30% to 40%, but that's short term. And the transit time has gone up to coming to Europe, not to America, because America goes a different route. But to Europe, it's taking around 14 to 15 extra days.

Moderator: We have our next question from Amyr.

Amyr Pirani: Yes. Hi, thanks for the opportunity. My first question is just to, you know, continue on that Red Sea issue, which you talked about. So given that, you know, material part of our Europe business is also serviced from production from India, if I understand correctly. Does this mean that we should be prepared for, say, a softer 4Q or you think that that is not going to be a problem? Because the transit times have increased and freight costs have also increased. So how should we think about that?

Neeraj Kanwar: Well, I don't think we are looking at a softer Q4. Obviously, this issue has been going on since November. So, inventory planning has already happened. And if the cost -- if this continues, then generally the distributor, the dealer in Europe takes on the cost. So, like

we saw during COVID times, the cost had nearly increased by 3X or 4X. We were then able to pass on the cost to the distributors.

Amyr Pirani: And just as a follow up, the production that you do within Europe, are there any supply chains which come through Asia in terms of raw material, which impacts it? Because I think Michelin said something about shutting down plants in some areas. So just wanted to understand on that.

Neeraj Kanwar: Yeah, even we've seen that, but we're not having any disruptions as far as RM is concerned.

Amyr Pirani: Okay. And just one last question on India. One of you mentioned that truck volume growth was 3%, PV was 7%. Was this specifically for replacement? Because your overall revenue growth is much lower. And if volume was low to mid-single digit, then I mean, what is going on there? Just wanted some clarification.

Neeraj Kanwar: This was overall , Aryn, there are also other segments, and this is for the quarter, so, the farm, etc would be possibly lower growth.

Aryn Pirani: Okay. So just to stick to that, revenue growth, you know, has been quite weakish, not just for you, for the industry. And, you know, obviously now OEM volumes are kind of starting to moderate. So how should we think of volume growth as well as revenue growth going forward? Because while you have seen a lot of benefits on the gross margin side, I'm assuming that that is not going to be a further driver of EBITDA growth. In fact, in this quarter , I think other expenditure also rose quite sharply. So how should we think of volume growth? Because I think that will be a more important driver of margins going forward than the raw material benefits.

Gaurav Kumar: To answer the latter part of your question, Aryn , yes, other expenses increased that was due to increased spend on advertising and promotion. That's discretionary, which could come quarter to quarter. In the near term, we definitely see the volume growth still being subdued, let's say about a mid-single digit, the current kind of a scenario at best. The expectation is that exports, which has been one of the big laggards , is showing signs of picking up, but in near term, it is still the mid-single digit kind of volume growth.

Moderator: We have our next question from Jinesh.

Jinesh Gandhi: Quickly, on the India business first. So, how has been our market share trend in both in TBR and PCR? I mean, if I compare with the vis -a-vis last year, are we trending up, trending down or is it being stable ?

Gaurav Kumar: Jinesh, there is no official data from the association. Our broad indication is that we would have maintained market share in the passenger car segment. We may have lost some decimals in the truck segment.

Jinesh Gandhi: Okay. So, nothing sizable in terms of increase or loss ?

Gaurav Kumar: Yes.

Jinesh Gandhi: That's good to know. Secondly, in terms of utilisation, we would be what about 80 %-85% in both India and Europe or Europe --

Gaurav Kumar: Still in the 70s, mid to high 70s. So, lot of capacity still there for growth.

Jinesh Gandhi: Europe is also mid-70s.

Gaurav Kumar: Yes.

Jinesh Gandhi: Okay. And lastly, more from medium to long term perspective, given where we are in terms of our balance sheet improvement journey, which we have come a long way. Now, do we need to have more balanced approach towards balance sheet discipline and growth?

Neeraj Kanwar: Yeah. So, that's a good point. I think going forward, like I've been saying, the next 2 years, we are going Capex light. With digitalisation, we are seeing a lot of improvements in productivity happening in all our plants. So, my emphasis into the organisation is to put more focus on AI and machine learning and try and ease up capacity. Currently, capacities are running at 80 %-85%. But even if the markets were to grow much more aggressively, I think we are ready to take on that demand from the current capacities. So, we'll continue to have a look and do the balancing. But we do not have any major growth plans coming ahead.

Moderator: We have our next question from Arvind.

Arvind: Hi, sir. Thank you for taking my question. Sir, the question is more on the pricing. Since you said there has been a slight escalation in raw material basket or is going to be. How is the pricing environment? If you could just share any price hikes taken in third quarter or any planned over next 3 to 6 months.

Gaurav Kumar: So, Arvind, no price hikes have been taken. While yes, raw material did go up marginally and that's reflected in a slight reduction in the margins, profit margins. Currently

the raw material scenario is still fairly benign. So, there is no price increase planned. We will see as to how things are and then take a call.

Arvind: And Gaurav, if I may just add on to it, given where the margins are right now and you said it is sustainable, do you see that there could be some pricing actions to improve market share or do you think these margins and market share both are sustainable at the current stage?

Gaurav Kumar: So, Arvind, we do not give margin guidance. This kind of raw material scenario has been prevailing for some time, a little bit movement up or down. There's been no significant pricing action by any of the players to grab market share. Small bit of discounting schemes have happened, which is usual for the industry. As of now, for the past few quarters, we haven't seen any major pricing action. Still difficult to predict the future.

Moderator: We have our next questions from Mumuksh.

Mumuksh: Hi, sir. Thank you so much for the opportunity and congratulations on the solid margins. Can you share how is the growth in the replacement market and also subsegments in the replacement market?

Gaurav Kumar: Replacement market, the growth in the current quarter for truck in fact was 8% volume growth and for passenger car, it was 4%.

Mumuksh: Got it, sir. And sir, in the OEM segment, this quarter, PV and CV OEM production was in positive growth in Q3, but we had a flat volume performance. What could be reasons for the slight underperformance?

Gaurav Kumar: On truck side, one of the reasons was that where we have a certain amount of higher market share, which is multi-axle vehicle

s, there the growth was lower and which reflected in how it played out in our volumes.

Moderator: We have our next question from Nishit.

Nishit Jalan: Yeah, hi. Thank you for the opportunity and congratulations on good set of numbers. I have two questions, right? First one, we have enough land in Andhra, I think to go brownfield. So just wanted to understand if at all we have to do Capex or double up our capacity in trucks and PCR, what kind of Capex would that entail? Last time, if I remember correctly to set up, I think about 15,000, 16,000 car tyres and 3,000 truck tyres per day, you incurred about, I think around INR 4,000 crores kind of a Capex.

And number two, Neeraj, you have talked about digitisation, AI and machine learning. Can you give a few examples as to what, how that has led to capacity increase or productivity

increase? And if you can share some, any broad numbers, let's say if you had 50,000, 52,000 tyre capacity in PVs, how has that increased because of these initiatives?

Neeraj Kanwar: Okay. So, you've asked a lot of questions. Let me try and answer. Yes, Andhra, we can -- actually the land, we can go at least 3X of what is already installed. But, you know, the initial capacity, the initial investment to create this capacity is much more and then comes in phases and in steps. So, you're right to set up the 16,000 and 3,000 TBR, we spent around INR 4,000 crores. But going forward, that 16 won't be 16, we'll go incremental. So, we'll go 8,000 of PCR. That's one block. And then, TBR goes up by, I think, 1,200 or 1,500. That's another block. That kind of an investment you are looking at half of what is the initial investment, because the initial investment has also been put up for the infrastructure around the plant, which includes utilities, roads, canteen, offices, etc. So, you don't need to invest in that anymore. So that's your first question.

The second one, I can cite you an example of, so today what's happening is there are seven plants that we have. All the data now is on the cloud. And we are getting real time data and the data scientists sitting in the UK and in India, we have these two data hubs, innovation hubs, where the scientists are sitting and analysing the data. When you look at, let's say mixing, today we have around 45 mixers across the organisation. To mix the same

compound, some are running at different speeds, some are running at different speeds. So, what happens is we are trying to standardise that; so that all speeds of the same compound are similar. What happens then is that the productivity increase that we've seen is around 10% to 12% on the mixing capacity. And just to give you another data point, to put up a mixer, it costs you, anyways, from INR 25 million to INR 30 million. So that's what you are really saving on.

And then you also mentioned about the capacity enhancement. So, we are already looking at increases. Gaurav, what was our PCR capacity total? 68,000 per day, right?

Gaurav Kumar: Across the various plants, it was 68,000. We are looking to get into next year at 73,000.

Neeraj Kanwar: Yeah. And that 68,000 going to 73,000, that 5,000 has come purely because of AI, machine learning, corporate engineering, manufacturing technology. There's a whole team that's working towards this.

Nishit Jalan: Wow, that's very good, I think. That will save you a lot of capex as well.

Neeraj Kanwar: Yeah, I just gave you the capex figures. It's huge. And if you are able to do more, which we will, we will keep on emphasising on this point. So, I'm more open to putting money behind digital rather than to put behind equipment, which is much cheaper. I mean, to go digital is much cheaper.

Nishit Jalan: Correct, correct. And just one more question. Some of our plants in Kerala are kind of old. We would not need to replace those plants or incur a replacement Capex anytime

me in the next couple of years, I assume? Or we will need to do something of that sort?

Neeraj Kanwar: Gaurav, you want to answer that?

Gaurav Kumar: Nishit, the Kerala plants are fundamentally bias tyre plants. And there's a certain amount of equipment replacement, which is part of the maintenance Capex, which happens. Refurbishment, replacement of any particular Capex. In a summary, is there any major Capex requirement in the Kerala plants or the older plants in the next few years? No. It will be the usual maintenance figure, which has been there for the last few years also.

Nishit Jalan: Correct. Got it. And I don't know if you shared. Can you share the consol and standalone net debt numbers? Maybe I missed it if you shared.

Gaurav Kumar: Just a minute. So, the standalone net debt number is INR 2,600 crores. And the consol net debt number is INR 3,000 crores.

Nishit Jalan: Just one more question, slightly more industry specific and structural, not quarter linked. So, we have seen the pricing power in the industry improving, obviously, for you and for other players also. What according to you, has driven this in the last couple of years? Is it purely because of imports being restricted and that not impacting the market? Or do you think -- because there have been instances when a market leader has tried to cut prices or become aggressive, but they have not been able to do much, right? So, just wondering, your parts of the industry, is import the only factor which has played such a big part? Or there are other factors also which have helped in our improvement in pricing power in the industry?

Gaurav Kumar: So, Nishit, it's a difficult one to answer because each player goes through their own thinking. Imports being restricted is definitely a helpful factor, but keep in mind that the import share was still a small one, ranging from about 10% to 15% across truck and car categories. The domestic players, including some of the multinationals, still were having the larger market share. And a benign raw material scenario and some bit of rationality has obviously helped in the last few quarters.

Neeraj Kanwar: And some sort of maturity also I would add to that.

Nishit Jalan: Yeah, I hope that maturity continues. Thank you. All the best.

Moderator: As there are no further questions, now I hand over the call to the management

for the closing remarks. Over to y ou, sir.

Neeraj Kanwar: We'd like to thank all of you for joining us and hope to see yo u in the next quarter. All the best. Keep safe. Thank you.

Gaurav Kumar: Thank you.

Call: May 2024

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TL/ SEC/ 21 May 22, 2024

The Secretary,
National Stock Exchange of India Ltd.,
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BSE Ltd.
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400001.

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Transcript of Analyst/ Investor Conference Call

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ursuant to Regulation 30(6) and 46(2) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we wish to inform you that a Conference Call for the analysts and investors to discuss the financial and operational performance of the Company for Q4 FY 24 was held on May 15, 2024.

Please find attached herewith the transcript of the aforesaid call. The same has also been placed on the website of the Company <https://corporate.apolloytyres.com/investors/ir-updates/>

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ours faithfully,

For Apollo Tyres Ltd.

(

Seema Thapar)

Company Secretary & Compliance Officer

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Apollo Tyres Ltd Q4 FY24 Earnings Call

Mitul Shah : Good day , everyone. This is Mitul Shah from DAM Capital. On behalf of DAM Capital, I welcome you all to the Q4 and Year -Ended March '24 Earning s Call of Apollo Tyres Limited. From the management side we have Vice Chairman and Managing Director, Mr Neeraj Kanwar; CFO, Gaurav Kumar , and members of IR team.

Without taking much time I hand over to the call to Neeraj sir for opening remarks post which we can open the call for Q&A. Over to you, sir.

Neeraj Kanwar: Thank you, and good afternoon my friends and thank you for joining us today. I welcome you all to this post results quarter call and I'm pleased to provide an update on our company performance and outlook.

As you may be aware that Satish has decided to take early retirement and pursue his personal interests. It was an emotional moment for the organi sation yesterday, but we understand and respect his decision. We wish Satish all the very best in his well -deserved retirement.

I would also like to congratulate Gaurav, our CFO for joining the Board. The Board of Directors have approved his appointment as a Whole Time Director, obviously subject to Shareholders approval. Gaurav's presence on the Board will further strengthen our financial lens on strategic decision -

making. Congratulations Gaurav.

In terms of operating performance, despite several headwinds this quarter, the team has once again delivered a healthy performance with consolidated EBITDA margin of nearly 16.4%. Few years back, we came out with our Vision 2026 targets. I would also like to take this opportunity to highlight that despite less than favorable market conditions, the team has not only achieved but has exceeded three out of four key financial targets, well ahead of the defined timeline of 2026.

Talking about these, in terms of consolidated EBITDA margin, against a target of 15%, we have achieved 17.5% margin for FY24. Please note that this is despite additional charge of INR 68 crores on account of EPR liability. Similarly, in terms of consol net debt /EBITDA, against a target of less than 2x, our FY25 number stood at 0.6x. Consequently, FY24 consolidated ROCE stood at 16% against our target range of 12% to 15%.

Given the unwavering work being done around key pillars and our recent accomplishment, we are confident and excited for what lies ahead. I believe we are all well-placed to leverage the upcoming opportunities and remain extremely bullish on the long-to-medium-term prospects for the company.

Before diving deeper into the quarter's performance, I would like to thank all our stakeholders for their strong and unrelenting support. Going forward, w

e'll maintain a cautiously optimistic stance on market demand. We expect the demand in India to pick up post elections. We have already registered a double-digit growth in our commercial vehicle and passenger

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car volumes for the month of April 2024, while demand in the Agri segment also seems to be coming back.

Coming to Europe, we expect the demand momentum to be better in FY25 compared to last year. In Europe also, markets registered a double-digit growth in volumes in the month of April 2024. We are extremely well-placed to leverage improving demand momentum, given our investments in our factories, in our infrastructure, in our product, and marketing.

As always, we are keeping a close watch on the markets and our cost. We aim to maintain strong operating performance through a mix of efficiency gains, superior sales mix, and well-timed pricing actions. We will continue to be judicious about Cap ex and will continue to focus on sustainable and profitable growth.

With this, I conclude my opening remarks and I hand over the call to Gaurav. Thank you. Gaurav, over to you.

Gaurav Kumar: Thank you, Neeraj, and good afternoon, ladies and gentlemen.

Continuing from where Neeraj left, let me share further details of our operations from last quarter. The consolidated revenue for the quarter stood at INR 62.6 billion, flatish compared to the same quarter last year. The consolidated EBITDA for the quarter at INR 10.3 billion, was a margin of 16.4% compared to 16% in the same period last year. This included the EPR liability on the India Operations which Neeraj talked about. Excluding that, the consolidated EBITDA would have been at 17.8%.

Coming to the balance sheet. We have been able to further improve our leverage ratio, given the focus on cash flow and profitability. The net-debt-to-EBITDA for the consolidated operations was at 0.6x at March 24 versus 1.4x at the beginning of the year. Over the year, we have reduced our leveraging by a significant INR 18 billion.

Helped by a healthy margin performance, strong Cap ex control, our consolidated ROCE for FY24 stood at 16%, an improvement of around 600 basis points compared to last year, and significantly above our stated targets in the current Vision period.

Coming to India Operations, while the overall volume growth was at 4%, we had good growth in the key segments of TBR replacement and PCR replacement at 7% and 10% respectively for the quarter. The replacement segment has also shown good growth for the full year. Exports are already showing encouraging signs of pickup. The revenue for this quarter was INR 43.9 billion, a small growth over the same quarter last year, and a more than 1% growth over the sequential quarter.

The EBITDA for the quarter stood at INR 6.8 billion, a margin of 15.6% compared to 15.9% in the same period last year. Again, if we exclude the EPR liability of INR 685 million, the margin for India Operations would have been at 17.2%, just a little below previous quarter margin. We continue to maintain the market leadership on profitability. We will mitigate the margin impact of EPR regulation through price increases, which had been already announced in May.

In terms of outlook, we expect the demand momentum to get better, and we are seeing good signs already, which Neeraj talked about. In terms of raw material outlook, we expect the raw material cost to go up by mid- single digits in the current quarter. We will seek to negate that through price increases.

Given our strong focus on business fundamentals, cost control, free cash flow generation, we expect the operating performance to continue to be strong. The net-debt -to-EBITDA for India Operations. stood at 0.7x at the end of March 24, again a debt reduction of INR 11 billion in the current year in India Operations.

Coming to Europe Operations, the revenue for the quarter was EUR 182 million, up 3% Y -o-Y. This was against a subdued market scenario. While the market overall for the year declined for all the product segments including PCLT and TBR, we showed signs of recovery with our volumes in these segments showing growth. We have gained market share across all product categories.

The EBITDA for the quarter stood at EUR 35 million, with a robust EBITDA margin performance of 19.1% compared to 18.1% for the same period last year. This has been our best -ever Q4 performance for the European Operations.

In terms of outlook, markets are expected to be better than last year. We are already seeing encouraging signs in April, as Neeraj talked about. We expect the operating performance to remain healthy, helped by our focus on product mix and enrichment, cost optimisation. Our UHP proportion continues to improve.

The actual Capex cash flow for FY24 was significantly lower than the guidance as we curtailed Capex. Against a guidance of INR 1,100 crores, the spend was only around INR 700 crores. And our Capex guidance for the coming year, which is FY25, is in the region of INR 1,000 crores.

We will continue to focus on profitability, free cash flow generation, and improvement in return ratios as we have continuously talked about. With this, I conclude my opening comments. Thank you. We'll be happy to take your questions.

Question and Answer Session

Mitul Shah: We'll start with a Q&A session. Those who wish to ask questions, please raise your hand. Accordingly, we'll start. We'll wait for question queue to get assembled. First question is coming from Raghunandan NL. Please unmute yourself and ask the question.

Raghunandhan N.L.: Thank you, sir, for the opportunity. And thanks for taking my question. Sir, firstly, on the volume growth in Q4 for standalone, can you break down further into OEM, replacement and exports?

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Gaurav Kumar: So, Raghu, the volume growth for...

Neeraj Kanwar: Gaurav, let him finish the entire question.

Raghunandhan N.L. : Yeah. So, good to hear the strong demand for April. In terms of the expectations, can you talk about how you see the replacement growth for the overall industry in TBR and PCR for full year FY25? Would it be reasonable to assume a mid -single digit growth for TBR and maybe a better high single -digit growth for PCR? And also, on the export side, there is strong double -digit growth last few months. Can you talk of expectation for exports from India and also Europe growth for Vredestein ?

Neeraj Kanwar: Okay. So, Gaurav, you want to take the first part?

Gaurav Kumar: Yes. So, Raghu, the volume growth for Q4 replacement, I already talked about 4%. OEM was a negative 10%. And exports in the last quarter was a very strong growth of 30% plus.

Raghunandhan N.L. : Got it, sir. And what would be your expectations for FY25 for the industry?

Neeraj Kanwar: Yeah. So, like I said, April has had a double -digit growth in both PV and CV. I'm seeing a recovery happening even in Agri now. We are seeing slowly the demand coming up. My expectations would be a high single -digit for CV and a double -digit for PCR. And I 'm coming from the back of all the infrastructure spends that have been going on in India currently. And once the elections are over, it is going to be a lot of thrust into infrastructure in building roads and building ports.

And yes, consumer demand is up. So, you will also see the passenger car segment going up. And so, you're right in saying our exports have grown in Q4. And we see Q1 also going in the same direction. As long as things remain same, I'm also bullish about exports going out of India.

Raghunandhan N.L. : So, if you can elaborate a little where you're seeing which categories, which regions are doing very well for you and what can further help that growth during the year?

Neeraj Kanwar: So, MEA, Middle East and Africa is now coming back up . And t hat had gone down. So, we see certain areas like Saudi coming back up. We see certain areas of Africa coming back up. Also, our operations in America have started picking up. So, there's exports happening to the US from here. And I'm now talking generally about both CV and passenger car segments. So, you know, when you're entering a new market, it does take time to build the brand and to build the network.

So, things are going in the right direction and more headways are being made in these main markets that I'm looking. Obviously, Europe also, like I mentioned to you, has had a double -digit growth in the month of April. We are a little bit cautious on Europe, given the uncertainties in Europe, but Vredestein is making good headway specifically in the UHP, UUHP segment, where already we are looking at above 45% of our pie is in the higher end of the segment.

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Raghunandhan N.L. : Thanks for that, sir. And congratulations on increasing that UHP share to 47%. Gaurav, just one clarification . On this EPR , how is this EPR being calculated? EPR ratio stands at 0.8% of domestic sales for Apollo T minus 2, while one of your peer has indicated an EPR ratio range of 1.2 % to 1.4%. Just trying to understand how the computation has happened. That's all from my side.

Gaurav Kumar: So, Raghu, on the EPR, as per the regulation, on the commitment for 2 years prior, it was linked to 30% of production. And for the previous year, it was linked to 70%. And going forward, it will be linked to 100% of production of a prior year. So that is why you see difference, first of all, even within the same company's figure for different years.

The second factor which would make it different for different companies is relating to buying of certificates. And at what price the certificates relating to complying with the EPR obligatio

n are picked up, that may vary across the company. So , we would not be able to comment on another company's final financial liability that they have taken on the books because it is linked to both production and to the price of certificates that they have picked up.

Raghunandhan N.L. : Thank you, Gaurav. Very helpful. I'll come back in the queue.

Gaurav Kumar: Thanks, Raghu.

Mitul Shah : The next question is from Siddhartha Bera . Please unmute yourself and ask your question.

Siddhartha Bera : Yeah, sir. Thanks for the opportunity. Sir, my first question is on the volume side again. I mean, if we see on the OE side, probably for the full year also, we have seen a decline compared to growth in the industry. So first, your thoughts probably, I think one reason might be that we have focused more on profitability and going ahead this year also, we do see OE industry sort of probably growing in single digits. So , do you think our trend on the OE side will probably continue in the coming year also or do you expect here, we will probably grow ahead of the industry? So , some thoughts on the OE growth for this year?

Gaurav Kumar: Siddhartha a, overall for the full year, the OE volumes were almost flat. We had strong growth in the passenger car segment. The area which pulled it and negated it down was a negative growth in the TBR OEM segment. Particularly, the large, higher capacity trucks sold less and with the growth coming very strongly in the area of buses, where we have stayed away on profitability reasons. We expect with the kind of infrastructure spends that are happening, volumes will come back on the cargo movement side of MHCv and that should provide us growth in this current year.

Siddhartha Bera : Okay. Got it. And second is sir, on the replacement side in truck and bus segment, can you just indicate what will be our market share currently and maybe last year, similar quarter, any trends there?

Gaurav Kumar: So right now, the market share numbers are broad estimates because we do not have the published industry figures. We expect our market share to be broadly in the high 20s, closer to 30%. We've had volume gains even in the full year for TBR and for overall replacement. So , we would have continued

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to maintain / gain share in TBR replacement with whatever market share losses coming would be on TBR OE.

Siddhartha Bera : Okay. Got it. Second, sir, question on the pricing. So , we have indicated up to 3% price increase. Can you probably quantify on a blended level for us, how much ASP increase can we expect or has happened probably in May?

And given the cost increase now on the commodity side, which you have indicated, how much more cost or price increase we need to take to sort of offset this cost impact?

Gaurav Kumar: The broad indications, Siddhartha, and we will still get to know the actual price cost. In May, we have taken about 3%. That negates the entire EPR and maybe to a certain extent, raw material. We may need another small increase to completely cover the entire raw material and the EPR cost increase for Q1.

Siddhartha Bera : Okay, sir. Got it. Thanks. I'll come back in the queue.

Gaurav Kumar: Thank you, Siddhartha.

Mitul Shah : The next question is from Amyn Pirani. Please unmute yourself and ask your question.

Amyn Pirani : Hi, can you hear me now?

Gaurav Kumar: Yes Amyn.

Amyn Pirani : Yes. Thanks for the opportunity. My first question was actually, you know, on your Cap ex, you know, last 2 years, you have been, spending less than what the initial expectation was. And even in FY25, the number remains at INR 1,000 crores. So given that, I think at least on PCR, you are at high -capacity utilisations. How should we think about what is your expectation of growth? How should we think about growth in this category, because I think whenever you start a brownfield expansi

on, it will take 12 to 18 months, you know, so just some thoughts there.

Gaurav Kumar: So, Amyn, you know, our industry quite well. And one of the reasons in the last couple of years of Cap ex being lower, we have significantly tightened up our control elements on Cap ex. And since volumes have been behind the initial expectations, or with general market conditions being quite tough, Cap ex has been pulled back.

You are right that the passenger car tyre capacity utilization is in the 80s. If the current expectations on demand hold up, and we will be carefully watching that, maybe in the second half we will start a small capacity expansion on passenger car, nothing has been committed yet. But a small amount is budgeted in the number that I talked about, which will lay the foundation for a capacity that we need in FY27. We are well covered for FY25 and FY26.

Amyn Pirani : Understood. Understood.

Neeraj Kanwar: And Gaurav, we've been mentioning in the same forum about AI and machine learning and the enhancement we are doing through these tools

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on productivity increases in all our PCR plants. And we believe that we could look at close to a 10% to 15% increase in productivity from the current equipments that are already in the plants through AI and machine learning. And that's our target that we are taking. So, any growth that is coming, first, we will look at a Cap ex-light model, which is investments in technology and in digital, and then only go for these small expansions that Gaurav has spoken about.

Amyn Pirani : Great. That's good to know. My second question is, you know, like you mentioned at the beginning of the call, you have exceeded on your leverage targets. So, the corollary to that, you know, something which you have not guided for, but which would be interesting to know is, how should we think of dividends, because if you are actually throwing up significant amounts of cash flow, balance sheet is stronger and Cap ex looks like near -

term is not going to be that high, how should we think of dividend going forward?

Neeraj Kanwar: Aryn, we have a very clear, clearly listed dividend policy, which has been cleared by the Board, which is to say that the payout has to be between 20% to 35%. You also have to look at future spends as we go along. And therefore, the Board yesterday only has declared a INR 6 dividend, which is an all-time high. So, we keep balancing it out, looking at market conditions and looking at our own Capex outlay that we have in mind, and looking at also the environment and the economy. And so, very clearly, we have been within the 20% to 35% range, depending on markets.

Gaurav Kumar: And Aryn, this policy has been firmed up looking at the benchmark of the global tyre industry, auto component industry, and in fact, the attempt has been to be at the higher end. So, even if you look at the last few years, the dividend payout has been above what tyre industry or typically more than what auto component has been.

Aryn Pirani: No, I appreciate that. I think the question is just that while your FY26 target was to remain below 2 times net-debt-to-EBITDA, clearly, you know, obviously, nobody knows what's to happen in the future. So, unless, you know, there is something really going wrong, hopefully, you will be net cash at some point of time in the next 12 to 18 months. And as a net cash company, then how should we think of dividends, it was the directional question that I was trying to ask.

Gaurav Kumar: Board would be better placed, but highly unlikely that we would borrow to go up on dividends, that we borrow cash because there is not enough debt on the balance sheet just to distribute out. But in a scenario, like you have painted, Aryn, pretty much all the excess cash generated would then possibly be paid out to the shareholders.

Aryn Pirani: Understood. Understood. That's good to know. Thank you. I'll come into queue.

Mitul Shah: Next, we have a question from Arjun Khanna. Please unmute yourself and ask the question.

Arjun Khanna: Hi, thank you for taking my question. My first question is regarding EPR. If you could help us understand, so these provisions have actually been, these are

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just provisions or have we actually purchased the certificates as required under the regulations?

Secondly, are there enough certificates available for the volume of production that we would have probably what we would have done 2 years back to purchase this year for the entire industry, domestic sales? And three, have we registered as just a manufacturer or are we registered also as a recycler under the Act?

Gaurav Kumar: So, Arjun, we are in the process of purchasing the certificates. We have not purchased the entire lot, because as you yourself rightly said, right now the quantum of certificates available is in shortfall vis-a-vis the overall requirement. But the provision has been made based on the current purchases for the entire amount of certificates. The availability of certificates also is improving as we go along. It was, it is significantly better today than it was a quarter back. And that is why we've been able to meet a certain amount of requirements as actually buying the certificates. We will have to check, but from what I recall, we are listed as a -- registered as a manufacturer, not as a recycler, but we can check and get back to you.

Arjun Khanna: Sure. So, this was only in the limited context of certificates not being available. Do you see a scenario where we would also have to go into recycling?

Gaurav Kumar: If that is the case, it will be examined as a separate business proposal, Arjun. We will not get into recycling because of a certificate need, because even from a government perspective, they are clear that the necessary infrastructure, the necessary requirement from the recyclers in terms of making certificates available has to evolve. A manufacturer would not be forced to get into recycling to meet this compliance.

Arjun Khanna: Sure. Very helpful. Sir, the second question is, if one looks at our top line, one does see a slower growth on the domestic side with respect to our peers, essentially indicating we probably would have lost some market share. At what point in time do we take corrective measures or we are on the margin, okay, losing market share? Just your thoughts, please.

Neeraj Kanwar: You know, as I mention always that going forward, the new mantra for Apollo is profitable growth, and in that profitable growth, we have given up on some sizes that we believe are not profitable, specifically to do with smaller sizes and also looking at different channels. So yes, in let's say, in truck, we would have lost a little bit market share, but the growth has actually come in the bus segment, which is really not a profitable segment, which is a people movement. That is where we are seeing growth. And on purpose, Apollo is not entering that segment. As I said, it's not a profitable segment. But obviously, we will continue to gain our leadership in both truck and passenger car. And we will, I mean, it's a very clear balance between profitable growth, looking at market shares.

Arjun Khanna: Sure. Thank you. Wishing you all the best.

Neeraj Kanwar: Thank you.

Mitul Shah: Next question is from Mumuksh Mandlesha. Please unmute yourself and ask the question.

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Mumuksh Mandlesha: Thank you so much for the opportunity. Gaurav sir, to you, on the blended price hike, which was taken at the end of April, it's a 3% on blended, right, sir?

Gaurav Kumar: That's correct, Mumuksh.

Mumuksh Mandlesha: And or how would be the segment wise, sir, TBR and PCR, if you can indicate?

Gaurav Kumar: I won't have that number immediately, Mumuksh. The investor relations team can get back to you.

Mumuksh Mandlesha: Sure. And one of the major peer is delaying the price hike. How would you see that? Would it make it more difficult to take price increases ahead?

Gaurav Kumar: That's a fine balance, Mumuksh. We always have to see and then balance out. We can't go way out of the industry or the pricing ladder. We have always taken the lead on price increases. And we will balance that looking at the overall industry scenario and our own profitability targets internally, whether we will take another price increase based on competitor action, etc. We'll have to see the overall scenario and take a call.

Mumuksh Mandlesha: Got it, sir. And on the Europe side, margins have grown well, sir, despite flat revenues. So, what are driving margins? Is the price increase a better mix, sir?

Gaurav Kumar: The large part of this in the last quarter was a better mix. As Neeraj talked about, the UHP proportion was significantly higher at 47% against our more steady -state average of 43%. And that's the constant endeavor of Europe Operations to continue to enrich the product mix, which is a significant boost to profitability.

Mumuksh Mandlesha : Any price hike, sir, in Europe?

Gaurav Kumar: Not yet. Now, with the raw material scenario, they would be looking at price hikes.

Mumuksh Mandlesha : Got it. Just lastly, on the other expenses in the standalone business has grown by 7% excluding the EPR expenses on a flat revenue Q-o-Q. So, what has led to the increase and what should be the run rate going ahead?

Gaurav Kumar: Apart from the EPR, the other increases are fairly standard. Some higher spends in advertising, brand promotion, etc. There could be one-off spikes, I would say in a quarter or so. Apart from the EPR, it will come back to a steady-state.

Mumuksh Mandlesha : Thank you so much for this.

Gaurav Kumar: Thank you.

Mitul Shah : Before we go to the next participant, I would like to highlight that those who want to ask the question, please raise your hand. Next question is from Siddhartha Bera. Please unmute yourself.

Siddhartha Bera : Thanks, sir, for the follow-up. Just some data on the Reifencor business, if you can share the revenue and margins for the quarter.

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Gaurav Kumar: Sure, Siddhartha. So, for the quarter, the Reifencor revenues were Euro 35 million with a breakeven EBITDA. And for the full year, they grew by a small percentage. They are closer to Euro 210 million revenue with a 4% EBITDA.

Siddhartha Bera : Got it. Sir, second question is on this tax rate. Should we expect it will come back to the 25% tax regime or do you think the standalone tax rates, what is the range you probably are budgeting for the next year?

Gaurav Kumar: Ravi, do you want to answer this?

Ravi Shingari : Sure, Gaurav. So, the tax rate, we are yet to, you know, we have MAT credit with us. So, we'll continue with the old regime. On the lower rate, as per our projections, we are still some time to get to the new regime. So, you will see our cash tax payout is below, is about 15% to 16%. But on the P&L tax rate, because of the deferred tax calculation, it comes at an effective rate, which is higher. So, we will switch to the new regime once we have exhausted out MAT credit.

Siddhartha Bera : Okay. Okay. Got it. Thanks a lot, sir. I'll come back in the queue.

Gaurav Kumar: Thank you, Siddhartha.

Mitul Shah : Next question is from Aryn Pirani. Please unmute yourself and ask the question.

Aryn Pirani : Yes. Hi. Thanks for the follow-up. You know, the other question is, you know, on Europe, you've seen your margins come back to 17%, 18% after a weak 1H. As we move into FY25, you're saying that price hikes have not yet been thought of. So how should we think whether this margin on a full year basis can continue at

this level or will there be some headwinds because demand also right now, while it's good on a low base, you didn't sound very confident as to how the year could progress. So how should we think of Europe going forward?

Gaurav Kumar: So, on a full year basis Aryn if you look at it the second half as you rightly said was very strong. We were at 20% -19% plus vis-a-vis what we did in the first half. But on a full year we are just a little short of a 17% EBITDA and which we

believe is something we can deliver in a steady -state. There may be variations from a quarter to quarter but a 16 % to 17% EBITDA margin for our European Operations with their current mix profile is something we are looking to deliver on a consistent basis and at times when the market situation is favorable , we deliver a much higher performance.

Neeraj Kanwar: And in addition to this we are also planning , Aryn, to take a price increase of around 1 % to 2% in quarter two, given the cost push that we are having so we will be taking -- we planned it , let's see how it goes. We will keep on correcting our pricing depending on input cost.

Aryn Pirani : Understood. And secondly you know just on your interest cost as a whole you know for standalone as well as consol , you know , while the deleveraging of debt has been quite sharp over the last 2 years interest cost on a relative basis is still you know pretty sticky , like for example , even in India you know 1H you had a quarterly interest cost of around INR 105 crores to INR 106 crores – INR

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105 crores to INR 110 crores in 4Q also we are still at INR 88 crores . So, is there some element that you know is not being captured by the debt , is there some interest rates which have gone up and how should we think of the interest cost itself coming down in the P&L?

Gaurav Kumar: So, Aryn the interest cost will keep coming down with the debt . There is a certain element of higher interest rates even on a working capital borrowing currently . So, on a like -to-like basis if there is any short -term borrowing during the year it is happening at a higher rate vis -a-vis the past . Thankfully at such times there's been no long -term borrowing . Even in Europe the interest rates have gone up since they are linked to a benchmark rate vis -a-vis a couple of years back. So that is why you are not seeing a similar quantum of interest reduction as the debt reduction. But going forward, the interest cost will keep coming down as the market situations are also movin g to somewhat normal scenario.

Aryn Pirani : And are you seeing, based on your current, you know, short -term debt rates, are you seeing any further spikes in India or Europe or are you seeing now stability compared to last few months?

Gaurav Kumar: There are no further spikes. I'll have to specifically check on an immediate scenario vis -a-vis if we have started seeing reductions, but there is no further spikes.

Aryn Pirani : Okay. Understood. Thank you. I'll come back in the queue .

Gaurav Kumar: Thanks , Aryn .

Mitul Shah : Next question is from Raghunandan N .L. Please unmute yourself and ask the question.

Raghunandhan N.L. : Thank you, sir, for the opportunity again. Sir, to Neeraj, sir. One of the area s of focus has been on premiumi sation where you've been focusing on higher diameter tyres , you introduced Vredestein in India and also getting products ready for EV. Can you talk about, you know, how this has been progressing in terms of product mix improvement, benefits on, you know, realization margins? And also, do you see that leading to better brand positioning, market share gains?

Neeraj Kanwar: Raghunandan, well, firstly, yes, that progress is going very well in the positive direction. So let me talk about Europe. Like I mentioned in my opening remarks, UUHP has gone to 47% of our total pie. And therefore, you are seeing better

, healthier profit margins in Europe also. Secondly, we did launch the Vredestein brand in India, where we are seeing a good customer demand for the brand. Slowly, gradually, there is growth in volumes in the Vredestein brand. There's a lot of marketing , brand building activities happening at the

India level.

And these are good margin products that we are selling in the market. And you would see that as far as Apollo is concerned with its Indian peers, as far as profitability, EBITDA margins are concerned, we are at the leading position. And one of the main reasons is because of the richer product mix that has been introduced in both the markets, specifically Europe and India. So, we will continue to put in money behind technology, behind brand building in

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these certain segments of the market, where the profit pools are far better than the smaller diameter markets.

Raghunandhan N.L. : Thanks, sir. Just to follow -up, in terms of the luxury segment for PCR, would there be white spaces or would we be covering majority of the market as of now?

Neeraj Kanwar: Are you talking in India?

Raghunandhan N.L. : In India, sir.

Neeraj Kanwar: Yeah, we are covering nearly 70 % to 80% of the market. Through both brands, Apollo and Vredestein .

Raghunandhan N.L. : Thank you, sir. To Gaurav sir, sir, can you share the commodity -wise price for Q4? And also, between Q3 to Q4, was RM flattish? And between Q4 to Q1, what is the kind of increase you expect?

Gaurav Kumar: So, Raghu, between Q3 and Q4, the RM was flattish, natural rubber was at around INR 163 per kg, synthetic rubber at around INR 155, carbon black, about INR 120. In terms of going forward, our expectation for Q1 is a movement of maybe somewhere between 4 % to 5% for raw material prices going up.

Raghunandhan N.L. : Got it, sir. And in, utilization is around 75% in India, within that, how would it be for TBR and PCR?

Gaurav Kumar: So, PCR would be up in the 80s, and TBR would be in the early 70s, broadly. TBR is not very far from the average. There was also the farm segment, or the bias segment, which was pulling down the utilizations. But PCR was up in the 80s.

Raghunandhan N.L. : Got it, sir. Thanks for that. Lastly, sir, other income was on the higher side this quarter. Anything to call out there?

Gaurav Kumar: I think the other income was higher due to forex fluctuation gains.

Raghunandhan N.L. : Got it, sir. And how much would be the forex gain?

Gaurav Kumar: Just one minute. For the last quarter, they would be of the order of INR 40 crores.

Raghunandhan N.L. : Thank you so much, sir. I'll get back.

Gaurav Kumar: Thank you, Raghu.

Mitul Shah : Next question is from Nirav Seksaria . Please unmute yourself and ask the question. Nirav? Is it Nirav Seksaria ?

Nirav Seksaria: Yeah, hi, I am audible now ?

Mitul Shah : Yes.

Gaurav Kumar: Yes, Nirav.

Nirav Seksaria: Yeah. So, sir, you're seeing a 4 -5% increase in RM basket. So, it's primarily increase in natural rubber or carbon black. Which commodity do you see the major increase in prices?

Gaurav Kumar: Natural rubber prices have clearly gone up and I think, but the impact would be coming from both crude linked material prices and natural rubber.

Nirav Seksaria: Okay. And so, on a Q-o-Q basis, natural rubber prices have increased. So, have we seen a deflationary pressure in any other raw material?

Gaurav Kumar: Yes, we've seen a reduction in Q4 on carbon black and steel.

Nirav Seksaria: And what kind of price increase would we need to take to mitigate the effect of the increase in raw material basket, since we have already taken a 3%, is there an additional amount needed?

Gaurav Kumar: You know, we would need about, about 2%-2.5% price increase.

Nirav Seksaria: More ?

Gaurav Kumar: More.

Nirav Seksaria: Okay. Thank you.

Gaurav Kumar: Thank you.

Mitul Shah : That was the last question. We'll close the call now. I'll hand over to the management for closing remarks. Over to you, sir.

Neeraj Kanwar: I'd like to thank you and hope to see you in the next call. Thank you. All the best.

Gaurav Kumar: Thank you.

Call: Aug 2024

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ATL/ SEC/ 21 August 14, 2024

The Secretary,
National Stock Exchange of India Ltd.,
Exchange Plaza,
Bandra -Kurla Complex,
Bandra (E),
Mumbai - 400 051 The Secretary,
BSE Ltd.
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400001.

Sub: Transcript of Analyst/ Investor Conference Call

Dear Sirs,

Pursuant to Regulation 30(6) and 46(2) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we wish to inform you that a Conference Call for the analysts and investors to discuss the financial and operational performance of the Company for Q 1 FY25 was held on August 8, 2024. Please find attached herewith the transcript of the aforesaid call. The same has also been placed on the website of the Company <https://corporate.apolloytyres.com/investors/ir-updates/>

This is for your information and records.

Thanking you, Yours faithfully,

For Apollo Tyres Ltd. (Seema Thapar)
Company Secretary & Compliance Officer

Apollo Tyres Ltd Q1 FY25 Earnings Call

Moderator: Good afternoon , everyone, this is Amar Kant Gaur from Axis Capital and I welcome you all to Q1 FY25 Post Results Earnings Call of Apollo Tyres Ltd.

We have with us today Mr Neeraj Kanwar, Vice Chairman and Managing Director of Apollo Tyres; Mr Gaurav Kumar, Chief Financial Officer ; and the IR team. We will start the call with brief opening remarks from the management team followed by a Q&A session.

Over to you , Mr Kanwar.

Neeraj Kanwar: Thank you , and a good afternoon and thank you for joining us today. I welcome you all to Apollo Tyres Q1 FY25 Post Results Conference Call and as always, I would start with a broad overview of the results , followed by key initiatives and then pass on the floor to Gaurav for his commentary on our financial performance. After which, we are happy to take questions from you.

Q1 FY25 proved to be a challenging quarter and with modest topline growth and a muted operating performance , consolidated operating margin for the quarter was down about 200 basis points sequentially, mainly on account of raw material cost pressures. We are keeping a close watch and will continue to focus on profitable growth through price increases, new product launches and premiumisation of our products.

As highlighted in my earlier interactions, we remain committed to free cash flows and improvement in our return ratios. I am pleased to share that despite a challenging quarter, we were able to further reduce consolidated net debt by more than 10% in Q1 as compared to Q4, thereby helping us further strengthen our balance sheet.

Coming to our regional performance, we witnessed a double -digit volume growth in our TBR and PCR replacement segments in India, both on Y -on-Y and on Quarter -on-Quarter basis . However, overall top -line growth was once again impacted by weaker OEM volumes during the quarter.

Coming to Europe, we reported marginal growth on Y-on-Y basis. We remain focused on profitable growth and are undertaking several initiatives across our key markets. We expect the demand momentum to recover going forward. In terms of outlook, we expect the top -line growth to pick up going forward. However, given the steep increase witnessed in commodities like natural rubber, near -term operating performance is expected to remain subdued.

We believe the headwinds we face today in form of subdued top -line momentum and softer margin performance are near -term challenges, and we are extremely well -placed to leverage across our key markets in the medium to long run. We have consistently displayed our focus on profitability, cost optimisation, free cash flow generation and improvement in our return ratios, and t

these continue to be cornerstones of our strategy as we go ahead.

Let me now talk about key pillars of our FY26 vision, and as always highlight some of the work done by our teams in the quarter. Starting with Research and Development, I am pleased to share that we have recently started supplies to a marquee German passenger car manufacturer in India. This confirms our product capabilities, strengths, our relationships with premium automotive companies. Further, it also improves our OE mix and helps us further establish our brands in the premium segment in India.

On the Digitalisation front, we have started rolling out domain-specific generative AI models. These models would help us ascertain root causes and address issues across domains like manufacturing, customer pricing, R&D, etc. During the quarter, we further augmented our brand-building efforts across key markets. We recently signed up with Giancarlo Fisichella, a three-time Formula race winner, as ambassador for our Vredestein tyre brand.

As I've highlighted earlier also, Sustainability is a key pillar for us as we go ahead. I'm happy to share that we have recently received in FY24 a score from one of the premium agencies, EcoVadis, and we have registered a significant improvement in our ratings. We've been rated in the top 5% of all tyre and rubber goods manufacturers and top 8% of all companies across industries.

It is heartening to see that the team continues to scale new heights as we go ahead and is also being recognised by external agencies. As always, we are keeping a close watch on the markets and at our cost. We will continue to be judicious about capex and will continue to focus on profitable growth and free cash flow generation.

Thank you. I conclude my remarks and over to you, Gaurav. Thank you.

Gaurav Kumar: Thank you, Neeraj. And good afternoon, ladies and gentlemen. Continuing from where Neeraj left, let me share further details of our operations for the last quarter. The consolidated revenue for the quarter stood at INR 63.3 billion, slightly up compared to both, same quarter last year and the previous quarter. The consolidated EBITDA for the quarter stood at INR 9.1 billion, a margin of 14.4% compared to 16.4% in the last quarter.

Coming to the balance sheet. We have been able to further improve our leverage ratio given the focus on cash flow and profitability. We reduced our net debt by more than INR 280 crores in Q1 to a figure of INR 2,250 crores. The net debt to EBITDA for the consolidated operations stood at 0.6x at the end of June '24, almost a similar level as the March '24.

In India, we witnessed Y-on-Y volume growth of mid-single digits overall, helped by recovery in the export volumes, and continued good growth in the replacement segment. We have seen strong double-digit volume growth in our core replacement segments for TBR and PCR, and a 20% plus volume growth Y-on-Y in the export channel. The revenue for the quarter was INR 45.9 billion, a growth of 4% over the same quarter last year, and 5% over the previous quarter.

The EBITDA for the quarter stood at a margin of 13.8% compared to 15.6% in the last quarter, given the pressure from rising raw materials. We are cognisant that we have not performed in line with what some of our peers have done, and are looking into this thoroughly to ensure that our performance comes up ahead of the industry.

In terms of demand outlook, we expect the demand momentum to get better going forward, continued robust replacement demand, and strong signs from the farm tyre segment as well. On the raw material front, the pressure continues. We expect the raw material cost to go up further by mid-single digits in Q2 on a sequential basis. We have taken small price increases in the current year, and will seek to negate the raw material cost pressure through further price increases. We reduced our standalone net debt from about INR 2,200

crores to about INR 1,900 crores in June. The net debt to EBITDA for India Operations stood at 0.7x at the end of June '24.

Coming to the European Operations, the revenue for the quarter was EUR 146 million, slightly up compared to the same period last year. The EBITDA for the quarter at EUR 20 million was a margin performance of 13.7% compared to 13.4% for the same period last year. In terms of outlook and with the seasonality coming in, we expect the top line momentum now to go up and the margins to improve.

We keep evaluating options for supporting our core business through adjacencies. One such venture which was worked out with a top-notch consultant was Trumigo, a doorstep car servicing, ensuring better connect with our car tyre customers. However, the financial performance of the venture was significantly lower than expectations and hence we took the decision to shut this right off on account of this. We continue to monitor our capex outflow. There is no change in our capex guidance for the current year and we will continue to focus on profitability, free cash flow generation and improvement in the return ratios. With this I conclude my opening comments. Thank you. We would be happy to take your questions.

Question & Answer Session

Moderator: Thanks , Gaurav. We will have the first question from Raghunandhan. Raghu, please go ahead.

Raghunandhan N.L.: Thanks , Amar. Thank you , sir for the opportunity. Exports ' growth was strong at 20% plus and replacement growth was also healthy. Can you share your thoughts and expectation for FY25 growth in exports and replacement?

Gaurav Kumar: Raghu, the overall replacement growth should be a high single digit. As I mentioned, we have not done in line with our peers. So, the replacement demand overall should be at high single digits and we would recover some of the lost ground. Exports , though facing challenging conditions on account of freight rates, disruptions, but definitely is at a higher trajectory compared to last year , so that would see growth . Where the demand momentum suffering is on account of OEMs. It had a negative growth in the first quarter . Particularly on the truck OE side , the demand is significantly lower than what it was being projected out to be. And that probably a better part of the year would still be in the negative zone. It would recover towards the second half.

Raghunandhan N.L.: Got it sir. Thank you for that. Sir, Q2 RM cost increases 5% Q-o-Q, what would be your current under -recoveries and price hikes planned in Q2? Also, on your thoughts on whether you expect these unnatural rubber prices to reduce going forward?

Gaurav Kumar: To answer the second part of your question, Raghu, in the immediate future, there doesn't seem to be a respite. With the early monsoons, etc, the availability of natural rubber is quite constrained. So particularly the RM cost pressure is driven by natural rubber and at least in near term it will continue to be there. Maybe we will start seeing some respite from Q4 onwards.

On the first part of your question, we were still short of recovering the RM of Q1. So hence we would need at least two to three price increases to cover up fully for the raw material that's peaked in for Q2.

Raghunandhan N.L.: Got it. Sir, would that be to the tune of at least 3 %-4% price hike?

Gaurav Kumar: More than 5%, Raghu.

Raghunandhan N.L.: Got it. Lastly, sir, on the other expenses side, was it higher marketing spends ? Apart from EPR , was there any other factor which led to higher other expenses this quarter?

Gaurav Kumar: As you rightly said, there was an EPR cost, which is about INR 27 crores in the current quarter, which was not there in the same quarter last year. Other than that, are a little bit of one -offs of advertisement charges, etc. Some of those will come off from next quarter onwards.

Raghunandhan N.L.: Got it, sir. Thank you very much.

Before I fall back to the queue, please do share the Q1 commodity prices and also the Reifen numbers?

Gaurav Kumar: Sure. One minute, Raghu. So, the commodity prices for natural rubber were around 180, synthetic are also at 180, carbon black 120, and on the Reifen numbers, the revenue for Reifen for the quarter was EUR 50 million.

Raghunandhan N.L.: And margin, sir?

Gaurav Kumar: Margin of 4%.

Moderator: We'll take next question from Jay Kale. Jay, please go ahead.

Jay: Yeah, thanks for taking my question. So, my first question is, you know, your thoughts on this strategy, which, you know, going for profitability, and of course, to a certain extent, that is hampering some bit of your market share, whereas some of -- a section of the industry is focusing more on price increases, while one or two players are focusing more on market share. And till now, it seems that, that market share strategy seems to be working as they are, at least in the short term, reporting better than the others numbers. So, how do you plan to balance this profitability versus market share , going forward ? We did see that in July, there was some bit of reaction or realization from your side that this aggressive pricing is maybe not working to your advantage. So , is there a rethink on that strategy, where incrementally, you will start focusing a little more on market share over profitability?

Neeraj Kanwar: Gaurav, let me take that. So Jay, you're right, there is a very tight balance between volume growth and profit growth. And as we go along, we are going on analysing to see what competition is doing. We are obviously not wanting to go down hugely amounts on market share. As you'll see, there's a recovery already happening in the PV, in PCR, where we have gone out of the 12-inch sizes, which were not profitable.

Again, like in my opening remarks, I said, OEMs is an area where we are increasing our product mix, enriching our product mix. So , all along the chain, we are looking at small increases in price given the RM cost pressure. We are also looking at what competition is doing. And yes, we will lose a little bit market share when we do this strategy. But the overall thinking is that we need to get better on our cash flows, on our ROCE and also look at our profitable margins.

Jay: Understood. And my second question is, you know, you've seen this natural rubber in the recent days increased substantially and that may not have been factored in when you are giving your guidance of 5% increase in RM index in Q2. So, is it fair to assume that the recent days natural rubber increase will probably flow through in Q3, even despite crude coming down to a certain extent?

Neeraj Kanwar: I think the 5% Gaurav mentioned does take this into account.

Jay: Okay, understood. And lastly, on the market share on the OEM side, you did mention that the OEM truck side, you did see a volume decline. But if we see the MHCV industry in Q1 on a low base, did see some growth. So, are we kind of prioritizing a little more profitable OEM segments and ready to go off some of the market share on the OEM side?

Neeraj Kanwar: So, you've seen that increase coming in the bus segment mainly, which is a very bad pay master and a very small margin business. So, we really don't play in that segment. And again, on the HCV side, we play on the highest premium segments, okay? So, we don't play on the lower sizes. So, you're looking at an overall, but if you do a micro analysis, then the HCV segment, which is a premium segment has not grown this time.

Moderator: So, we'll take the next question from Siddharth Bera. Siddharth, please go ahead.

Siddharth Bera: Yeah. Thanks for the opportunity, sir. Again, first question on the growth side, like you mentioned that you would want to sort of improve the growth momentum, but if I see your TBR and PCR replacement are already growing in double digits, like you mentioned. So

where is the gap, which is sort of pulling down our growth? And where do you see sort of more initiatives you will do to sort of improve the --

Neeraj Kanwar: See I think in the replacement, the company has done good. As you see, there has been a double-digit growth. Where we have lost out is on OEMs. And that is primarily because of we trying to go in the premium sizes, okay? So again, coming back to that balance question of profit versus volume. So, we've lost a little bit on the OEMs and on export. Export as you know, we export from here to Europe and to the U.S. We've had small gains in the U.S. not expected at the levels that we wanted.

Again, Europe is a challenging market. You've had a single digit growth in Europe. So going forward, I see both exports and OEMs picking up. So, while replacement will do what they are doing, as soon as export and OEMs pick up, our growth will be much better than our competition.

Siddharth Bera: Got it. And so, second question on the pricing. So, post Q1, what has been the price increase if you have taken any till now, if you can help us?

Neeraj Kanwar: Gaurav?

Gaurav Kumar: Just one minute. So, we've taken about a 1% price increase in Q2 as of now, Siddharth.

Siddharth Bera: Okay. So, 1% we have taken and we need to take total of 4% more to sort of cover up the prices?

Gaurav Kumar: That's correct.

Siddharth Bera: Okay. And any segments or where do we see sort of issues in taking up prices, given the demand outlook, which you are looking at?

Gaurav Kumar: See, all of it is a mix of demand and what competition does. In isolation, to be able to take price increases beyond a point and go out of sync with what the pricing accepted in the market is a difficult thing. So, we will have to take this call along with seeing how competition is reacting to this. We have heard about competition also considering taking price increases given the steep cost pressure. How much we will take, when we will announce that is still being discussed internally.

Siddharth Bera: Okay, sir, got it. So lastly, probably if I look at sequentially, our mix in the replacement has gone up, our mix in terms of passenger car, also Agri also has probably gone up a bit. So, does that sort of positively affect margins or do you think because of the commodity increase that improvement is not meaningful?

Gaurav Kumar: Right now, with the steep increase, it is less meaningful, but otherwise your interpretation is absolutely correct. As a result of market dynamics of OE being weaker, the mix is shifting towards replacement and also passenger car continues to grow. So, it's both moving towards a fundamentally more profitable mix.

Siddharth Bera: Got it. So, assuming all of these cost increases take place, so if you look at next year, would you be sort of targeting that target of more than 15% EBITDA margins, will it be fair to say that or there can be some resets along the way?

Gaurav Kumar: No, absolutely. And in line with our long-term vision, we will continue to target higher than 15% EBITDA margin. The current level of margins that we have reported in this quarter is not what we are happy with.

Moderator: We'll take the next question from Amyn Pirani. Amyn, please go ahead.

Amyn Pirani: Yes, hi. Thanks for the opportunity. I had a question which actually spans both your India as well as the Europe business. If we see in this quarter, based on your

commentary, it looks like in India, replacement has grown much faster than OEM. So, there has been a mix improvement. Even in Europe, revenue growth was just about 1% Y-o-Y, but your UUHP volumes grew by 20%. So, notwithstanding the RM pressure, shouldn't your gross margin and EBITDA margin performance have been better than what you have reported? Because if the mix is improving so sharply, despite the challenges, the inherent margins of that business should ideally be better. So, I'm just

trying to understand what has happened

there, especially since you know, we have discussed a lot about competition having a certain performance and you having a certain performance. So just trying to -- or is it that the profitability of replacement and UUHP is not that much better than the underlying?

Gaurav Kumar: So yeah, I mean, the two geographies still act in a different way. So, Europe, you would see, in spite of the market conditions, a very low growth of just 1%. The margins are better than what it was last year. That's a direct result of mix improvement, which in spite of the raw material pressure, no price increases, etc, has resulted in better margins. And because of the seasonality impact, Europe, it would not be appropriate to compare it vis-a-vis the last quarter, you need to see it vis-a-vis Q1 of the previous year, and we've had a margin up side.

Coming into India, A, fundamentally the raw material proportion is higher. So, it weighs more heavily. And B, because of a larger component of natural rubber, the pressure of raw material on the Indian operations was larger. And that in spite of the mix changing towards replacement has weighed down on the margins.

Amyn Pirani: Okay. So, so in Europe, you're saying that the overall volume growth was just around 1%, which means that your operating leverage despite the UUHP doing better was significantly negative? Is that a correct way to --

Gaurav Kumar: In the sense that there was hardly any operating leverage in Europe. There was some bit of RM pressure, lesser than India. But the mix improvement negated it to reflect a margin improvement.

Amyn Pirani: Okay. And the other thing is that in the India business, we have steadily been seeing, you know, other expenses rise, I mean, last year also other expenses rose more than revenue. This year, obviously, in 1Q, we have EPR. But apart from that, you've also talked about some lumpiness. So, I mean, this again brings me back to the question when we are comparing with competition, your revenue growth overall, has been a bit behind. So, in India, how should we think about operating leverage, because you are trying to focus on pricing. But ultimately, revenue growth is still, the price plus volume is not leading to better revenue growth. But your other expenses are rising because you are competing in the market. So, how should we think of operating leverage in India, because that is also going to be a challenge apart from the RM?

Gaurav Kumar: Fair point, Amyn, and we are conscious of this. And this quarter, the comparison vis-a-vis peers, and at least two of our peers is even more stark in terms of revenue growth. But over the last several quarters, it was slightly lower, which following the profit strategy was still playing out. We are going to go back and have a deep debate amongst ourselves, these results have just come out.

And as Neeraj said earlier, it's a fine balance to choose, it's not an easy thing to choose just one way or the other. We will reflect on it and choose our strategy going forward to make sure that the revenue growth is ahead of the curve of other expenses to keep going up, both on revenue side, but equally not forgetting the profitability or the return ratios.

Neeraj Kanwar: And Gaurav, also, the whole organization is going through a new transformation. We had mentioned this last time also, and you may have heard so. During this transformation, expenses will go up. But eventually, it will start coming down. Why I say because we are rewriting SAP, for instance, people movement is taking place.

Redundancies are happening, new joiners are coming in. So, there is all this cleanup happening to get ready for the new Apollo 2.0 is what we call it. And so, we will have some pain, but it's a longer-term plan, which is our vision to get to one of the top players in the world. So that's why we are taking this pain right now.

Moderator:

We'll take the next question from Ashutosh Tiwari. Ashutosh, please go ahead.

Ashutosh Tiwari: Yeah. Hi. So, if I look at the margin performance of ours versus peers, this quarter particularly is a bit stark. The competition that we have seen on the gross margin is higher than peers. And despite the fact that probably we were ahead in terms of taking price increases versus peers. So, any reason that we can highlight behind that, is it like we are carrying low inventory of RM than peers? If you have some idea on that front or any reason like that, because gross margin competition is much more for us than peers.

Gaurav Kumar: Ashutosh, a difficult one, given some of the results have just come out, we need a deeper analysis. There's been no significant deviation from norms on the raw material front at our end. We'll have to look at some of the stuff in more detail for competition and

sometimes some of these things could be a pure fortunate thing that if you were carrying a higher raw material inventory and in a rising scenario, that benefits you. But we don't have an immediate answer right now.

Ashutosh Tiwari: Okay. And in the Europe Operations, like obviously this quarter was 1% growth, but are we seeing a revival of growth over there, like can growth pick up from next quarter or we expect it to be low single digit growth only going ahead?

Gaurav Kumar: Next quarter, as of now, our expectation would be a mid to high single digit top line growth. So, much better than what it is currently. And this, we are again talking year-on-year, because as I said, from a seasonality factor, the sequential comparison in Europe has less of a meaning.

Ashutosh Tiwari: That would mean that the margin also should expand, like say we should compare Y-o-Y only. So, Q-on-Q, there should be good margin improvement from 2Q?

Gaurav Kumar: That's correct.

Ashutosh Tiwari: And any price increases in Europe?

Gaurav Kumar: Europe currently, the competition hasn't taken any price increases. And we will have to function within that industry. Europe also typically faces some of the raw material cost pressure with a lag. And keep in mind that the largest component of current pain in India, which is natural rubber is a much smaller proportion in Europe.

Ashutosh Tiwari: Okay. And can we like -- we mentioned the volume growth and replacement in TB R, PCR was in double digit. Can you share the numbers like segment wise, in other segments also, how was the growth or decline? As well as OEM segment, how much decline we saw in truck segment and all?

Gaurav Kumar: So, in truck, for example, we had a OEM decline of almost double digit. And passenger car was just a little negative.

Ashutosh Tiwari: Okay. And lastly, on the price increase side, we had taken around 2% price increase in the first quarter, blended. And 1% we have taken in this quarter, so far.

Gaurav Kumar: Price increase we had taken, while on the passenger car side, it was close to 2%, on the truck side, it was just about 1%.

Ashutosh Tiwari: In the last quarter?

Gaurav Kumar: That's correct.

Ashutosh Tiwari: And this quarter, we've taken 1% more across?

Gaurav Kumar: Yes. I'm not including in this the one that we took for the replacement segment on account of EPR.

Ashutosh Tiwari: Oh, that's separate?

Gaurav Kumar: That's separate, that's covering a separate cost element.

Ashutosh Tiwari: That's how much exactly?

Gaurav Kumar: That I think was around 0.7%.

Ashutosh Tiwari: And that was taken in 2 Q only?

Gaurav Kumar: That was announced in May for the entire replacement segment.

Moderator: So, we'll take the next question from Pramod Amte. Pramod, please go ahead.

Pramod Amte: Yeah, hi, thanks for taking question. So, the first question is with regard to the price increases, even though you have been taking up aggressive price hikes, but if I look at your or the competition behavior, it

looks like where you are leader you are taking literally a lower price hike than the required, whereas in case of PCR your price hikes are more than the TBR, where you are challenger, whereas the similarly competition is doing, the same exercise. So, is there a threat of market share further loss by the leader and hence the price hikes taken by the leaders within the subsegments are lower than the followers, and hence as a repercussion the realisation about the followers in terms of these price hikes will be lower than what is expected?

Gaurav Kumar: Pramod each segment we'll have to -- we take a call depending on situation, there's no simple equation. Your question is very valid, but in truck it's not as if we have a clear leadership position. MRF in fact in cases of volume is ahead of us. So, we have to take price increases taking that consciously into account. Passenger car where you've said we've rightly taken more price increases it's on account of a certain brand built over the last few years and a call was taken that we could take such a price increase, it's not that that is the formula going forward for the various segments. Each time there would be a call taken as to what's the appropriate action for each product category and within that each channel.

Pramod Amte: And follow up to the same, considering that these price hikes have come at the just start of the monsoon. How has been the on-ground realisation of these price hikes into the actual ASP for the company?

Gaurav Kumar: Still early though and we have taken only a small price increase as I mentioned about 1%, there are price increases announced by competition so we are considering another round of price increase. I don't have a date for that. This quarter, as you yourself said, is seasonally not our best quarter. So,

Pramod Amte: Sure. And the third question is with regard to the market share versus the organizational changes or the actions which you are taking up. Wanted to get, because this market share erosion has been initially as more as conscious thought, which you guys took, and now the reaction mode. We also see some amount of changes or churn at the marketing team level. Is it part of the action taken up to correct the market share game, one? Second, or you feel the industry is still a capacity push type of an industry versus the action which you are taking up as a good citizen is not coming through?

Gaurav Kumar: Some of the churn, Pramod, is people having their own career ambitions, or in some cases, their own different goals coming up. It's not a reaction to market share. On the second part, we will continue to again strike a balance. This market share loss, and particularly this current quarter, does not make us feel good. How we will take actions, let's say you will get to know in the next one or two months.

Neeraj Kanwar: And Gaurav, I don't want to link this Apollo 2.0 to market share loss or gain. That's one of the main. The reason we are getting ready for Apollo 2.0 is because we see that the whole landscape of mobility is changing worldwide. We have three big operations, India, Europe, and the U.S. We were not getting global scale benefits synergies across all the three regions.

To give you an example about product rationalization. Plants were running for their own territories. So now with this new structure, we've become one global company. And everyone is looking out for how do we get to those vision figures that we've always mentioned. So, it's a collective effort, and not just Europe doing what they want to do, and not India what they want to do. So that in itself will give a lot of synergies. And in the long term, you'll see eventually it will come to profitability, it will gain market share. It will gain podium positions. So, all of that is our target of doing this Apollo 2.0.

Moderator: Thanks, we will take the next question from Jinesh Gandhi. Jinesh,

please go ahead.

Jinesh Gandhi: Yeah. Hi. Gaurav, can you talk about the quantum of cost inflation seen in first quarter?

Gaurav Kumar: The RM basket went up by 5%, Jinesh.

Jinesh Gandhi: 5% Q-o-Q?

Gaurav Kumar: Yes.

Jinesh Gandhi: And secondly, if you can also talk about our market share in the replacement side, both for PCR and TBR?

Gaurav Kumar: The market share data no longer is available, Jinesh, as a published figure. So, it's difficult. I would say we would have lost a little bit of ground on the truck side. Our broad figure used to be late 20s. Difficult to estimate how much we would have lost, but given some of the growth of competition, I would say...

Jinesh Gandhi: No, I mean, our market share till March '24 last year, not for the current quarter till last year?

Gaurav Kumar: Up to March '24, probably on a full year basis, we had a truck market share of about 28 %-29%. We had a passenger car market share of about 20%.

Jinesh Gandhi: And TBR would be higher than 28 %-29% or it would be around there?

Gaurav Kumar: It would be around there.

Jinesh Gandhi: Got it. And secondly, for the European business, I mean, given the consolidated nature of the market, would we be comfortable with 15 %-16% kind of EBITDA margin on a sustainable basis from where we are today, there should be upward trajectory from there?

Gaurav Kumar: We believe, Jinesh, that the 16 odd percent margin that you mentioned on EBITDA is quite a sustainable margin within that industry structure. Pre-COVID some years, we definitely had dip, but this margin has been demonstrated for a number of years leading up to 2016, from about 2012 to 2016. And then, over the last two or three years, even without the operating leverage and market conditions being tough, we've delivered these margins. So, we definitely believe these are sustainable with the potential to go up.

Jinesh Gandhi: Right. And last question on the India business, I mean, where we have been willingly letting go of less profitable businesses on replacement and on the OEM side. Would that stance change once we have capacities also available, probably towards the end of the year or the next early FY27? Do you think we'll have to relook at those decisions or those are more structural in nature and not to do with the capacity constraints which we may be facing today?

Gaurav Kumar: A, we don't have a capacity constraint today. We are not at the best of capacity utilizations. With some of the strong growth, particularly on the passenger car side, the capacity utilizations have started going up to mid -80s. But through last year, we were in the 70s. The truck continues to be in the 70s. And yet we have chosen not to participate, as Neeraj mentioned earlier, in, for example, the bus segment, which is seeing growth. Because that's fundamentally low profitability, including question marks on payment issues. So, some

of our decisions are structural. They have not been temporary one-off decisions. Some of them are constantly up for debate and will be evaluated.

And on your first point about capacity, as of now, our capacity will continue to only get tighter. There is no capacity expansion happening in India to give us that surplus capacity and hence pressure to get into unprofitable segments.

Jinesh Gandhi: Okay. Got it. And lastly, on the exports, given that most of your peers who compete in India are also ramping up in exports. Are you seeing any signs of pricing getting tighter in the export markets? Or it's more to do with the pricing set by the local players and are we benchmarked to them?

Gaurav Kumar: Largely benchmarked to the local players. And also, there are different markets. For example, Europe, which is our largest export market, followed by the U.S., we are largely playing there under the Vredestein brand. So, it is definitely not priced in accordance with the domestic peers in India, but more with the

global players who are operating there.

In the Middle East or in the ASEAN region, etc, we would have to sort of compete with both the Indian players and a mix of local players where there is greater pricing pressure.

Jinesh Gandhi: Okay. And you're not seeing the Chinese players coming back and disrupting the pricing in any of the export markets?

Gaurav Kumar: They are there in a certain quantum, but again, our pricing has never been benchmarked to the Chinese and we don't cater to that customer or that sub-segment where the Chinese play.

Moderator: We'll maybe take one more question from the line of Basudeb Banerjee.

Basudeb, please go ahead.

Basudeb Banerjee: Yeah. Hi, thanks. Couple of questions. One, if I missed out, if you can just clarify the EPR expense this quarter, which you said is in the other expense line item, which enhanced the number. So, but isn't that recurring in nature down the line or it had some retrospective element?

Gaurav Kumar: No, Basudeb, the INR 27 crores of EPR expense is a regular item, that's not a one-off.

Basudeb Banerjee: Yeah. So, then this other expense increasing because of EPR, that is a recurring thing. And the sequential gross margin decline had nothing to do with EPR as such?

Gaurav Kumar: That's correct, the sequential had nothing to do with EPR. And it's a regular, what I was saying is that it's a deviation from the same quarter last year.

Basudeb Banerjee: Sure. And mathematically speaking, if one looks at residual 4% price hike required, and already we are through almost mid of August in Q2 and 1% price hike. So further gross margin deterioration is possible, at least in Q2?

Gaurav Kumar: That's correct.

Basudeb Banerjee: Yeah, so that clarifies my doubt. Second question, if I look from more from an industry holistic perspective from a long-term angle, if I look at raw material basket cost, say two, three years back, where it was around INR 160 or INR 165 a kg, which is the current level approximately. But if I look at EBITDA per kg or gross profit per kg that time, and today there is a huge difference where gross profit per kg is almost 50% higher. And at today's results, there is an element of negativity that result is on a downward curve. End of the day, maybe two quarters later, if natural rubber price falls back from INR 230 a kg to INR 160, and there won't be any price cuts in replacement, and everybody will be happy to see margin go back to 18%. But as a consumer, so the same say a tyre price is inflationary in nature, and hardly it is deflationary even in a raw material deflation environment. So, where is the end of that? You understood what I'm trying to ask, where will it end? Because it's a matter of demand supply, it can't go on and on.

Gaurav Kumar: Interesting point, Basudeb. And fundamentally, there is an inflationary environment, things go up, whether it's our regular consumption items of day to day, or white goods or tyre/cars. You made the interesting point that when the raw material basket was around INR 160, a couple of years back, margins were at a certain level. It came down to the levels of INR 150-ish margins went up. And one would want to say that that is where the margin should always be. We had been cautioning that the highs of last year was also not a normalised situation. We are currently in an environment where raw materials have gone up very rapidly. We will cover up for these cost pushes. And yes, fundamentally, a few quarters, a year down the line, the raw material basket will fall again. But the cost of your car or the cost of the tyres would have gone up. They would not come down to the extent there is. And if you look at a longer-term cycle, we are talking of a swing of raw material during the peak COVID quarter from INR 110 to up to INR 180, back to INR 150, and then INR 160. So, it's some of the swings of the industry that we go through. But if you

step back and take a longer-term

view, the pricing of per kg or EBITDA per kg, etc, is fundamentally going up.

Moderator: We don't have any further questions now, so I'll hand over the call back to the management for any closing remarks.

Neeraj Kanwar: Thank you to everyone and hope to see you next quarter with a better performance from Apollo. Thank you.

Gaurav Kumar: Thank you .

Call: Nov 2024

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ATL/ SEC/ 21 November 21 , 2024
The Secretary,
National Stock Exchange of India Ltd.,
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Bandra -Kurla Complex,
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Mumbai - 400 051 The Secretary,
BSE Ltd.
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400001.

Sub: Transcript of Analyst/ Investor Conference Call

Dear Sirs,

Pursuant to Regulation 30(6) and 46(2) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we wish to inform you that a Conference Call for the analysts and investors to discuss the financial and operational performance of the Company for Q 2 FY25 was held on November 14, 2024.

Please find attached herewith the transcript of the aforesaid call. The same has also been placed on the website of the Company <https://corporate.apolloytyres.com/investors/ir-updates/>

This is for your information and records.

Thanking you, Yours faithfully,

For Apollo Tyres Ltd. (Seema Thapar)

Company Secretary & Compliance Officer

Page 1 of 10 Apollo Tyres Limited
Q2 FY2025 Earnings Conference Call
November 14, 2024

Ronak Mehta: Good evening, everyone. This is Ronak Mehta. On behalf of JM Financial Institutional Securities, I welcome you all to 2Q FY25 Earnings Call of Apollo Tyres. We have with us today Mr Neeraj Kanwar, Managing Director and Vice Chairman of Apollo Tyres Ltd; Mr Gaurav Kumar, Chief Financial Officer and IR team. So as always, we'll start the call with a brief opening remark from the Management followed by Q&A session.

With that, over to you, Mr Kanwar. Thank you.

Neeraj Kanwar: Thank you. Good afternoon and thank you for joining us today. I welcome you all to The Apollo Tyres Q2 FY25 post results call. And as always I would start with a broad overview of the results followed by some of the key initiatives and then pass on the floor to Gaurav for more detailed commentary on our financial performance. And then we would be happy to take questions post Gaurav's remarks.

Q2 tends to be a seasonal ly weak quarter in India. Given that backdrop, Q2 FY25 was a challenging quarter marked by steep increase in RM cost. Consolidated operating margin for the quarter stood at 13.6% down about

70 basis points sequentially mainly on account of RM cost pressures. We are cognizant of the growth challenges in the marketplace and are taking initiatives to drive top line growth while maintaining strong focus on profitability, cash flow generation and return ratios. On the positive side, we are witnessing reduced steepness in RM inflation. This coupled with pricing action should help us report better operating performance going forward after a quarter.

Coming to regional performance, I'm happy to share that despite challenging environment, we outgrew industry in domestic passenger car tyres, in commercial vehicles and agri replacement segments resulting in market share gains across key product categories in the quarter. However, the growth was negated by decline in OEM segment impacted by weak industry growth and our continued focus on profitability. The only exception in OEM segment was agri where we reported strong double- digit growth in volumes. On the positive side, we initiated price increases across categories in the domestic replacement segment.

Coming to Europe, the market is rebounding , indicating start of a recovery.

We once again registered improvement in PCR mix. Ultra High performance segment accounted for about 47% of PCT volumes in Quarter 2 of FY25 compared to 39% in the same quarter last year. In terms of outlook, we expect recovery in operating performance driven by growth in European Operations. Coming to India, while we foresee improvement in replacement demand momentum,

OE demand is expected to remain muted in the near term. On the positive side, we have proactively taken pricing actions in the quarter and remain committed to further price increases to pass on the raw material inflation.

Page 2 of 10

Let me now talk about the key pillars of our Vision '26. Starting with R&D, I'm pleased to share that both in India and Europe we've secured additional model wins from marquee German PV manufacturers, thereby revalidating our product capabilities and further supporting our premiumisation journey. I'm also happy to share that we continue to win podium positions in the European test results.

Coming to Digitalisation, we are leveraging new edge technology to further improve our process. We have recently gone live with end-to-end supply chain digitisation in India. This would help us improve our demand supply planning, product availability and further optimising our inventory.

Finally, Sustainability has always been a key pillar for us. I'm happy to share that our work is being recognised by external agencies. During my last call, I touched upon significant improvement in our sustainability ratings by one of the premier agencies, EcoVadis. Furthermore, recently BW Sustainability

World ranked Apollo Tyres 14th overall among India's most sustainable companies. Apollo Tyres was also ranked the top sustainable company in the automotive component segment.

With this I'd like to conclude my opening remarks, and let me reiterate that as always, we are keeping a close watch on the markets and our costs. At Apollo Tyres, we are working to prepare for what lies ahead and I believe we are extremely well placed to leverage long-term opportunities across our key markets. Thank you for being on this call, and I hand over to Gaurav. Thank you.

Gaurav Kumar: Thank you, Neeraj. And good afternoon, ladies and gentlemen. Continuing from where Neeraj left, let me share further details of our operations for the last quarter. The consolidated revenue for the quarter stood at INR 64.4 billion, a growth of 3% over the same quarter last year. The consolidated EBITDA for the quarter stood at INR 8.8 billion, a margin of 13.6% compared to 14.4% in the last quarter on account of the raw material cost pressure.

Coming to the balance sheet, we saw about INR 4.6 billion increase in net debt as on September '24 when compared to beginning of the year, April '24. The increase in net debt was driven by increase in short-term borrowings which was used to finance inventories and is only a short-term phenomenon. We continue to bring down the long-term debt which has reduced by INR 7.6 billion at September end compared to the March '24 position. The net debt-to-EBITDA for the consolidated operations was a very comfortable 0.8x as of September end.

For the India Operations, we continue to grow in the core replacement segment of TBR and PCR. In both these sub-segments we are growing at a healthy volume growth rate. We also witnessed good growth in the Agri segment. Our recovery in export volume continues. However, there was negative growth in the OE segment for truck and PCR. The revenue for the quarter was INR 44.6 billion, marginal growth over the same quarter last year. The EBITDA for the quarter stood at INR 5.4 billion, a margin of 12.1% compared to 13.8% in the last quarter.

Page 3 of 10 In terms of demand outlook, we expect the demand momentum to get better in H2. We expect the RM cost to slightly increase in Q3 and then start coming down from Q4 onwards. As Neeraj indicated earlier, we've taken price increases in the domestic replacement segment and we will continue to navigate the RM cost push through well-timed price increases. The net

debt-to-EBITDA for India Operations stood at 1.1x as of September end.

Coming to the European Operations, the revenue for the quarter was EUR 171 million, slightly up compared to the

same period last year but 17% up sequentially. The EBITDA for the quarter stood at EUR 25 million with an EBITDA margin of 14.8% compared to 14.1% for the same period last year, and 13.7% for the last quarter. We continue to grow vis-a-vis the market with a very strong mix in the PCLT segment. As Neeraj indicated, the Europe market is showing good signs of demand recovery and we expect to gain from the same. We will continue to focus on cost optimization further driving up the margins in those operations.

There is no change in our CapEx guidance for FY25 and we will continue to focus on profitability, free cash flow generation and improvement in the return ratios as we go ahead.

With this, I will conclude my opening remarks. Thank you. We would be happy to take your questions now.

Questions-and-Answers Session

Ronak Mehta: Thanks, Gaurav. So we'll start with the question-and-answer session. We have the first question from Raghunandan. Your line will be unmuted now. Can you please go ahead with the question?

Raghunandhan N.L.: Thank you, sir, for the opportunity, and festive greetings. Sir, firstly, trying to understand better the cost impact. Can you indicate that in India Q-o-Q, what was the RM cost increase in Q2 and in Q3, further how much cost increase do you expect? And if you can also talk about what is the current under-recoveries?

Gaurav Kumar: So Raghu, the RM went up by about 8% sequentially. Our expectation going forward is just about a 1 percent-plus increase for Q3. And then as per current expectations the RM should start coming down.

Raghunandhan N.L.: And what is the kind of price hike you are planning to take? And if you can quantify the under-recovery?

Gaurav Kumar: So, broadly we have taken price increase ranging from 2-odd percent in the truck segment to a larger quantum in the PCR segment. The under-recovery from last year is about 6-odd percent.

Raghunandhan N.L.: Got it, sir. And for Q2 for India, if you can share what was the volume performance Y-o-Y and within that export, replacement and OEM, how was it?

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Gaurav Kumar: The volume for Q2, Y-o-Y Raghu, was flattish. Within that, the replacement was mid single-digit growth, exports was a double-digit growth and OEM was a double-digit negative.

Raghunandhan N.L.: And within replacement, how would you see the outlook for full year for TBR and PCR, and also your thoughts on the market share?

Gaurav Kumar: So both for TBR and PCR full year the replacement should be around a double-digit growth. Right now, in near term, the signs of recovery from OE are not there. So in near term, it will continue to be probably in the same zone.

Raghunandhan N.L.: And your thoughts on the market share, sir?

Gaurav Kumar: Market share, in the current year we've been able to maintain or slightly up across product categories. So I would tend to think that a similar situation would continue. We would make all attempts to gain market shares.

Raghunandhan N.L.: Thank you, sir. One question, last question on Europe before I fall back to the queue, outlook for Europe market at least as per commentary of some of the global companies seem to be flattish. How do you see the recovery panning out? You indicated early signs of recovery. And also, there is market share gains for Apollo. So based on that, how do you see the

outlook ahead, and also in terms of margins, Europe seems to be better placed in terms of margin performance. What has supported the performance, and your thoughts on how the product mix and cost saving efforts can help the margins ahead?

Gaurav Kumar: Raghu, Europe market s for the first half , has shown a growth of about 3% on the passenger car segment which is the key segment for us. We've also grown in line with that. The reason on the margin performance is that large part of the raw material cost p

ush was driven by natural rubber which is a much smaller proportion for the European O perations versus the Indian Operations. And that's the nature of the industry in terms of predominance of car tyres versus the truck tyres. And that's obviously helped the European Operations. And also , for the western mature markets, raw material proportion as a cost is much lower than for markets like India. So , all that has played into margin support. And lastly the point that Neeraj mentioned, we have been able to successfully keep improving our mix with a significant improvement on the UHP proportion, which has further helped the margins despite the other pressures.

Raghunandhan N.L.: Thank you very much sir, Very helpful.

Gaurav Kumar: Thank you, Raghu.

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Ronak Mehta: Thank you. We have the next question from Siddhartha Bera. Please go ahead.

Siddhartha Bera: Yeah. Hi, sir, thanks for the opportunity. First question is on the market share gains which you alluded to, is it across both replacement and OE because I think last time you said that we had lost some market share in OE. So are we seeing already improvement in some of those segments where we had initially lost out?

Gaurav Kumar: Siddhartha a, I would tend to think that our market shares in OE would be around similar levels. We've started regaining some of the market share on the replacement side.

Siddhartha Bera: Okay, any numbers, sir, if you have and where do we aspire to maybe go to say maybe in the next couple of years?

Gaurav Kumar: We do not have the industry data. These are estimates. On the truck side, our aspirations or vision would be to get back into the 30% in terms of market share which is where we used to be a couple of years back, and in passenger car given the more number of players and the more competitive intensity somewhere in the 20%, to early 20%.

Siddhartha Bera: Got it, sir. Sir, second question is on the cost side. So, in this quarter in the India business, we saw other cost remaining probably quite steady despite drop in the volumes. Generally we do see some improvement there in second quarter. So, anything to highlight here, why it has been so sticky and should we expect more cost increase in the coming quarters or this is probably the peak -ish where we should see some improvement going ahead?

Gaurav Kumar: So Siddhartha a, your observation is absolutely correct. The increase in the other cost is on account of freight costs where the freight rates went up. Secondly on account of the EPR which was not there last year and thirdly on account of advertising. So the freight rate is very much dependent on how the overall macro environment is. Difficult to predict on that as to where it will go. The advertising portion is under our control, and on the EPR front, that's a constant now.

Siddhartha Bera: Okay, okay, got it. Sir, lastly on the working capital side ; so, we have seen quite a steep increase in probably the inventory levels at the end of the quarter. So , do you think part of this normalises in the second half and any color if you have? Now on the CapEx side also you said that you maintain the INR 10 billion outlook and we have done only INR 3 billion in the first half. So where do you think the net debt settles at by the end of the year, if you have some insights there?

Page 6 of 10

Gaurav Kumar: So the CapEx levels would remain. Difficult to give you an estimate on where it would be at the end of the year because that depends on profitability. But it is well under control. There is no major CapEx coming up. So from a cash flow perspective or a net debt, there is nothing to worry about. Inventories is a temporary phenomenon. That should get corrected. Also take into account that for our European business from a seasonal perspective, there is inventory buildup of winter tyres given the coming quarter.
Ronak M

ehta: Okay, thanks, Siddhartha . Next question is from Amar. Amar, please go ahead.

Amar Kant Gaur: Yeah, hi. Thanks for taking my question. I had two questions. One was maybe a little strategic and long -term. So we have seen over the last several quarters the top line growth has kind of been weaker as compared to some of our peers whereas prior to that we were growing much ahead of the competition. So is that largely due to maybe in the OEs, our share going down or -- I mean, how do you explain that?

Neeraj Kanwar: Yeah, thank you, Amar. I think that's a very valid question. Two things that have gone negative for us is , one, OEs have been -- and we've been very large OE suppliers -- down and out. So obviously supplies to the OEs have gone down and there's been a degrowth as far as OE revenue is concerned. Also export markets as you know are weak all over the world given all the political crisis that -- is what we are facing.

And so export markets are also down. But if you see replacement in India where Gaurav has mentioned, we've had a double -digit growth in TBR and PCR. So we will continue to gain market share in our main products which are truck bus radial and passenger car radial. So when I look at peers, yes they have gone into the smaller segments of the OEs where Apollo has come out of. So you know my mantra has been profitable growth and therefore we are only looking at premiumisation of our PCR tyres and not going down on pricing. So we are vacating some of these OE orders on purpose given the profitability situation.

Secondly , also Apollo has taken the lead in price increases in the market. Given the RM cost push, we have been always taking the lead in RM margin in price increases and therefore the gap between us and competition sometimes weakens our volume growth. So , it's a very fine line of balance between our pricing strategy and our volume strategy. But nevertheless, there is total focus on the main channel of distribution, which is replacement which gives the maximum profit.

Amar Kant Gaur: Got that. But as a follow -up to that, even if you look at the kind of margins that we have been delivering, maybe last two or three quarters have been relatively weaker, I understand that RM prices have got a lot to do with that, but if you look at the kind of margins that the peers are delivering, I mean the difference between you and number three guy has come down quite a bit, right? So probably something that is not reflecting in the margins, maybe Page 7 of 10 it has something to do with higher other expenses as well which you also indicated. So if you could shed some light on that as well.

Neeraj Kanwar: Sure. Yes, I think that is a focus area for us also. We also believe when we

looked at peer profitability we do see that the gap has narrowed. We are doing more analysis to see what has gone wrong and where other expenses have gone up. So there is a direct focus on all of this. I can only tell you going forward, you will see margin improvement over time because Quarter 3 again, RM is still very, very strong. While rubber has come down, but as you know it has a three-month lag effect. So I don't see it springing back in Quarter 3, but I'm very positive on my volume growth in Quarter 3. And that should release some margin. Going forward, if all goes well and RM still keeps coming down, there will be a margin increase in Quarter 4. But rest assured, we are looking at what you have said. We will come back to you with better results. That's all I can say.

Amar Kant Gaur: Thanks. That's heartening to hear. And maybe a little bit on other expenses. If you can quantify some of these high other expenses and when should we see them maybe correcting a little bit, maybe freight costs, advertising, etc?

Neeraj Kanwar: Gaurav, you want to come in?

Gaurav Kumar: Yeah. So Amar, the advertising part continues at a certain level and there are no immediate decisions of taking it up or down. The way to look at it is that as the volume growth and some of the normal market growth keeps coming in, the other expenses will not increase in those proportions. And that is what will feed into the margins.

Amar Kant Gaur: So would the current run rate of about INR 800 crores -odd of other expenses, should we build that -- that will be sustained in the near term. Is that the number two...

Gaurav Kumar: Broadly, yes.

Amar Kant Gaur: All right. Thanks. Thanks so much.

Ronak Mehta: Thank you, Amar.
Amar Kant Gaur: All the best.

Ronak Mehta: Thanks, Amar. We have the next question from Aryn. Please go ahead. Your line is unmuted.

Page 8 of 10 Aryn Pirani: Yes. Hi.

Ronak Mehta: Hi, Aryn.

Aryn Pirani: Hi. Okay. I joined a bit late so forgive me if I ask or something repetitive questions. You mentioned that replacement growth was mid-single digits but the expectation for the full year is double-digit, is that right?

Gaurav Kumar: Aryn, what was mentioned is that the overall volume growth for the replacement segment was mid-single digits, as you correctly said, and the double-digit reference was specifically for TBR and PCR.

Aryn Pirani: Okay. But I'm guessing that would still mean that you are expecting an acceleration of the growth as the year goes by.

Gaurav Kumar: That's correct.

Aryn Pirani: Okay. And just in Europe, since we are already in the middle of November, any initial sense that you have got of winter tyre demand for this year?

Gaurav Kumar: As of now it seems to be a decent quarter. We are growing over last year. Still don't have the figures of the market, but the current sensing is we feel good about the quarter

Amyr Pirani: Okay, thank you. And lastly, in Europe, it seems like energy costs have again started to become a bit of a problem. So how are we seeing those things?
And I know that you used to hedge. So the impact for you was lesser and with a lag. So how are you seeing those costs pan out in Europe?

Gaurav Kumar: So, Amyr, we've continued with our hedging strategy to a certain extent, and given how the last few years have panned out, in fact, regularly take expert advice and take hedging based on that. So, I would say over the next one year, our energy cost would be hedged about to the extent of 60% to 70%.

Amyr Pirani: Okay. That's good to know. Thank you.
Gaurav Kumar: Thank you, Amyr.

Ronak Mehta: Thank you. We have the next question from Joseph George. Please go ahead.

Page 9 of 10 Joseph George: Thank you. Just one question. Gaurav, you mentioned that in truck and bus, we've taken a 2% price increase and the hikes that you've taken in PCR is much higher. I want to understand how much of this is reflected in the 2Q results and how much of it is yet to come, which means that it will come in the third quarter assuming you don't take any further price increases?

Gaurav Kumar: So Joseph line was slightly unclear, but I understood that how much of the price increase is already reflected. On the truck side, we've taken about half of the price increase of the 2% in the current quarter which will flow through, and on the passenger car side, a larger chunk, about 3% has been taken in the current quarter which would only have reflected partially in the current quarter.

Joseph George: Sorry. So the 3% in PCR will largely reflect in 3Q and not in 2Q? Is that what you mean?

Gaurav Kumar: Half and half. I think we took it somewhere in the middle.

Gaurav Kumar: Understood. Okay. That's all I had. Thank you.

Gaurav Kumar: Thank you, Joseph.

Ronak Mehta: Next is the follow up from Siddharth a. Siddharth a, your line is unmuted. Please go ahead.

Siddhartha Bera: Thanks for the follow up. Just a housekeeping question on the Reifencom numbers, If you can share?

Gaurav Kumar: Siddharth a, Reifencom?

Siddhartha Bera: Yeah, yeah, Reifencom. Sorry.

Gaurav Kumar: So Reifencom for this quarter did INR 45 million in revenues, had a fairly

healthy growth, double -digit growth over the same period last year. And margins continue to be broadly in the same range, which at an overall level, which they have been historically.

Siddhartha Bera: This quarter usually is flattish, right? Breakeven type of margin. So that is the case or...

Gaurav Kumar: Yes, that is the case.

Page 10 of 10 Siddhartha Bera: Okay. Okay. Thanks a lot, sir.

Gaurav Kumar: Thank you, Siddharth a.

Ronak Mehta: Next is a followup from Ragunandan. Please go ahead.

Raghunandhan N.L.: Thanks, sir, for the opportunity again. Gaurav, can you share the commodity prices?

Gaurav Kumar: Sure, Raghu. So natural rubber was in the region of INR 210 a kg, Synthetic rubber, INR 190 a kg. Carbon black, INR 125 a kg.

Raghunandhan N.L.: Thanks for this. And what would be the plans of the next price hike, and any quantum you're planning?

Gaurav Kumar: That's a difficult one to say, Raghu. The sales and marketing people look at the overall environment, demand, competitive action. So I would not have a timing and a figure on that.

Raghunandhan N.L.: Got it, gaurav. Thank you very much.

Gaurav Kumar: Thank you.

Ronak Mehta: I guess we are at it. Since there are no further questions, would now like to hand it over back to Neeraj for closing comments.

Neeraj Kanwar: We thank you all for joining us. All the best for the holiday season and hope to see you in February. Thank you.

Gaurav Kumar: Thank you.

Call: Feb 2025

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ATL/ SEC/ 21 February 19, 2025

The Secretary,
National Stock Exchange of India Ltd.,
Exchange Plaza,
Bandra -Kurla Complex,
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BSE Ltd.
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400001.

Sub:

Transcript of Analyst/ Investor Conference Call

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ursuant to Regulation 30(6) and 46(2) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we wish to inform you that a Conference Call for the analysts and investors to discuss the financial and operational performance of the Company for Q 3 FY25 was held on February 7, 2025.

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lease find attached herewith the transcript of the aforesaid call. The same has also been placed on the website of the Company <https://corporate.apolloytyres.com/investors/ir-updates/>

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hanking you,

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ours faithfully,

For Apollo Tyres Ltd.

(

Seema Thapar)

Company Secretary & Compliance Officer

Page 1 of 14 Apollo Tyres Limited

Q3 FY25 Earnings Conference Call

February 7, 2025

Mihir Vora : Hi, good afternoon, everyone. This is Mihir Vora on behalf of Equirus Securities. I welcome you all to the 3Q FY25 earnings

call of Apollo Tyres. We have with us today Mr. Neeraj

Kanwar, Managing Director and Vice Chairman of Apollo Tyres ; Mr. Gaurav Kumar, Chief Financial Officer and the IR team .

So, as always, we'll start the call with brief opening remarks from the Management, followed by a Q&A session.

With that, over to you, Mr. Kanwar. Thank you.

Neeraj Kanwar: Good afternoon, and a very warm welcome to all of you to join the Apollo Q3 FY25 post results conference call. As normal practice, I'll say my opening remarks, and then pass it on to Gaurav.

First of all, despite growing growth challenges and elevated level of raw material costs, we closed Q3 FY25 with consolidated top line growth of 8% quarter -on-quarter and 5%

YoY. Helped by cost control, consolidated margins stood at

13.7%, broadly similar to last quarter despite raw material cost pressure. On the positive side, we are seeing green shoots as we go ahead. We expect our operating performance to improve going forward on the back of , (a) recovery in the

overall demand momentum , secondly, initiatives being taken

internally to significantly uplift profitability , and lastly, due to

reduced RM inflation.

Coming to regional performance, I'm happy to share that despite challenging environment, we outgrew the industry and domestic PCR and agri replacement segments resulting in market share gains in the quarter. However, the domestic growth was partially negated by marginal decline in OEM segment.

Coming to Europe, I'm happy to share that we registered a positive growth in topline, helped by a 7% growth in replacement segment revenues. More importantly, we registered more than 400 basis points improvement in our product mix with UUHP segment accounting for 48% of PCLT replacement volumes in the quarter. Earlier it was 43%. In terms of outlook, we expect recovery in operating performance

Page 2 of 14 helped by higher topline momentum across both India and Europe.

Growth in India is expected to be driven by replacement segment where we are seeing further demand momentum in the current quarter. Similarly, in Europe also we expect healthy top-line momentum driven by market growth and new product launches.

Let me now talk about our key pillars for our FY26 vision. Starting with R&D, we continue to secure additional model wins from marquee German PV manufacturers, thereby revalidating our product capabilities. Coming to brands, the teams are working to further strengthen and reinforce our premiumization. In

India, current quarter marked our entry into the Asia Book of Records and India Book of Records for the longest road journey by a pickup truck on a single set of tyres of EnduMaxx LT HD. We also launched Vredestein sleeve sponsorship with AS Monaco in Europe. Allopec, a very well-known French retail -- online retailer, awarded the Vredestein Wintrac tyre as the most recommended winter tyre in their portfolio.

Finally, sustainability has always been a key pillar for us. During the quarter, our AP plant received a zero-liquid discharge certification, highlighting our commitment to recycling water waste and reducing reliance on fresh water. Also, during the quarter, we were recognized across several forums for our continued work in the area of sustainability. I would encourage you all to get in touch with the I R teams for more details on sustainability.

With this, I conclude my opening remarks. Let me reiterate that, as always, we are keeping a close watch on the markets and our costs. At Apollo Tyres, we are working relentlessly to prepare for what lies ahead, and I believe that we are extremely well placed to leverage long-term opportunity across our key markets.

Thank you once again, and I ask Gaurav now to say his remarks. Thank you.

Gaurav Kumar: Thank you, Neeraj, and good afternoon, ladies and gentlemen. Continuing from where Neeraj left, let me share some further details of the operations for the last quarter. The consolidated revenue for the quarter stood at INR 69.3 billion, a growth of 5% over the same quarter last year, but 8% sequentially, which indicates a certain pickup in momentum. The consolidated EBITDA for the quarter stood at INR 9.5 billion, a margin of 13.7% compared to 13.6% in the last quarter. We've maintained the margins in spite of the cost pressures, though nowhere near the levels of previous year given the steep raw material cost pressure.

Coming to the balance sheet, we saw about INR 4.5 billion reduction in net debt as of December 2024, compared to end of previous quarter. The net debt to EBITDA for the consolidated operations is at 0.7x at the end of this quarter, pretty much flattish compared to where we started the year. In India, we witnessed that the overall volume growth was marginal, where the good growth in the replacement volumes was negated by the decline in the OE volumes. We registered strong growth in both TBR and PCR replacement segment, the two core segments. However, the other areas sort of pulled it down to this marginal growth. The revenue for the quarter was INR 45.4 billion, a growth of 5% over the same quarter last year, and EBITDA for the quarter stood at INR 5 billion, a margin of 11.1% compared to 12.1% in the last quarter. In terms of the demand outlook, we expect the replacement demand momentum to continue to be healthy in Q4. And, in fact, we are seeing signs of a further strong pickup even beyond the current levels.

Moving to the RM outlook, we expect the RM cost to be range bound in Q4, almost around similar levels as Q3, which indicates a certain plateauing out. The net debt to EBITDA for India operations stood at 1.4x, vis-à-vis 1.1x in the previous quarter.

Moving on to the Europe operations, the revenue for the quarter was EUR 181 million, a growth of 3% over the same period last year, and up 6% sequentially, which is seasonally a good quarter for the European operations. The EBITDA for the quarter stood at EUR 32 million, with an EBITDA margin of

17.7% compared to under 15% for the last quarter. In terms of outlook, we expect the demand to continue to recover going forward. We are seeing good market growth trends, especially for the passenger car tyre segment, and we'll continue to focus to outgrow the market. We continue to keenly monitor our Capex outflow, and focus on profitability, free cash flow generation, and improvement in our return ratios.

With this, I will conclude m

y opening remarks. Thank you, and we will be happy to take your questions.

Page 4 of 14 Questions -and- Answers Session

Mihir Vora : Thanks, Gaurav. We will now open the floor for Q&A session.

Anyone who wish es to ask a question can please use the raise hand option. Once you are done asking your question, please lower your hand. We'll wait for a couple of seconds for the question queue to assemble. First question is from the line of Amyn Pirani. Amyn , I've unmuted. You can go ahead.

Amyn Pirani: Yes, hi. Am I audible?

Gaurav Kumar: Yes, Amyn .

Amyn Pirani: Yes, hi. Thanks for the opportunity. Actually, my first question was on the interest costs. We have seen balance sheet deleveraging for a while now, and especially in this quarter, but on a consolidated basis, interest cost is still remaining in that stable range. In fact, in the standalone, the interest costs have actually moved up quarter -on-quarter . So, is there anything that we should be mindful of? And when do we see the interest cost number actually trending down?

Gaurav Kumar: So, Amyn , you're right. The India interest cost has gone up mainly on account of working capital borrowings, which is largely a combination of the profitability challenges and a slightly weaker market, and the Europe interest cost has come down. Moving up on the working capital borrowings, etc., is fairly a temporary measure.

Amyn Pirani: Okay. Okay. So, this reduction in debt should start reflecting in the interest cost number in the coming quarte rs.

Gaurav Kumar: Yes.

Amyn Pirani: Okay. Okay. And secondly, you also mentioned that RM should be range- bound in 3Q versus 2Q. So, how should we interpret it? Because I'm guessing that some price hikes have happened and maybe more are planned or not , I would love to hear from you. So, if RM is f lattish, then should gross margin actually improve quarter -on-quarter because of the impact of price hikes, or how should we think about that?

Gaurav Kumar: Amyn , just one correction, the RM Q3 versus Q2 still went up slightly .

Amyn Pirani: Sorry, I meant -- I think, I actually meant Q4, sorry .

Page 5 of 14 Gaurav Kumar: Q4 to Q3 , it is, we expect it to b e flattish, and to that extent, some rollover impact of price increases should play a little bit into the gross margins.

Amyn Pirani: Okay. And anything on price hikes recently done or planned that you would want to call out?

Gaurav Kumar: Currently, given the market situation, etc., and the overall scenario, absolute near -term, no price increases planned. We'll

continue to assess that situation and then take a call.

Amyn Pirani: Okay. Thank you. I'll come back in the Q&A.

Mihir Vora : Reminder to the participants: anyone who wishes to ask a question, please use the raise- your-hand option. And the next

question is from the line of Siddhartha Bera . Siddhartha, you may now ask your question.

Siddhartha Bera: Yeah. Thanks for the opportunity, sir. Sir, first question on the India business , possible to highlight, at an overall level, what is the volume growth across replacement, OE, and exports?

Gaurav Kumar: Yes, Siddhartha. So, the volume growth overall for replacement this quarter was 5%, and OE was almost minus 10%.

Siddhartha Bera: And, sir, exports?

Gaurav Kumar: Exports was flattish.

Siddhartha Bera: Okay. Okay. So, on replacement, we do expect further improvement in the momentum like you initially commented in your opening remarks. Is that the right understanding?

Gaurav Kumar: Yes, that's correct. What we have seen in the first month of the current quarter, we are seeing stronger signs, and even through the last few quarters, the TBR replacement, passenger car, and even farm has been showing good signs. We expect this growth to further improve as we go forward.

Siddhartha Bera: Got it. Sir, on the export side, we had been seeing very strong numbers in the

first half, but suddenly we have seen a very soft growth, while if I look at other peers' data, generally I see that the growth has been good. So, anything here, why has the growth been suddenly slowing down for us, and are there any initiatives we are taking to sort of improve that in the coming years?

Page 6 of 14 Gaurav Kumar: So, Siddhartha, one is the particular segments or the markets where we were addressing in product categories. There, the demand has been big. In some cases, it's also been impacted by the strong fluctuations in the logistics cost or the freight cost, in which, in some cases, it did not make sense to push business aggressively. But you are correct; some of our peers have done better than us in their exports vis-à-vis us on our growth, and we are looking into that.

Siddhartha Bera: So, going ahead, sir, any new markets like the US or any new markets we are thinking of adding or growing our network and volumes there?

Neeraj Kanwar: Should I do that?

Gaurav Kumar: Yes.

Neeraj Kanwar: So, clearly, Siddhartha, we are looking at the US as our next growth market, and you'll see, we will be growing slow and steady. As I mentioned, PCR Vredestein is doing good in the US market. Apollo TBR has also started growing. So, the US is a clear growth market. The next market that we are also looking at is the Middle East, specifically in Saudi Arabia. Like you know, India and Europe continue to be our domestic markets, so these are the two key areas that we are looking at.

Siddhartha Bera: Got it. On the financials, there are some housekeeping questions. Can you share, for the last nine months, what would have been the Cap ex and FCF, because I see that it's only mentioned for the first half in the presentation? So, if you can share that number, as well as the gross debt, also at a standalone and consol level.

Gaurav Kumar: Siddhartha, the Capex number for India for the first nine months is INR 350 crores. The gross debt number is INR 3,200 crores for India. At a consol level, the total Cap ex for the nine months is about INR 500 crores, and the gross debt number is about INR 3,500 crores.

Siddhartha Bera: Okay. So, does that mean that we still hold on to our INR 1,000 crore Cap ex for this year or given the spends, there can be some moderation there? How to think about that?

Gaurav Kumar: There would probably be some moderation. It is highly unlikely that we'll spend INR 500 crores in the last quarter.

Siddhartha Bera: Okay. Okay. So, maybe close to INR 700 crores or INR 800 crores for the full year might be the right assumption?

Page 7 of 14 Gaurav Kumar: Should be a probably more reasonable assumption.

Siddhartha Bera: Okay. And next year, should we again continue to expect similar, INR 1,000 crores of Cap ex, or how should we look at the coming years?

Gaurav Kumar: Next year, the Cap ex number will increase. We are extremely tight on passenger car tyre capacity, as we have been talking to you people, and we have initiated small Capex. The exact numbers will get frozen in terms of cash outflow in the next month or so, but the Cap ex number for the next year would have a certain amount of growth Cap ex over and above the maintenance Capex.

Siddhartha Bera: Understood. Understood. Sir, lastly, I think if I look at the Reifencor numbers, if you can share those for the quarter?

Gaurav Kumar: For the quarter, the Reifencor operations did EUR 88 million in revenue, with a 7% plus in EBITDA margin.

Siddhartha Bera: Okay. Understood. Thanks a lot, sir. I'll come back to you.

Gaurav Kumar: Thank you, Siddhartha.

Mihir Vora: The next question is from the line of Mumuksh Mandlesha. You have been unmuted and can go ahead. Mumuksh, you can go ahead.

Mumuksh Mandlesha: Yeah, sorry. Thanks for the opportunity, sir. Firstly, on the India standalone numbers, q-o-q gross margin have contracted in Q3 quarter

almost like 300 bps. Just can you explain what has happened to the gross margin here?

Gaurav Kumar: Mumuksh, some part of it is due to the inventory getting consumed, and that's how it gets treated from an accounting perspective. And the IR team can walk you through it in detail, because what happens is that if the previous quarter of raw material consumption goes into inventory, there is a higher than just the raw material cost reduction on the raw material charge that is taken, which reduces the gross margin in the previous quarter and results in a slight increase in the following quarter.

Mumuksh Mandlesha: Okay, so the next quarter, once it normalizes, that number can change, right? The 300 bps itself?

Gaurav Kumar: Yes, I would not have a normalized number immediately at hand, but yes, there is some impact of the inventory consumption in that.

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Mumuksh Mandlesha: Got it, got it. Secondly, on the Europe demand outlook for next year, how do you see? There's a good pickup happening last few quarters. Do you see the momentum to continue? And just on the outlook for Europe?

Gaurav Kumar: Europe, in fact, for the last quarter or so, and even going into the current quarter, the demand on both the passenger car and truck tyres replacement is very strong. As of now, no signs as to why that growth should taper off, and the good thing for generally tyre makers, even for us, is that within that, the UHP and the UUHP segment is growing even faster. So the mix continues to improve.

Mumuksh Mandlesha: Got it, sir. And just lastly, can you help us the RM basket for the Q3 quarter, sir?

Gaurav Kumar: Sure. So for the current year, Q3, the RM was roughly about INR 175 a kg, up 15% vis -à-vis the same quarter last year, but sequentially up 2%.

Mumuksh Mandlesha: And can you give the natural rubber and other sub- component prices ?

Gaurav Kumar: Natural rubber was around INR 215 a kg, synthetic rubber at INR 195, and carbon black at INR 120 rupees a kg.

Mumuksh Mandlesha: Got it, sir. Thank you so much for this opportunity.

Gaurav Kumar: Thank you, Mumuksh .

Mihir Vora : A reminder to the participants, please use your 'Raise your hand' function for the questions. We have our next question

from Jinesh Gandhi . Jinesh, your line has been unmuted. You can go ahead.

Jinesh Gandhi: Yeah, hi . Am I audible?

Gaurav Kumar: Yes, Jinesh.

Jinesh Gandhi: Yeah, hi . Just one question from my side on the India business, we have been relooking at our strategy of margin over market share. We still continue to underperform some of our peers who have reported so far on the revenue side. Any update on that side about how are we thinking about our market share versus margins now?

Gaurav Kumar: Jinesh, it's not just a clear black and white in terms of either /or.

It has to be chosen as a prudent strategy of market share or Page 9 of 14 growth vis -à-vis margins. The priority to profitability margins

will continue to be there, and yes, a couple of our peers have definitely done better than us. But if you see sequentially vis -à-vis Q2 to Q3, our numbers are coming in line with some of our peers and ahead of some of our peers, so we are addressing that issue in terms of not lagging behind on growth either.

Jinesh Gandhi: Okay, got it. So incrementally, clearly there is a tilt towards growth as well. That would be a fair way to look at it . Great.

Thanks and all the best.

Gaurav Kumar: Thank you.

Mihir Vora : We have a next question from the line of Amar Kant Gaur.

Amar , you can go ahead.

Amar Kant Gaur: Yeah, hi, thanks for taking my questions. Good afternoon to you both. My question was similar to what Jinesh was talking about. I mean, in the last couple of calls you had at least talked about the peers having a higher growth than us and going back to the drawing board and figuring out what the reason for those have been. If there's something th

at probably you could highlight in terms of where that work needs to be done and where you guys are working upon, if you could shed some light on that ?

Neeraj Kanwar: Gaurav, let me take that. So, we're looking at both the product categories, primarily truck bus radial, and PCR. Primarily in India, to give you an example, we are trying to vacate the 12-inch, 13-inch market, especially with the OEMs, and then going up-sizing of 14, 15, 16, 17, which is where more profitability is concerned. Volume is less, but profitability is there. So it's a journey , it takes time, because you need to -- the whole idea is to go more premium, and therefore, you've seen our balance sheet ratios become much better. And partly, it was because of all this exercise that we are doing . So now, we just have to wait and see. The volume will start coming. As Gaurav has already mentioned to you, if you see quarter -on-quarter , then already we are above the growth curve of our competitive peers. At the same time, we are keeping at the EBITDA margin that we have kept for the past two to three quarters. So it will

take time, but you will see, again, signs of growth in Q4, and then next year will be much better than this year .

Amar Kant Gaur: Understood. And my second question was on the other expenses, which have declined quite a bit sequentially. I'm sure there's a component of certain costs that you have rationalized. If you could identify some of them, and how should we think about these other expenses going ahead?

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Gaurav Kumar: So some bit of it, Amar, is immediately cutting down on A & P and some of the easy administrative expenses, which was coming down hard given the overall cost pressures. I would say the prior levels are more normalized levels, and one would tend towards that.

Amar Kant Gaur: Understood. So, maybe around INR 800 crores odd that you were doing as a percentage of revenue would be similar going ahead?

Gaurav Kumar: Yeah, and we expect it to come down with growth in revenue, if not increase in the same proportion.

Amar Kant Gaur: Understood. And just a clarification, so you had talked about the RM costs remaining around the similar level to Q4. You were talking about the procurement cost, right? Because of the higher inventory level, the absolute gross margin could still trend lower in the next quarter. Is that understanding correct?

Gaurav Kumar: Yeah, so the inventory part would play into effect, but yes, the procurement cost is beginning to plateau out.

Amar Kant Gaur: Understood. Thank you so much. All the best.

Gaurav Kumar: Thank you.

Mihir Vora : Next question is from the line of Mukesh Saraf . Mukesh sir, you have been unmuted , and you can go ahead.

Mukesh Saraf: Yeah, hi. Thanks. I hope I'm audible.

Gaurav Kumar: Yes, Mukesh.

Mukesh Saraf: Yeah, so my question is on the demand environment . Like, you have mentioned that you expect volume to kind of improve a bit on the domestic business , and so this is particularly looking at the commercial vehicle space, given we have seen some kind of weakness on the OEM demand in CVs. In your experience, do you also kind of see this percolating to the aftermarket because, obviously, fleet operators aren't buying new trucks, so they're seeing probably a lack of visibility on freight demand, and that would eventually probably trickle down to the aftermarket as well for you. So, in your experience, how have you seen this lead- lag between aftermarket OEM , and is also especially the question is because I have seen some of the fleet operators, the listed ones as well , the transportation companies, they're talking about not being able to kind of increase freight rates. So, all of this put together, how do you see this scenario?

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Neeraj Kanwar: Well, I think in Quarter 4 we see CV coming back , specifically for us, even though we are leaders there, we see the TBR

, CV

going up this quarter . And, primarily now this year has been a little bit volatile in terms of elections, and when elections are there, people are back to cash purchases. Now, all of that is put aside, I hope, and so we see the economy coming back , and we see -- once the economy comes back, the first thing that goes is CV. CV will start going up, and now we are getting into season, generally ...

Mukesh Saraf: Right, so expecting OEMs as well to improve.

Neeraj Kanwar: Yeah, yeah, OE is also showing signs of recovery, and PCR is -- passenger car is also showing signs of recovery. Now, you're getting into a season of February, March, April, May, June. So, hopefully the season will pick up and both the product categories of vehicles will start picking up. Okay, Mukesh ? Then we are done here. Please go on.

Mihir Vora : He dropped. So, I'll take the next question. Next question is from the line of Mumuksh. Mumuksh, you can go ahead.

Mumuksh Mandlesha: Yeah, hi, sir. Just a follow -up. Since RM basket prices are around INR 215 per kg, now, natural rubber and the current price is around INR 190 in the natural rubber prices , just want to understand will there be any benefits seen, say, in the Q1 quarter with the lower natural rubber prices?

Gaurav Kumar: Marginal only , Mumuksh , because what you are saying on the natural rubber then the entire freight cost, etc., gets added. So, the prices that I gave is our consumption price, not the basic price what you would be seeing. So, natural rubber has only slightly tapered off.

Mumuksh Mandlesha: Okay.

Gaurav Kumar: Not much. So, that's why the Q4 outlook is flattish vis -à-vis Q3 on the raw materials front.

Mumuksh Mandlesha: Understood, sir. Thank you so much for this.

Gaurav Kumar: Thank you, Mumuksh .

Mihir Vora : So, I guess we are -- so we have a question from Basudeb Banerjee, and Basudeb, you can go ahead.

Page 12 of 14 Basudeb Banerjee: Hi, Gaurav . As you ...

Mihir Vora : He has dropped.

Basudeb Banerjee: Am I audible?

Mihir Vora : Yeah, go ahead, Basudeb.

Basudeb Banerjee: Yeah, yeah, so PCR, as you said high utilisation, so capex will be for that next year. So, what's the utilisation level of TBR now on an annualised basis, not just quarterly?

Gaurav Kumar: TBR is around 80%, Basudeb, so we have sufficient headroom. But PCR, currently in India, we are high 80% and, in fact, in Europe, in the 90%.

Basudeb Banerjee: So, still, I'll say a consolidated capex of INR 1,200 crores - INR 1,300 crores for FY27 would be fine or can it overshoot that?

Gaurav Kumar: For FY26, I would say....

Basudeb Banerjee: FY26, yeah, sorry, FY 26.

Gaurav Kumar: So, if we take a normal maintenance Capex around INR 700 crores - INR 750 crores mark that we talked about earlier, on top of that , very much at the top of the numbers, maybe add around INR 800 crores more. I still don't have the firm figures, but ballpark . And we will come back to all of you with a more firm guidance.

Basudeb Banerjee: And that would add to the PCR overall capacity by how much, India capacity?

Gaurav Kumar: India, it would add about 7% - 8%, Europe, slightly more. So, overall we are looking at capacity addition just about 10% or a little less.

Basudeb Banerjee: And Europe it will be through Hungary?

Gaurav Kumar: That's correct, we don't need any greenfield. We have enough brownfield.

Basudeb Banerjee: And any update on the Netherlands gross block, what's happening, what's the plan down the line?

Gaurav Kumar: Right now, that continues at its current capacity level. Large parts of the passenger car tyre sourcing is from Hungary and small bits from India and small from the Dutch plant.

Page 13 of 14 Basudeb Banerjee: And last question, what part of natural rubber now is currently imported as such?

Gaurav Kumar: Let me see if I have the immediate figure. Broadly,

it used to be about 50 –50. I don't have an immediate figure, Basudeb.

We can get back to you.

Basudeb Banerjee: Sure, so basically, rupee weakening plus logistics cost , so all those things combinedly might be impacting in that way.

Gaurav Kumar: That's correct. That's correct.

Basudeb Banerjee: Okay. Thanks.

Gaurav Kumar: Thank you, Basudeb.

Mihir Vora : We have our next question from Rohit Jain. Rohit, you may go ahead.

Rohit Jain: Hello. Can you hear me, sir?

Gaurav Kumar: Yes, Rohit.

Rohit Jain: Yeah. So, just to confirm on the gross margin piece of it , so the high- cost inventory, is that portion has been consumed or do we expect it to be consumed by the end of Q4?

Gaurav Kumar: Some bit of it has been consumed. There is still some inventory, but not at unusual levels currently in India.

Rohit Jain: Okay. Thank you.

Gaurav Kumar: Thank you.

Mihir Vora : So, I have one question, sir. So, basically, you mentioned that there are no – there would be minimal price hikes going ahead

in fourth quarter. Are we doing this because of a competitive intensity or is it that RM costs are covered to an extent? So, what is your lookout on the price hike?

Gaurav Kumar: It is largely because of the overall industry scenario, competitive intensity. Otherwise, these are not the margins that we are happy with. We would definitely want to up the margins and we would keep looking at avenues to do that

as we go forward.

Mihir Vora : And, secondly, on the crude derivatives part, do we expect fourth quarter to be sort of softening for crude derivatives?

Page 14 of 14 Gaurav Kumar: I don't have an outlook for each raw material, but overall, as I said, flattish. So, some bit of it coming down on natural rubber

would then be negated by some bit of it up on the crude side. So, the rupee devaluation doesn't really work in our favor on the raw material basket.

Mihir Vora : All right. So, that's all from my side and there are no further questions. I would now like to hand it over back to Neeraj sir ,

for closing comments.

Neeraj Kanwar: I'd like to thank each one of you for coming and attending our conference and look forward to seeing you next quarter. Thank you.

Gaurav Kumar: Thank you.

Call: May 2025

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TL/ SEC/ 21 May 21, 2025

The Secretary,
National Stock Exchange of India Ltd.,
Exchange Plaza,
Bandra -Kurla Complex,
Bandra (E),
Mumbai - 400 051 The Secretary,
BSE Ltd.
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400001.

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Transcript of Analyst/ Investor Conference Call

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ear Sirs,

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ursuant to Regulation 30(6) and 46(2) of the SEBI (Listing Obligations and Disclosure Requirements) Regulati ons, 2015, we wish to inform you that a Conference Call for the analysts and investors to discuss the financial and operational performance of the Company for Q 4 FY25 was held on May 15, 2025.

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lease find attached herewith the transcript of the aforesaid call. The same has also been placed on the website of the Company <https://corporate.apolloytyres.com/investors/ir- updates/>

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ours faithfully,

For Apollo Tyres Ltd.

(

Seema Thapar)

Company Secretary & Compliance Officer

Apollo Tyres Limited

Q4 FY25 Earnings Conference Call

May 15, 202 5

Aniket Mhatre: Good afternoon , everyone. Welcome to the Post Results Conference Call of Apollo Tyres. At the outset, I would like to thank the Apollo Tyres management for giving us an opportunity to host this call. From the management team, we have with us Mr Neeraj Kanwar, Managing Director and Vice Chairman of Apollo Tyres ; Mr Gaurav Kumar, Chief Financial Officer and the Investor Relations Team.

We will start the call with a brief opening remarks from the management team and then we'll begin the Q&A session. Over to you, Neeraj sir.

Neeraj Kanwar : Thank you, Aniket. Good afternoon and thank you for joining us today. I welcome you all to the Apollo Tyres post -results Q4 conference call. I would start with a broad overview of the results, followed by some key initiatives that the company has taken and then Gaurav will go into the financials. We close Q4 '25 with consolidated topline growth of 3% Y-o-Y and an EBITDA margin of 13%. This has been a very, very challenging year and honestly, our performance has not been where we aimed to be. We have underperformed vis -à-vis our expectations and peers, both in India and in Europe. That said, I maintain a strong conviction in the capability, resilience of our teams. When we operate with focus and alignment, I can assure you that we will deliver exceptional outcomes.

Inflation should propel our profitability and our revenue. Coming to regional performance, I'm happy to share that there was growth in

domestic replacement segment. However, the domestic growth was partially negated by the decline in our OE segment.

Coming to Europe, we maintained our annual top line despite challenging environment. In terms of outlook for the next year, we expect recovery in operating performance helped by a better top-line momentum across both our regions. Growth in India is expected to be driven by replacement segment. Similarly, in Europe also, we expect top line momentum to recover driven by market growth and new product launches.

Let me now talk about some key pillars in the organisation. Starting with R&D, we are consistently securing additional model wins from prominent German PV manufacturers, further reaffirming the strength of our product offerings. On the Branding front, our teams remain focused and committed to reinforcing brand equity and driving premiumisation across the portfolio. In April 2025, we launched our flagship campaign targeting SUV owners, highlighting our premium tyres, reliability across city streets and rugged terrains.

We also launched multiple campaigns focused on showcasing India's evolving mobility landscape, highlighting Apollo Tyres

res' commitment to supporting and promoting sustainable mobility solutions. Vredestein Ultrac Pro achieved the best buy label in the Testaankoop cooperative test of summer tyres in Belgium.

Now coming to Sustainability - this too, has always been a key pillar for us. Apollo Tyres has proudly earned an Excellence in CSR award, recognising its exceptional policies, practices and remarkable outcomes in the pursuit of sustainable business excellence. Our Chennai plant has secured the first prize in the Industrial Water Use Efficiency category at the prestigious 12th edition of FICCI awards. We have achieved remarkable progress in our sustainable initiatives, evidenced by a notable increase in our S&P Global ESG score.

With this, I'd like to conclude my opening remarks. Let me reiterate, as always, we are keeping a close watch on the markets and at our overhead costs, and we continue to focus on sustainable and profitable growth. We are working diligently to ensure that we are fully prepared for the challenges and opportunities that lie ahead and I believe we are extremely well-placed to leverage long-term opportunities across our key geographies.

I'd like to thank you and I'll handover now to Gaurav. Thank you.

Gaurav Kumar : Thank you, Neeraj. And good afternoon, ladies and gentlemen. Continuing from where Neeraj left, let me share some further details of our operations for the last quarter.

The consolidated EBITDA for the quarter was INR 8.4 billion, a margin of 13% compared to 13.7% in the last quarter, but a much larger fall from 16.4% in the same quarter last year. Our margins have come off from the previous year levels largely due to the steep raw material cost pressures, but also to some extent with the operating leverage impact due to lower revenue growth. The balance sheet continues to be very healthy.

The net debt to EBITDA for the consolidated operation was 0.8x as of March '25 compared to the end at previous quarter. In India, we witnessed flattish Q4 Y-o-Y volumes, which was led by single-digit growth in replacement volumes, a flattish OE volume and a decline in exports. We registered good growth in TBR replacement segment. The revenue for the quarter was INR 45.8 billion, a growth of 8.4% over the same quarter last year. The EBITDA for the quarter at INR 5.2 billion, a margin of 11.2% was just a little up compared to 11.1% in the last quarter.

We have clearly, as Neeraj mentioned, underperformed vis-à-vis our peers

in terms of revenue growth and we are taking a hard look at the reasons and the corrective actions to be taken. In terms of demand outlook, we expect the demand momentum to recover in Q1. Coming to the balance sheet, we saw a reduction in the standalone debt as on March '25 compared to the previous quarter of December '24. The net debt to EBITDA for India operations was at 1.2x as of March '25.

Moving on to European Operations, the revenue for the quarter at EUR 176 million was a decline of 4% over the same period last year. The EBITDA for the quarter stood at EUR 25 million with an EBITDA margin performance of 14.3% compared to a 17.7% for the last quarter. Our top-line performance was below market growth for the last couple of quarters. The European Operations have been constrained by capacity and had to sacrifice volumes in the non-UHP category, leading to underperformance vis-à-vis the market, especially for summer tyres. And that is why the capacity expansion is underway at Hungary to cater to the market demand that we missed in the non-UHP category in the current year.

In terms of outlook, we expect the demand momentum to pick up going forward and we'll continue to focus on cost optimization. As communicated few weeks back, we recently announced a significant development at our European Operations, the intended decision to close production and production-related activities at the Enschede plant in 2026. This is right now

undergoing the necessary Works Council consultation process. And we would keep you updated on the same.

And hence, in the results the exceptional item below the EBITDA level is related to the intended decision. While the decision is still at a consultation stage, the accounting standards dictate that we make an immediate high-level assessment of fixed assets and based on that, take an impairment charge if necessary. And there has been an impairment charge of EUR 14 million on the fixed assets. We should be able to provide you much greater clarity in the next earnings call.

We continue to keenly monitor our Capex outflow. We expect our Capex for the fiscal year '26 to be INR 1,500 crores, split almost equally between growth and normal Capex. We'll continue to focus on profitability, free cash flow generation, and improvement in the return ratios as we go forward.

With this, I would conclude my opening comments. Thank you. And we would be happy to take your questions.

Questions -and-Answers Session

Aniket Mhatre: Thank you, Gaurav sir. We will now open the floor for Q&A session. Anyone who wishes to ask a question can please use the raise hand option. Once you are done asking your question, please lower your hand. We will wait for a couple of seconds for the question queue to assemble. First question is from the line of Siddhartha Bera. I have unmuted your line. You can go ahead and ask your question.

Siddhartha Bera : Yes, sir. Hope you can hear me. Thanks for that.

Neeraj Kanwar : Yes, Siddhartha.

Siddhartha Bera : Sir, first question is again on the growth outlook. We have been sort of, like you rightly said, been slightly underperforming compared to peers. So some color on what areas, and I believe you have already been taking some steps to sort of improve the growth momentum. So some more color, where are we still lagging? And is it more OE or more on the replacement? Where do you think more efforts needed to be taken? And by when should we expect some of those efforts to sort of start getting visible in the numbers? So

some more clarity there will be helpful.

Neeraj Kanwar : Okay, Gaurav, I'll take that. So like I mentioned to you, yes, this year has been very, very challenging. We have underperformed, but the green light is that we have put a lot of initiatives in the field. Our replacement market has been robust. So that is one clarification I want to make. Where we have faltered is in OEMs, where we on purpose have come out of some of the sizes that we didn't want to go into. Thereby volume decline has been there.

Secondly, OE both in PCR and in truck. Truck trailer is something which is in high in demand, where we chose not to participate in because it's a low - quality product. But now we have put all emphasis and we are coming out with new products for the OEs in truck. As far as the other two channels are concerned, which is OE and export s, I've already mentioned to you about OE, Exports is also an area which we have faltered in. We have underperformed. And now our focus is there on seeing how we can increase our shares both in OEM and in the export segment.

I can only assure you that replacement we are doing as well as previously, we'll continue to grow. And I believe that quarter one of this year, which already we are into mid -May, I'm seeing better results coming out. So hopefully quarter one will be a much, much better performance, even when I compare to our peers. I hope I've answered that.

Siddhartha Bera : Yeah. Just a follow up in that, at least at the OE level, I think what we remember last quarter, we had declined in double digits. So from there, we have come to flat. So probably there's been a bit improvement. So should we build in that now, given this trend, we should start expecting some growth.

Neeraj Kanwar : You will see growth. Like I said

, you will see growth both in OEM and in our export channels.

Siddhartha Bera : Got it. Second question is on this restructuring, what we are doing there. So some sense, what is the contribution of revenues from the Netherlands plant as of now? And given that, if we close it, what happens to this production there? Because in Hungary, we already have a capacity constraint. And do we plan to ship that to Hungary? And if so, when does the new capacity in Hungary comes on stream? So some sense there.

Neeraj Kanwar: Okay, we'll throw color on that. Gaurav, you want to take this on?

Gaurav Kumar: Yeah. So Siddharth, currently the Enschede plant was producing 0.5 million PCR t yres when we are selling 6 million plus t yres in Europe. So let's say it's a proportion which is under 10%. That can be absorbed between the existing capacities in India and Hungary. As mentioned, we had to sacrifice the non -UHP category sales in the current year in Europe, which led to both underperformance on revenue and also, to a certain extent, th at plays into margins. So , the Hungary capacity would be available by the end of this current year.

Siddhartha Bera: Got it. So sir, I'll come back in the queue.

Neeraj Kanwar: Thank you, Siddharth.

Aniket Mhatre: Thank you. Next question is from the line of Am yn Pirani. Am yn, please go ahead.

Amyn Pirani: Yes. Hi, thanks for the opportunity. Just some clarification again on this European performance in the quarter. So did we already start reducing capacity at Enschede? Because if I look at absolute revenues, it is still lower than last quarter as well as last year. So was there a specific capacity constraint or have we run out of capacity? Because if that were the case, at least we should have had some operating leverage benefits. So if you can just explain that , some more color, that would be helpful.

Gaurav Kumar: No, Aryn , there was no production or capacity reduction at Enschede already in Q4. The decision or the intended decision has just been announced. There is no implementation till we reach the end of the consultation process with Works Council and the ATNL, which is subject to company supervisory board approval. When the operations focused on its demand for the UHP and the UUHP tyres, those tyres take up higher capacity. So to a certain extent, one tyre of UHP or UUHP takes more than the normal non-UHP tyre. And that is what the conscious decision taken was to sacrifice a bit of growth on the summer tyres.

Now, obviously, the market growth in Europe was higher than expected. Also, as you go into OE business, that also eats into a certain amount of capacity, but that's committed. And all of those factors, finally, including sometimes logistical challenges , resulted in the sales losses. Nothing to do with Enschede.

Aryn Pirani: Okay, thanks for that. And you mentioned the INR 1,500 crores Capex . So any specific brownfield expansion that you can highlight that we could see either in India or in Europe, or does this Hungary new capacity is also part of this 1500 crores, or is it already being done? If you can share some color.

Gaurav Kumar: It is already in action. The INR 1,500 crores includes a 4 ,000 tyres per day PCR expansion in Hungary. It also includes a PCR 4 ,000 tyres per day expansion in the AP plant. As we have mentioned through the year, we are seeing good growth. And while there has been underperformance in India on the OE side, we've continued to see good growth on the replacement side. So both these projects will be sort of preparing us for the future.

Aryn Pirani: Okay, that's helpful. And just if I can just ask one last question. I think some part of your India PCR capacity is also used for exporting into Europe. Can you just remind us what is the import duty right now? Because if there is going to be any benefit from India EU deal, if it were to be signed

like the
India UK deal?

Gaurav Kumar: I don't have the immediate import duty figure. I mean, we can come back to you, but it is marginal.

Aryn Pirani: Okay. Thank you. I'll come back.

Gaurav Kumar: Thank you. Aryn.

Aniket Mhatre : Thank you. We'll take the next question from Raghunandan . Raghunandan , you may go ahead.

Raghunandan N .L.: Thank you, sir, for the opportunity. Sir, on the Netherlands business, if you can give an idea, because of the restructuring, what can be the improvement in the cost structure for the Europe business? Can the Europe level margins improve on a sustainable basis by 100 basis points 200 basis point s? How do you see the benefit of it over a two three year period?

Gaurav Kumar: Sure. Raghu, as I mentioned earlier, it is fairly early on in the process. It is still under a consultation process. We believe margins will expand definitely and we could, as an example, point you to the restructuring, which was done five years earlier, back in 2020, when the European Operations took a significant uplift in margins because of the manufacturing shift.

At a very rough level, the conversion cost, raw material being equal, Hungary versus the Netherlands, Hungary would be almost one third of Netherlands. And definitely, this would lead or result in a margin uplift. Quantification would be difficult at this stage.

Raghunandan N.L. : Got it, sir. Thanks. Thanks for that.

Gaurav Kumar: Thank you.

Raghunandan N.L. : Sir, coming to the standalone operation, you have a gross margin expansion on a Q-o-Q basis in Q4. What has driven this? And what would be your expectation for raw material basket in Q1 and Q2?

Gaurav Kumar: So, the gross margin expansion is a direct result of raw material at least beginning to come off the high levels. There's been a few percentage points reduction in raw material Q4 over Q3. The expectation was that this trend would continue. But as of now, for Q1, we see a flattish raw material trend vis-a-vis Q4.

Raghunandan N.L.: So, the decrease in the global rubber prices and the recent fall in the crude derivatives, would that translate into benefit in Q2, sir?

Gaurav Kumar: Could possibly. This is also we are entering into the lean season now shortly. So, the natural rubber prices may not come down to that extent because of also the lean season on production. But at least the crude side of things seem to be reasonably favorable.

Raghunandan N.L. : Got it, sir. And sales mix and cost optimization efforts in Europe, you have called out in the press release. So, how do you see the benefits? And by when can we start seeing the benefits of that?

Gaurav Kumar: So, the sales mix, we have continued to focus on , Raghu. The premium mix in the passenger car businesses is now beyond mid 40s. This number used to be in early 40s over the last couple of years. And six years back, this number was in the 20s. So, we've continued to move up on the sales mix improvement, which is largely the PCR side of the business. Cost optimization, again, one part of it is the announced intended decision. And we will continue to look sharply at all other costs in terms of driving margins even better for the European operations.

Raghunandan N.L. : Got it, sir. And generally, you share the commodity prices, natural rubber, synthetic rubber, would it be possible to share that? And lastly, on the tax side, when are we shifting to the new regime? That's all from my end.

Gaurav Kumar: So, let me take the new regime question. That's a constant evaluation that is done every year, based on how much of past MAT credit is available, the Capex plans. Regarding the commodity prices, natural rubber was in the region of INR 200 plus, synthetic rubber at INR 190, carbon black around INR 115, and steel cord at INR 160 plus.

Raghunandan N.L. : And the blended average, sir?

Gaurav Kumar: The blended average was around INR 170 per kg .

Raghunandan N.L. : Thank you, sir. Thank you very much. Wishing all the best and I'll fall back to the queue.

Gaurav Kumar: Thank you. Raghu .

Aniket Mhatre : Thank you. Request the participants to limit the questions to two per participant. We'll take the next question from Amar Kant. Please go ahead.

Amar Kant Gaur: Yeah. Hi. Good evening, team. And thanks for taking my question. I just had one question. You also alluded to it in your opening remarks that the growth has been relatively lower than what peers have kind of delivered.

And also, in terms of margin, the gap between you and your peers has kind of grown over the last three, four quarters, which was in your favor earlier. So, and I just wanted to understand a little bit that you talked about, maybe a couple of quarters back regarding some internal reorganization that you were taking up. If that has had some impact on the business in the near term and how that would play out, probably favorably going ahead, would there be any link with that? If you can shed some light on that.

Neeraj Kanwar: Yeah. So we have restructured in the month of May, June, where we went from being a regional company to more global. And it has taken us time. And that's why maybe one of the reasons for the underperformance is there. But I can assure you now everything is stable. We are working as one global team. All our focus is on how we can take advantage of our end user, our customer across the globe.

So, all manufacturing, supply chain, raw material is working towards the commercial department to try and see how we can give them better products at the right time. So, there's a lot of emphasis going on digital initiatives in the supply chain area to try and see how we can get tyres closer to the customer.

So, it has taken time, that is my net conclusion. But now we are away from that. We have gone a long journey of six to eight months where we needed to do the cleaning up. That's all behind us. And now this year, fiscal '26, we hope that we are able to come back to ourselves as flying colors and being leaders in India.

Amar Kant Gaur: Yes. So, some of that, thanks for that. And something was also, some of that probably reflected in your finances as well. There was a decline in employee costs and we also understand that there have been some senior level exits at your firm. So, again, from that perspective only, how do you maybe cope with that and going ahead, is that going to be a challenge or that, I mean, you talked about it, that it is largely sorted and you are geared up for the future. Maybe some thoughts on that as well.

Neeraj Kanwar: So, yes, you are right in what you are saying. We did have a few exits, but we also hired a few more. So, we have hired recently a chief supply chain officer. He is Indian, coming from a very large German company. We have recently hired Rajeev Kumar Sinha, who has come as a chief of manufacturing, who comes with an expertise of Cipla for the past nine years.

So, these are the two new joiners that have come in. And with that, it does take time for people to settle in and to start performance. So, like I said in my earlier answer, Q1 is going to be our quarter. Hopefully, we will come back with double digit growth.

Amar Kant Gaur: Thank you. Thanks for taking my questions. All the best.

Neeraj Kanwar: Pleasure.

Gaurav Kumar: Thank you. Amar.

Aniket Mhatre: Thank you. Next question is from Sushrut. Please go ahead.

Sushrut Ghalsahi: My question, I had one question, one question on the European business. So in March, we saw Nokia had restarted facility in Romania. Any initial comments on their changing competitive intensity over here? How should we think about that?

Gaurav Kumar: It's still a start of the plant and in early stages. And I think they churned out the first commercial tyre earlier than that, somewhere around September or October of 24. They obviously took a heavy hit with the Russian plant going away. Their results are still way below their historical levels also reflected that the market expectations have come down. And in a greenfield plant, as per our experience, it does take some time for things to stabilize and come up.

So one would tend to think that it will still take a few quarters, but they continue to remain a peer, which has always been a leader in profitability. And hence, we have nothing but great respect for them.

Sushrut Ghalsahi: Got it, sir. Thank you so much.

Gaurav Kumar: Thank you, Sushrut.

Aniket Mhatre : Thank you. We'll take the next question from Basudeb. Over to you, Basudeb.

Basudeb Banerjee: Hi, Gaurav.

Gaurav Kumar: Hi, Basu .

Basudeb Banerjee: Just a few things on the Capex part. I remember last quarter, you mentioned FY'26 Capex outlook of INR 2000 crore. So it's down to INR 1500 crore. So 10% enhancement in PCR capacity, including Andhra and Hungary and maintenance Capex . So what changed this INR 500 crore reduction?

Gaurav Kumar: So given the volatility, Basu, we've sort of gone slow as over the last few years, we continue to be judicious on the Capex . And we had a few months where things were uncertain. And so to a certain extent, we wanted to see how things were panning out before continuing the press button on these Capex es. And that's resulted in a few hundred crores of the growth Capex sort of rolling off into the future years. And that can always be adjusted through the year as we see how markets and the situation is. What I'm giving you is the current estimate.

Basudeb Banerjee: Understood. Basically, slight curtailment in the growth Capex from earlier estimate.

Gaurav Kumar: Just the pace of it. Not the quantum per se, because it will still take what it takes to put up that capacity.

Basudeb Banerjee: Sure. And what's the TBR utilization now in India?

Gaurav Kumar: Just one minute. The TBR utilization is right now at 82 %.

Basudeb Banerjee: And when do you see requirement of any brownfield TBR from Andhra addition next?

Gaurav Kumar: Unless there is a sudden big boom in OE, I would say the requirement of capacity would be three years away.

Basudeb Banerjee: Okay. And what's the current rate of Capex per TPD in radials, be it TBR or PCR, which used to be INR 9 crore - INR 10 crore pre -COVID?

Gaurav Kumar: It may have gone up with inflation and particularly the inflation in Europe has been high.

Basudeb Banerjee: Great. And what was the Reifen revenue for fiscal '25?

Gaurav Kumar: Just one minute. For fiscal '25, the Reifen revenue was EUR 222 million.

Basudeb Banerjee: EUR 222 million. That's great. And last question, if I can chip in, is Kerala rubber prices hasn't corrected compared to if we look at international natural rubber prices or even crude carbon black, etc. And as you said, we are entering lean season very soon. So what kind of flexibility you are looking to, say, be flexible in terms of importing rubber, whether importing plus logistics plus duties still not worth substituting Kerala sourcing? How to look at that? Because with the kind of raw material...

Neeraj Kanwar: This is an ongoing dynamic situation and we keep taking strategic calls depending on what sources of rubber we are getting, whether it's Kerala or imports. So there's no definitive strategy there. But we obviously look at the floor pricing and then plan accordingly. Our rubber inventories are really at 7 to 12 days in India.

Gaurav Kumar: Yeah. So two weeks plus is typical.

Neeraj Kanwar: Yeah. So it is very important for us to be out there in the market on a dynamic basis and keep on buying wherever we see obviously cheaper sources.

Basudeb Banerjee: Sure. And as Gaurav initially said, raw material basket would roughly be flattish in Q1 over Q4. So benefit of recent crude price, you're saying the lag is not going to get reflected in June results.

Gaurav Kumar: Yeah. So on an overall basis, it is still flattish.

Basudeb Banerjee: Sure. Thanks. That's all from me.

Gaurav Kumar: Thank you, Basu .

Aniket Mhatre : Thank you. Next question is from the line of Pramod Amthe. Please go ahead.

Pramod Amthe: Yeah. Hi. Thanks for taking my question.

Gaurav Kumar: Hi, Pramod.

Pramod Amthe: Yeah. Hi. If I look at your standalone balance sheet, the working capital seems to be continuously going up for last three years. Now it's almost like 17% of sales, even though you have reduced the capital intensity of the business. What is this leading? Is it indicative of the characteristics of the business changing? Or is it more unique to you why it has happened? And how are you looking at it next to your point of view to reduce this going forward?

Gaurav Kumar: So Pramod, one of the results has been that the volatility and the erraticness of the supply chains have forced businesses to sometimes carry high inventory. There have also been times when due to lack of availability we have lost sales, because of taking a little aggressive stance on inventory . We've seen that. So that's been compensated for, which you see in terms of the higher working capital.

We believe it is not unique to us. It is more a result of the elements that are very usual for various businesses. That being said, as Neeraj said earlier, we are taking a hard look at the entire supply chain footprint, not just in India, but also Europe, to make sure that it is adequate, the cost part of it, but most importantly also for how to service the customers in a manner which propels growth.

Pramod Amthe: Thanks. And the second question is with regard to the global tariff situation and FTAs being signed, how are you looking at the demand supply situation from U .S. tariff? Does it make a difference for European tyre makers? You had your own ambition to feed the U .S. market through Europe. Does it change in any way how you look at the global tyre industry?

Gaurav Kumar: So the US market, particularly let's talk about passenger car, which is the bigger part of business. In terms of the demand, only one third of the capacity exists domestically in U .S. So irrespective of the tariff structure, it needs very large quantities of imports. Now, once the dust settles and there is clarity as to what are the tariffs on different geographies, there may be a shift in the competitiveness of the imports coming in from different geographies. Still early days and in a way we would say we are fortunate that currently the quantum of U .S. business for us is about \$100 million in a \$3 billion revenue. And of that about 40% comes from Europe.

So if the competitiveness of Europe changes, there is an impact. But in an overall sense, it's a much smaller impact for us. And right now we are not making any moves till we have clarity on this as a reaction to all of this. Also, if it's applicable on large parts of the world, what will happen is pricing will move up.

Pramod Amthe: And is there any collateral damage? Because if Europe is supplying it to U.S. and if they are unable to push through the volume, will there be more excessive supply in Europe versus required? Or you don't think that scenario playing out in the short term?

Gaurav Kumar: Again, with some caution, I would say there is not a very large proportion of imports into U.S. from Europe. It comes largely from Asia, South America, maybe or Mexico, etc. So, would it suddenly result in a big demand capacity imbalance in Europe? Unlikely.

Pramod Amthe: Thanks a lot.

Gaurav Kumar: Thank you

, Pramod.

Aniket Mhatre : Thank you. We'll take the next question from Joseph. Please go ahead.

Joseph George: Hi, thank you for the opportunity. So, the question that I had is on the Opex line of your standalone P&L. I noticed that it's shot up substantially, I think you briefly referred to it in your opening remarks as well. So, when I look at the Opex line, it's gone up from about 14% levels a couple of years back to almost 17%. I know there are a couple of factors which all of us know, one is the EPR provisions and second is the fact that growth has been lowered. But are there other cost lines which are sort of which you can think you can bring it back and maybe bring this Opex line lower?

Gaurav Kumar: Joseph, part of your question was not clear. But what I understood you're talking about the Opex line increasing over the last few years.

Joseph George: That's correct.

Gaurav Kumar: Yes. So, some of it is, I would say one off and could be curtailed. As a result of the changed structure and that settling in, there was higher travel cost given the initial alignment requirement. That is something that we are looking at and could come under control. There was also higher freight cost, which is directly a result of how the whole supply chain part of the business has worked.

And more and more, we are coming to the conclusion that while we will work very hard on efficiencies and all of that, but fundamentally, costs have moved up. Like, for example, as a parallel example in Europe, while there's been some correction on the energy prices, but fundamentally, it's gone up from what used to be prevailing four five years back. So, there are some one offs which will come off, and there are some fundamental reasons for costs moving up.

Joseph George: I have a couple of housekeeping questions. One is, you mentioned the Reifen EBITDA for the quarter or for the full year?

Gaurav Kumar: The Reifen EBITDA for the full year was just below 5%.

Joseph George: Okay. And lastly, you mentioned, I mean, there was a question on the tax rate, when you move to 25%. For some reason, my screen froze and I couldn't hear. If you don't mind, can you please repeat your response to that question?

Gaurav Kumar: Sure. So, that is evaluated every year, Joseph, as to whether we should move to the new tax regime, etc. What I understand from our tax team is that there is still a certain amount of MAT credit available. And that evaluation is done every year, but we may be a couple of years away.

Joseph George: Thank you.

Gaurav Kumar: Thank you, Joseph.

Aniket Mhatre : We'll take the next question from Mumuksh. Please go ahead.

Mumuksh Mandlesha: Yeah. Hi. Thank you so much for the opportunity. So, firstly, on the Dutch plant restructuring, will there be any one-time cost? And what could be the cost broadly, sir?

Gaurav Kumar: Yeah, there is a one-time cost with such decisions. There is an agreed social plan which has been signed with the company. Again, Mumuksh, it is still too early. That involves a fairly detailed calculation involving person-by-person detail to work out the cost. As I mentioned earlier, we should have greater clarity for all of you by the next earnings call.

Mumuksh Mandlesha: Got it, sir. Sir, on this quarter, standalone numbers, the other expenses were up almost 9% Q-o-Q. Isn't it because last quarter it was a low base or how do you see the run rate going ahead, sir?

Gaurav Kumar: As I mentioned, there are certain one-offs, consultancy charges, higher freight, travel costs. Some of it will come down. Some of it is fundamental to the business.

Mumuksh Mandlesha: Got it, sir. And, sir, can you share how was the volume growth across the replacement segments in the PCR, TBR and overall growth for each of the segments, sir?

Gaurav Kumar: So, the truck overall for the quarter was flat

with replacement growing at 9% negated by the other. Similarly, passenger car, while the replacement growth was mid-single digits, the OEM was a double digit negative which resulted in again negating all of that growth.

Mumuksh Mandlesha: Got it, sir. Thank you so much for the opportunity. Thank you.

Gaurav Kumar: Thank you.

Aniket Mhatre : Thank you. We will take the next question from Raghunandan. Please go ahead.

Raghunandan N.L. : Thank you, sir, for the opportunity again. On the Netherlands business for FY25, would it be possible to share how are the financials, revenue, cost, gross block, anything you can share at this point?

Gaurav Kumar: Raghu, I won't have that readily because we really look at the European business as a whole what I am reporting into you. I will have to go back and seek some of this information.

Raghunandan N.L. : Sure, sir. And in the current quarter for the Europe Operations, the reduction in margins on a Y-o-Y and Q-o-Q basis apart from the input cost impact, were there any one-offs because margins are on the lower side compared to the regular levels?

Gaurav Kumar: Absolutely. So, the RM in Europe was up 8%. First, that is what played into the margins. And the second factor, there were no one-offs because they are below the EBITDA level. We lost out on the operating leverage.

Raghunandan N.L. : Got it, sir. And just a last question for the India business, what is your sense on the FY25 market share for PCR and TBR?

Gaurav Kumar: The market share, Raghu, is now difficult because the industry data is not being published. But I would say, looking at the results of the peers, we would have lost a little bit of a ground in the replacement, not so much. TBR probably matching them, PCR replacement, we would have lost some ground, but we would have lost market share in the OE side of things.

Raghunandan N.L. : Got it, sir. Thanks for the opportunity again.

Gaurav Kumar: Thank you, Raghu.

Aniket Mhatre : Thank you. We'll take the next question from Naveen. Please go ahead.

Naveen Baid: Thank you for the opportunity, sir. I'm not sure if this question has been answered, but just wanted to check what was the overall volume growth at the consol level for the quarter?

Gaurav Kumar: Just a minute, Naveen . So, the volume growth in India was flattish. And in Europe...

Naveen Baid: Hello. Hello.

Gaurav Kumar: In Europe, it was a negative...

Neeraj Kanwar: Gaurav, your line is unclear, Gaurav. It's skipping , your Wi-Fi.

Gaurav Kumar: I'll just switch off the video.

Neeraj Kanwar: Better.

Gaurav Kumar: So, in India, the volume growth was flattish for the quarter and in Europe, it was negative mid -single digits.

Naveen Baid: Thank you. That's helpful. Thank you.

Neeraj Kanwar: Okay. Thank you. Aniket, can we have the last question, please?

Aniket Mhatre : We'll take the last question from Joseph. Please go ahead.

Joseph George: I have already had my chance. Thank you.

Neeraj Kanwar: Okay. Thank you.

Gaurav Kumar: Thank you, Joseph.

Neeraj Kanwar: Okay. I would like to thank each one of you for listening to us patiently. I can only assure you that Apollo will be back in a full swing in quarter one and FY '26 also. So, good luck to all of us and thank you for joining us. All the best. Thank you.

Gaurav Kumar: Thank you.

Call: Aug 2025

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ATL/ SEC/ 21 August 12, 2025

The Secretary,
National Stock Exchange of India Ltd.,
Exchange Plaza,
Bandra -Kurla Complex,
Bandra (E),
Mumbai - 400 051 The Secretary,
BSE Ltd.
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400001.
Sub: Tra
nscript of Analyst/ Investor Conference Call
Dear S

irs,
Pursuant to Regulation 30(6) and 46(2) of the SEBI (Listing Obligations and Disclosure Requirements) Regulati ons, 2015, we wish to inform you that a Conference Call for the analysts and investors to discuss the financial and operational performance of the Company for Q1 FY26 was held on August 8, 2025.

Please find attached herewith the transcript of the aforesaid call. The same has also been placed on the website of the Company <https://corporate.apolloytyres.com/investors/ir- updates/>

This
is for your information and records.

Thanking you,
Yours faithfully,
For Apollo Tyres Ltd.
(Seema Thapar)
Company Secretary & Compliance Officer .A APOLLO
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Apollo Tyres Limited
Q1 FY26 Earnings Conference Call
August 8, 202 5

Rishi Vora: Ladies and gentlemen, g ood day and welcome to the Apollo Tyres Conference Call. I am Rishi Vora, analyst with the auto sector at Kotak Institutional Equities.

At the outset, I would like to thank the Apollo Tyres management for giving us an opportunity to host this call. From the management team, we have with us Mr. Neeraj Kanwar, Managing Director and Vice Chairman of Apollo Tyres ; Mr. Gaurav Kumar, Chief Financial Officer and the Investor Relations team.

We will start the call with brief opening remarks from the management team and then we'll begin the Q&A session.
Over to you, Neeraj sir.

Neeraj Kanwar: Thank you. Good afternoon and thank you for joining us today. I welcome you all to the Apollo Tyres Q1 F Y'26 results conference call.

As always, I would start with a broad overview of the results followed by Gaurav . And then we would be happy to take some questions.

We closed quarter one FY' 26 with a consolidated topline growth of

nearly 3.6% Y-o-Y and an EBITDA margin of 13.2%. On the domestic India front, we saw growth in the OEM segment coupled with a modest growth in the replacement segment. The OEM growth however was led by pre-buying on account of the mandatory AC cabin regulation in the heavy commercial segment.

Coming to Europe, the demand environment was challenging which led to a decline in the industry volumes in key categories. While we maintained our topline on Y-o-Y basis, despite the weak demand scenario, sequential decline in revenue was registered in Europe on account of seasonality. We are keeping a close watch on the market and will continue to focus on profitable growth through new product launches, premiumization of our product mix and cost optimization. As highlighted in my previous earnings call, we remain committed to free cash flow generation and improvement in return ratios. I am pleased to share that we reduced our consolidated net debt by over 15% in Q1 compared to quarter four of last year, which has further strengthened our balance sheet.

Looking ahead, we anticipate a stronger topline growth in both India and Europe. In India, this growth is likely to be led by the replacement segment. Let me now talk about key pillars of our vision and as always highlight some of the work done by teams in the quarter.

Beginning with R&D, I am pleased to announce that we have recently received approvals for supplies to a prominent German passenger vehicle

manufacturer in both India and Europe. This reinforces our product strengths, deepens our ties with premium automotive players, enhances our OE portfolio and further positions our brands in the premium segment.

We are excited on the launch of our ultra-high performance tyre Apollo Aspire 5 built for the premium car and SUV category. Our dual brand strategy is paying off with our premium brand Vredestein continuing to make rapid strides and once again recording highest ever volumes in Q1.

Sustainability has always been a key pillar for us. I am delighted to share that we have achieved a 35% reduction in Scope 1 and 39% reduction in Scope 2 emissions intensity surpassing our FY'26 emission reduction targets.

Apollo Tyres obtained its first ISCC certification for its facility in Hungary in May 2025. The achievement is a significant milestone for us as it will facilitate the monitoring of sustainability throughout the process and supply chain from the sourcing of raw materials to the final products. We earned a Gold Rating from EcoVadis placing Apollo Tyres in the top 5% globally in business sustainability ratings.

With this, I'll conclude my opening remarks, but let me once again emphasize that as always we are closely monitoring market trends and our core structures with a continued focus on driving sustainable and profitable growth. We are proactively preparing to navigate both the challenges and opportunities ahead, and I firmly believe we are well-positioned to capitalize on long-term opportunities across our core markets.

Thank you once again for your time and I'll hand over to Gaurav now. Thank you.

Gaurav Kumar: Thank you, Neeraj, and good afternoon ladies and gentlemen. Continuing from where Neeraj left, let me share some further details of our operations for the last quarter.

The consolidated revenue for the quarter stood at INR 65.6 billion, a growth of 3.6% over the same quarter last year. The consolidated EBITDA for the quarter stood at INR 8.7 billion, a margin as Neeraj mentioned of 13.2%, a slight improvement compared to the 13.0% in last quarter, but still lower than the 14.4% in the same quarter last year.

Coming to the balance sheet, we have been able to further improve our leverage ratio given the focus on cash flows and profitability. Compared to the previous quarter end, we reduced our consolidated net debt by INR 3.9 billion in the Q1, bringing it to a level of INR 21 billion. The net debt to EBITDA for the consolidated operations stood at 0.7x at the end of June' 25.

In India, the revenue for the quarter was INR 47.3 billion, a growth of 3% over the same quarter last year. The EBITDA for the quarter stood at INR 6.4 billion, a margin of 13.6%, a substantial improvement compared to the 11.2% in the last quarter. Our volume growth in this quarter on a Y-o-Y basis was flattish, led by a low single-digit growth in replacement, a mid-single-digit growth in the OE volumes, which was negated by a significant decline in exports.

On the OE side, while there was good growth in the truck OEM volumes, we had a decline in the passenger car OEM volumes. The margin improvement was a result of a decline in the raw material cost, also resulting in improvement in gross margins.

Regarding the demand outlook, we expect the demand momentum to improve in the second half of the fiscal and the rebound in infrastructure and mining segments post-monsoon.

Moving on to raw material outlook, we expect the raw material cost to be slightly lower in Q2 vis-a-vis the current levels, however, with a bit of uncertainty given on the exchange rates that is currently prevailing.

Coming to the balance sheet. The large part of the debt reduction was in the standalone net debt, INR 3.8 billion, as on June' 25 compared to previous quarter end. And for India operations, the net debt to EBITDA stood at 1x co

mpared to 1.2x as of previous quarter.

For Europe operations, revenue for the quarter was EUR 146 million, flattish over the same period last year. The revenues, however, were significantly lower than the previous quarter due to a weak market, which saw negative growth in all product categories and the seasonality factor. We performed better than the market in the critical segment of passenger car replacement tyres, but were still in the negative territory.

The EBITDA for the quarter stood at EUR 16 million, with an EBITDA margin performance of 10.8% compared to 13.7% for the same quarter last year. The margins were impacted due to the impact on revenue, a negative market growth across product segments, and this had an adverse operating leverage impact. Looking ahead, we expect an improvement in the demand momentum, but we will continue our focus on cost optimization.

Further to our announcement about the intended decision to close production and production-related activities at our Enschede plant in the summer of 2026, the matter continues under the Works Council consultation process.

In the results, you would have seen that there is an exceptional item below EBITDA level, which is related to the estimated cost of this restructuring to the tune of INR 3.7 billion, which is based on the signed social plan for payout to the employees. This payout would be in FY '27, which is the next fiscal year, but the need to take this provision right now was dictated by the accounting standards.

We continue to closely watch our capex outflow. There is no change in our capex guidance for FY '26. Profitability, free cash flow generation, and improvement in return ratios continue to be our focus areas for our strategy as we go ahead.

With this, I would conclude my opening comments. Thank you. We would be happy to take your questions now.

Rishi Vora: Thank you, Gaurav. We'll now open the floor for Q&A session. Anyone who wishes to ask a question can please use the Raise Hand option.

Once you are done asking your question, please lower your hand. We'll wait for a couple of seconds for question queue to assemble.

First question is from Siddhartha. Siddhartha, you can unmute your line and go ahead.

Siddhartha Bera: Yeah. Hi, sir. Thanks for that.

Gaurav Kumar: Hi, Siddhartha.

Siddhartha Bera: Sir, my first question is on the India business. So, if you can first share for the replacement side, what is the segment-wise breakup between PCR, TBR? And going ahead, how should you think about the full year growth? I mean, last quarter, we had expected probably a better growth in this current quarter. But given the way things are on the demand side, how do you think we should expect the overall growth to be for the year?

Gaurav Kumar: Siddhartha, yes, we had expected better growth when we began the year and in our commentary of May. We believe that on the replacement side, we have performed in line with the market. OEM, as I mentioned, we've lost some bit on the passenger car side based on the accounts that we walked away. And exports, the peers may have outperformed us. I would say the topline growth, while we would still be pushing for a double-digit, but maybe a high single-digit would be a more realistic estimate.

Siddhartha Bera: This is on the volume side, right?

Gaurav Kumar: Right now, there is hardly likely to be pricing action, given that the raw material cycle is reversed.

Siddhartha Bera: Got it. And second question is on the commodity. So again, I mean, on a sequential basis, actually commodities haven't actually fallen as much compared to the 4% nearly drop Q-o-Q, which we have seen per ton basis. So, any other reason why this has been so sudden and whether is this sustainable going ahead?

Gaurav Kumar: I'm not sure I get your question as to where you're talking about the 4%. The raw material

did come down on a sequential basis.

Siddhartha Bera: Yeah. I was talking about per tons, RM per ton is down around 4% Q-o-Q. So, we had expected a flattish to a marginal decline probably when we started. So, is this fully reflective of the current prices or should we expect more improvement going ahead?

Gaurav Kumar: As I mentioned, we expect Q2 raw material unless we get significantly surprised on the USD rupee exchange rate, we expect Q2 raw material to come a little further down.

Siddhartha Bera: Understood, sir. Sir, lastly, on the Europe side, I mean, the margins really have come down despite on a Y-o-Y basis, revenues actually are flat. So, any other reason, I mean, operating leverage should not be the case if revenues are flat on a Y-o-Y basis, but we still have seen a correction in the margins. So, any further thing why it has happened?

Gaurav Kumar: See there have been inflationary pressures and as we've mentioned in the last few calls that in the last couple of years, the inflationary pressure in Europe has been higher than normal, whether it's the energy prices, salary prices, etc. And that's one of the causes which has led to our decision on the Netherlands side. So, the cost part has kept pushing up, and particularly from a sequential basis, there was a big revenue decline.

Siddhartha Bera: Got it. So, we have not done any pricing changes in our products. So, is that the right assumption?

Gaurav Kumar: Yes, there has been no pricing changes.

Siddhartha Bera: Okay.

Gaurav Kumar: There were certain price cuts taken towards last quarter, which is Q4 in line with raw materials coming down.

Siddhartha Bera: Okay. Understood. Thanks a lot, sir. I'll come back in the queue .

Gaurav Kumar: Thank you, Siddhartha .

Amyr Pirani: Thank you, Siddhartha . Amyr, you can unmute your line and go ahead.

Amyr Pirani: Hi. Am I audible?

Gaurav Kumar: Hi, Amyr. Yes, Amyr.

Amyr Pirani: Okay. So , one question was, you know, on the similar lines that Siddhartha asked on the Europe margins. So, would it be fair to say that the inflationary pressure that you're seeing in Netherlands is higher than Hungary, or is it the same? I'm just trying to understand that, you know, as we move on to Hungary as being our sole supply base, in addition to the, you know, reduction that we will see in, you know, production costs, is there a difference in the inflationary pressure also in these two geographies or is it the same?

Gaurav Kumar: It is, it is mostly similar, Amyr. The big pressure, Y -o-Y to again touch on the point Siddhartha asked and you've said, on a Y -o-Y basis, the raw materials were up 3% in Europe.

Amyr Pirani: Okay .

Gaurav Kumar: So that's sort of eating at the margins with the topline being flattish and then the staff cost increments, et c. further hit , if your revenue hasn't grown.

Amyr Pirani: Okay. Okay. And sorry if I'm repeating this, the revenue flat is flat volumes and prices or has like, what is the breakup there, if you can just help us.

Gaurav Kumar: Just let me see if I have the volumes . PCLT volumes are slightly up.

Amyr Pirani: Okay.

Gaurav Kumar: We have a big decline in the space master tyres, which is that special category tyres, which is not market linked. It is largely linked to the fact that it's manufactured in a high cost plant and hence as contracts are ending, the customers are not renewing those contracts. So that's a big decline of almost 40%. And a gri market continues to be sort of weak. And then similarly, the TBR also has had a negative market growth. So that's why the overall, since the PCR part, which was still positive, and we outperformed the market, the other segments pulled it down.

Amyr Pirani: And I'm guessing that PCR has a better realization, that's why your revenue has ended up still being flat Y -o-Y?

Gaurav Kumar: That's correct.

And there is further improvement in the mix, which we continue to drive, which is the UHP proportion is now in the high 40s.

Amyr Pirani: Okay. Okay. And secondly, just on the commodity comment that you made, now we saw natural rubber ease off a bit, and then I think it has stabilized and maybe slightly moved up. But the benefit from crude falling, which has happened in the last three months, the crude -related derivatives, are you still to see the benefit or this comment for 2Q incorporates some benefits that you're seeing in the crude derivatives also?

Gaurav Kumar: So Amyr, some of the benefits is incorporated because the contracts are signed ahead of time. So , we expect that benefit to come through and hence the only element of risk there is the exchange rate because that will hit us on a spot basis. Your comment on natural rubber is absolutely right because even on a sequential basis, natural rubber

actually was up 3%. We saw a reduction in synthetic rubber and nylon fabric.

Amyr Pirani: Okay. Thank you. And just lastly, slightly more, you know, a question on the medium-term. So, you know, when you had put out that FY '26 plans, obviously you had some ROCE targets as well as margin targets. You had actually achieved the ROCE targets, you know, before time, in, you know, sometime in FY 23-24 itself, but obviously the market has changed. So, how should we think about that 15% number in the context of where you are right now? And realistically, you know, based on whatever assumptions you can make, you know, in the best of your knowledge, when can we see that return to 15%?

Gaurav Kumar: So, if the current market conditions, Amyr, were to continue, which is let's say raw material tailing off a little bit more, we should be returning to that. Right now, in fact, in the current quarter, it is the Europe operations with market challenges, which have pulled down the overall returns. So, I would say while we are not there in near-term, but medium-term, definitely return to that 15% is possible. And as we get back on the table to look at our targets and vision for the next 5-year period, starting from next fiscal year, we will see whether the target should remain at 15% or higher as we go forward with a very different manufacturing mix.

Neeraj Kanwar: Plus, I think in Q2, Amyr, you will see a much better performance on Europe side. Things are looking better than before, unless there's a geopolitical issue with the US. But things are looking better. And I can see Q2 results on revenue side being much better.

Amyr Pirani: Okay. Great. That's good to know. I'll come back in the queue.

Gaurav Kumar: Thank you, Amyr.

Rishi Vora: Next question is from Raghunandan. Raghunandan, you can unmute your line and go ahead.

Raghunandan N.L.: Thank you for the opportunity.

Gaurav Kumar: Hi, Raghu.

Raghunandan N.L.: Hi sir. Sir, on Europe side, you know, you have highlighted focus on sales mix improvement, cost optimization, and Q2 is also expected to be better. How do you see the broad range for EBIT margin for FY '26? Can it be flattish on a full-year basis compared to last year? And also, your thoughts on the restructuring efforts, how do you see -- what would be the timeline when they will reflect in the margins? And if you can give some quantification of the benefits we can expect, say in FY '27 or '28?

Gaurav Kumar: So, Raghu, yeah, as we stated repeatedly, we do not give out margin guidance. So, on the first question, I'll have to say that we will not comment on that.

On the second one, we expect to finalize the consultation process with the Works Council within the current quarter. This is also a period when there's 3-weeks of annual maintenance leave when people also go on holiday. So, the consultation process will resume towards the end of August, and we would hope to complete the

same within this quarter.

The intended decision of closure, which will get finalized as part of this consultation process, is towards the summer of next year. So, it is still a significant period away. The expected benefits, et c. still too early to quantify, but yes, they will start flowing in from FY '27. Nothing in FY '26.

Raghunandan N.L.: Got it, Gaurav. Thank you. My second question was on India replacement. How has been the TBR-PCR performance, and how do you see the outlook ahead? Replacement, you indicated that you've broadly performed in-line with the market. How is it between the categories?

Gaurav Kumar: Sure. So, on TBR replacement, Raghu, we grew mid-single digits. Passenger car replacement was low-single digits. We might have been slightly behind market on the passenger car replacement, but TBR slightly ahead. And that's why I said over the two main categories, we were in-line with the market growth.

Raghunandh an N.L.: Got it. And the share of Vredestein, however, given that you highlighted that it is the highest ever volume, so how should we look at it? Within PCR, how would be the share of Vredestein?

Gaurav Kumar: It is still quite low. I don't have the exact figures here, but the percentage proportion would be, I think, still in single-digits.

Raghunandh an N.L.: Got it. Just the last one. Can you share the commodity prices for the quarter?

Gaurav Kumar: Sure, Raghu, just a minute. Natural rubber was around 210, synthetic rubber 180, carbon black 120, and steel cord 160.

Raghunandh an N.L.: And the blended RM basket?

Gaurav Kumar: Blended RM basket would have been around somewhere 166.

Raghunandh an N.L.: Got it. Thanks so much, Gaurav. Wishing all the best.

Gaurav Kumar: Thank you, Raghu.

Rishi Vora: Next question is from Mumuksh. Mumuksh, you can unmute your line and go ahead.

Mumuksh: Yeah, thank you, sir, for the opportunity. Sir, I just wanted to understand, firstly, on the Europe restructuring costs, we have done around INR 500 crore of cost over the last two quarters. So, I just want to understand, is this now the cost complete or there could be more further cost in the coming quarters, sir?

Gaurav Kumar: So, Mumuksh, what we took in March was based on a desktop study of asset impairment, which is a non-cash charge. And again, while from a business perspective, we would have said that it should be taken all in one go once we have clarity, our auditors and accounting standards dictated that we make an assessment immediately. The second one, which has come in the current quarter of about INR 370 crores, is the actual cash payout that will happen if all the employees that are currently there are paid as per the signed social plan.

Now, if an employee leaves in between, then that cost will not be incurred. We will still have to do a more thorough assessment on the asset side of things. We will send in our team to go through the entire asset list in detail, including a physical examination. So, there might be something more on the asset impairment side.

Mumuksh: Got it. Got it. And sir, anything on the land sale, sir? Will there involve any land sale which can give a cash in, and can receive some cash for the land, sir, other plant?

Gaurav Kumar: Too early to say, Mumuksh, because we want to first concentrate on the entire consultation process with the Works Council. It is a tough emotional decision to take care of the employees and then come to the other aspects of this decision. So, too early to say on that.

Mumuksh: Got it, sir. So, secondly, I just want to understand, how do you see the new competition which is planning to come build in India for TBR and PCR segment? And just want to understand, how do you see if any impact on the talent for your team or the retention of the network, sir?

Gaurav Kumar: We will have more competition. The competition will take time to make not just an entry, but establish themselves. Both TBR and PCR are technology products, and apart from technology, establishing a vast distribution network. But yes, it will add to the competitive intensity and it will add to the fight for talent.

Mumuksh: Right, right. And also, any challenge on network side, sir, to hold on to dealers or there could be -- is there a challenge around network also, sir?

Neeraj Kanwar: Gaurav, let me answer that. So, I don't think -- I mean, it depends on the product and the brand. Today, Apollo has a very good brand equity in India, both in TBR and PCR. As you know, we are leaders in PCR and TBR. So, we'll continue to come out with new product launches, which serve the dealer network. Yes, there is attrition, but there is also add-on. Every month we are adding dealers. We are also going into the rural market. And so, expansion of distribution is the core strategy for Apollo going forward. And especially in the rural markets, that's where the growth is going to come. And on your keeping the talent, you would have seen in our balance sheet that we've also come out with the ESOP scheme recently. So, to the top tier of the management, Tier 2, Tier 3, Tier 1, we've given ESOPs across the board. So those are the talent retention tools that we are introducing into the company.

Mumuksh: Got it, sir. Thank you so much for the answer. And sir, lastly, sir, I just want to understand, in terms of the volume growth, sir, when do you see our volume growth catching up with the overall industry growth, sir? There's been last one year of underperformance. Just want to understand, based on your customer order wins, how do you see that growth coming back to the normal level, sir?

Neeraj Kanwar: So, you know, in India, we have been growing at the market rate. Competition has obviously grown in 2-3 wheeler, where Apollo is not a significant player. And therefore, when you see the revenue numbers, there are double-digit numbers coming off competition, which is primarily driven by 2-3 wheeler. But as far as truck and PCR is concerned, we are putting in all efforts to try and see that we achieve a double-digit growth. And you'll see that in Q2.

Mumuksh: Got it, sir. Thank you so much for the opportunity.

Neeraj Kanwar: Thank you.

Gaurav Kumar: Thank you.

Rishi Vora: Next question is from Arvind. Arvind, you can unmute your line and go ahead.

Arvind Sharma: Hi. Good evening, sir.

Neeraj Kanwar: Hi, Arvind.

Arvind Sharma: Hi. Hi. Good evening, sir. Thank you for taking my question. Sir, first question would be more on the accounting part. There was a big exception around INR 3.7 billion, but versus that when we look at your taxation that seems a little different. So, two parts of it, first of all what should be the tax rate going forward? And secondly, if one was to see the post-tax implication of this exception what would that be?

Gaurav Kumar: So, the tax rate for our Europe operations usually if I remember correctly, Arvind, is around high-teens which is a mix of Netherlands tax rate and Hungary tax rate and then smaller component in other geographies. So that will continue as a normalized thing. We will get the tax benefit of this significant exceptional items, including if there are carry forward losses. So, to that extent we get the tax shield on the cash out.

Arvind Sharma: Got it, sir. Yeah, I was talking from that perspective only. If we look at the PBT around INR 4 billion and then INR 3.7 billion of exceptional. So, on that taxable profit, the actual tax of INR 255 million seems a little on the higher side. So just how should one look at the blended consolidated tax rate going ahead?

Gaurav Kumar: So, if you take out the exceptional item that's what I said about the high-teens is the tax rate for the European operations. Difficult to

give you a simple picture because Hungary is high-single digits. There are other geographies because we have subsidiaries in other European entities and each of them have their different tax rates based on the

profits made, whether it's Germany, France etc. The largest one which is Netherlands , our tax rate is about 20 %.

Arvind Sharma: Got it. Thanks . Thanks so much for this. Just one more of a clarification. The blended replacement demand you said was volumes were up low -single digit and OEM was up mid- single digit , was that because the presentation had low -to-mid for both of them.

Gaurav Kumar: Yeah. Replacement was low -single digit OEM was mid -single digits.

Arvind Sharma: Got it. Thank you so much sir for taking my question. That's all from my side. Thanks.

Gaurav Kumar: Thank you, Arvind.

Rishi Vora: Next question is from Joseph. Joseph you can unmute your line and go ahead.

Joseph George: Thank you. I had three questions. I'll take one by one. The first one is on the European operations. So, when I look at the last 3 years typical seasonality that I see is that the average revenues in say 2Q, 3Q, 4Q in Euro terms is typically about 20% higher compared to 1Q, a typical seasonality that we have seen everywhere. So , when you said that this year also the subsequent quarters would be better, are you referring to better Y-o-Y trends or are you talking about sequential improvement which happens every year?

Gaurav Kumar: So Q2, Joseph, we are talking about more the seasonality factor. The market as of now is still negative. So , the improvement in the topline that I'm talking about is more a seasonal factor, but at least it provides a better operating leverage coverage, which should then impact the margins that Neeraj talked about. The expectations of growth coming back to a positive territory is still a little away, we would hope that in Q3.

Joseph George: Understood . Thanks. The second question that I had was on the Indian operations opex line. So last year , you were averaging about INR 800 crores per quarter in terms of opex and I recall very clearly that you had mentioned we will try and cut that down with lower travel costs etc. , etc. This quarter we have seen a good result . There is a good sequential drop in opex . So, are these efforts to bring down opex bearing fruit and hence this kind of run rate sustainable or is there a risk of it jum ping back to the old INR 800 crores odd ?

Gaurav Kumar: Currently , we would say Joseph, these levels are sustainable. We did, apart from the cut on travel and various other costs, the only one which was cut also very sharply was the advertisement and promotion spend. At some stage that will have to be released back for the sales growth. Other than that, the other costs are very much which should continue at the current levels.

Joseph George: Understood. And Gaurav, the last question that I had was Vredestein – sorry, Reifencor , if you can share the revenue and margins for the quarter.

Gaurav Kumar: Yes, Joseph, just a minute. Reifencor did EUR 53 million in revenues, about 5% up year -on-year and an EBITDA margin of about 4%.

Joseph George: Great . Thank you. That's all I had .

Gaurav Kumar: Thank you, Joseph.

Rishi Vora: Next question is from Basudeb . Basudeb , you can unmute your line and go ahead.

Basudeb Banerjee: Hi, thanks.

Gaurav Kumar: Hi, Basudeb .

Basudeb Banerjee: Yeah. I have a few questions. What was overall India volume growth

Y-o-Y or standalone?

Gaurav Kumar: Overall , India volume growth was flattish, Basude b.

Basudeb Banerjee: Okay. And as you earlier said to Raghu' s question that raw -mat basket overall was INR 166 rupees a kg, how much it was down sequentially?

Gaurav Kumar: Sequentially it was down about 2%.

Basudeb Banerjee: 2%. And third question is in current raw -mat basket overall, how much is the import content percentage?

Gaurav Kumar: I won't have the exact number Bas udeb, but in general about half of it is imported. We can get back to you with a more precise number.

Basudeb Banerjee: And as we discussed last time, now any plans of increasing natural rubber import content with domestic prices still remaining high and global prices being lower?

Gaurav Kumar: That's a constant call being taken by the procurement team based on the equation. I will have to check with them and we can get back to you, but , is there some very dramatic shift ? - unlikely , because there's a certain fine balance, a little bit movement in terms of the mix between domestic and imports can be done, but it will not be as if a 50-50 will be changed to 80- 20 either way.

Basudeb Banerjee: Understood. And last question, in today's call you mentioned Hungary sustainable tax rate is high- single digit?

Gaurav Kumar: That's correct , because the tax rate in Hungary is 9%.

Basudeb Banerjee: So once operations shift fully to Hungary from Netherlands, so other than operational benefits, will it be right to assume European tax rate will also come down from high- teens to high single digit or maybe 10%, 12%?

Gaurav Kumar: There may be only a slight impact because our headquarters of European operations remain at Netherlands. So, the headquarters, which is the Apollo Tyres Europe entities buys products from all the plants, be it Hungary, be it the Dutch plant or India plant, for example, and then they sell to the customers. So, the central entity will continue to be Netherlands.

Basudeb Banerjee: Understood. Yeah. Thanks all the best.

Gaurav Kumar: Thank you , Basudeb .

Rishi Vora: Thank you. I request the participants to raise hand if they have any questions for the management. We have a follow -up question from Arvind. Arvind, you can unmute your line and go ahead.

Arvind Sharma: Hi, thanks so much sir, for taking my question again. Good to hear your optimism on the India demand going forward. If you could just elucidate what are the key drivers for demand going ahead over the remaining part of the year? That would be the first question.

Gaurav Kumar: So, one, post -monsoon, which is typically a little low vis -a-vis season. We see demand pick up in Q3 and then Q4. Also, there is expected better demand from the mining segment, etc.

Arvind Sharma: What about PCR?

Gaurav Kumar: Expectation is there, car sales improve post this season, but there's nothing like to say that we have some concrete orders to say our numbers will go up by a certain quantum. It's based on a judgment call on what our teams are feeling from the market.

Arvind Sharma: Right . And it's difficult to find out the exact market share, but this assumes market share to be stable, right?

Gaurav Kumar: As of now, this assumes market share to be stable. Our estimates,

our market share in PCR is about 20% and in TBR replacement is 30%.

Arvind Sharma: Got it. Thanks. And just one more accounting question. The staff cost in the standalone business saw a sharp uptick on a quarter -on-quarter basis. Is this seasonality because last year also first quarter was high or is it something which will sustain going forward?

Gaurav Kumar: The seasonality factor is only the increment part. So, there is always a jump in the Q1 based on the increments given. Where you see a slightly larger increase this year is also the reason that last year the variable pay, which gets concluded in the last quarter, the payout was lower given the financial results. So that sort of depressed that figure from the normal levels and you see a bigger jump.

Neeraj Kanwar: Plus Gaurav, there have been new talent that we've taken at senior management level, both in supply chain and manufacturing. And that would have also come in staff cost.

Gaurav Kumar: Yes.

Arv

Arvind Sharma: All right, sir. Very clear. Thank you again for taking my questions.

Neeraj Kanwar: Thank you, Arvind.

Rishi Vora: Next question is from Amar. Amar, you can unmute your line and go ahead.

Amar Kant Gaur: Yeah, good afternoon, sirs. And thanks for taking my question. I had two questions. One was on the restructuring happening in Europe. Has that plant ceased operations? So, we will not be getting any revenues from that plant or till what period will that be operational and what kind of revenues can we expect from there?

Gaurav Kumar: So, Amar, the plant continues to be operational. Right now, in fact, the exact shape and how we will go about the restructuring is not even finalized because the consultation process is on. And even in the intended decision, the intention was to close production there at that plant in the summer of 2026. So, at a bare minimum, we are talking about continuing the plant operations till June of 2026.

Amar Kant Gaur: Okay. Okay. Thanks. Thanks for that. My next question is on the export side. We have seen our share of exports from India decline quite rapidly since the time that we had shifted some of the capacities that we have rationalized in Europe to India, and our exports had gone up to maybe 17%, 18%, and now it is down to 11%, 12% as a share of overall revenues, whereas we see share of exports for our peers continues to go up. So, is there something that probably you guys are looking at maybe strategically or anything to kind of address that?

Gaurav Kumar: Yeah, it is being looked at. Some of them was a result of let's say the whole supply chain disruptions which have been fairly frequent. Supplies particularly to far off places like South America were impacted. Also, a significant portion of our exports to Europe and US were impacted by the market scenario itself from last year resulting in the drop of share that you've talked about from about 17% to the 12% odd and it is being looked at.

Amar Kant Gaur: Okay. Any kind of outlook you can provide on that? Any targets internally that you have where do you want to see that number?

Gaurav Kumar: Even now, while there are steps being taken in short-term given as Amyn mentioned earlier in the call, we are getting back onto the table for our next 5-year plan and targets would be set as part of that.

Amar Kant Gaur: All right. Thanks, and all the best.

Gaurav Kumar: Thank you, Amar.

Rishi Vora: Thank you. We have next question from Ajox. Ajox, you can unmute your line and go ahead.

Ajox Frederick: Hi, sir. Thanks for the opportunity.

Gaurav Kumar: Hi.

Ajox Frederick: Hi, sir. Hi. One data keeping question. The India volume Q-o-Q, how much that has grown?

Gaurav Kumar: Sequentially, the volumes were up 4%.

Ajox Frederick: Okay . Got it. And sir, second is on the outlook. In your comments, you mentioned that CV, there was some pre- buying due to AC cabin. So, do you expect a softness in the near -term because of this pre -buying demand getting absorbed in the system?

Gaurav Kumar: So, we did see some softness coming in June. I'll have to check as to how the current quarter is panning out. We've had a good July, but we'll have to check that and get back to you.

Ajox Frederick: Okay, sir. Those were my questions. Thank you.

Gaurav Kumar: Thank you.

Rishi Vora: Thank you. That was the last question for the session. I'll hand it over to the management for their closing remarks.

Neeraj Kanwar: Well, we'd like to thank everyone for attending our call and hope we are able to do better results next quarter. Till then, see you. Thank you.

Gaurav Kumar: Thank you.

Call: Nov 2025

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ATL/ SEC/ 21 November 18, 2025
The Secretary,
National Stock Exchange of India Ltd.,
Exchange Plaza,
Bandra -Kurla Complex,
Bandra (E),
Mumbai - 400 051 The Secretary,
BSE Ltd.
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400001.

Sub: Transcript of Analyst/ Investor Conference Call

Dear Sirs,

Pursuant to Regulation 30(6) and 46(2) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we wish to inform you that a Conference Call for the analysts and investors to discuss the financial and operational performance of the Company for Q2 FY26 was held on November 14, 2025.

Please find attached herewith the transcript of the aforesaid call. The same has also been placed on the website of the Company <https://corporate.apolloytyres.com/investors/ir-updates/>

This is for your information and records.

Thanking you, Yours faithfully,

For Apollo Tyres Ltd. (Seema Thapar)

Company Secretary & Compliance Officer

Apollo Tyres Limited
Q2 FY26 Earnings Conference Call
November 14, 2025

Chirag Jain : Good afternoon, everyone. On behalf of Emkay Global Financial Services, we would like to welcome you all to Apollo Tyres Q2 and H1 FY'26 Earnings Conference Call.

Today, we have with us from the management team, Mr Neeraj Kanwar, Managing Director and Vice Chairman, Mr Gaurav Kumar, Chief Financial Officer and the Investor Relations Team.

We will start the call with brief opening remarks from the management team about the quarter gone by, and then we'll proceed to the Q&A session.

Thank you and over to you, sir.

Neeraj Kanwar: Thank you. Good afternoon and thank you for joining us today. I welcome you all to the Apollo Tyres Q 2 FY'26 Post Results Conference Call. I would start with a broad overview of the results followed by key initiatives that we've taken over the past quarter.

We closed Q2 FY'26 with consolidated top -line growth of 6% Y -on-Y and EBITDA margin of around 14.9%. Announced in September, the GST rationalization by the Government of India is a radical reform, which is expected to have a far -reaching impact on India's consumption story. I am delighted to share that in Q2, we have achieved the highest revenue growth in the last 10 quarters on both standalone and on consolidated basis.

On the domestic front, we saw volume growth in the Replacement as well as in the OEM segment, coupled with a strong recovery in our export markets.

In Europe, the demand environment continues to be challenging across

key categories. We have registered a 4% Y-on-Y growth in our top-line, despite the weak demand scenario and 21% sequential growth in revenue on account of seasonality. We continue to maintain a close view of market dynamics and remain committed to delivering a profitable growth.

Looking ahead, we anticipate to maintain and further accelerate the top-line growth momentum in both our markets of India and Europe. Profitable growth continues to be our mantra, and we will continue to keep our focus on profitability, free cash flows and on return ratios.

Let me now talk about our key pillars of FY'26. Beginning with R&D, I am pleased to share that both in India and Europe, we're continuing to secure additional model wins from marquee German OEM manufacturers, thereby revalidating our product capabilities and further supporting our premiumization journey.

I am also happy to share that we are continuing to win podium positions in Europe at independent test results. This reinforces our product strengths, deepens our ties with premium automotive players, and further positions our brands in the premium segments of the car market.

On

the branding side, as you all know, we have maintained a strong brand awareness, underscoring our robust brand equity built on superior product quality and consistent customer satisfaction.

In a landmark move, Apollo Tyres has become the lead title and jersey sponsor of the Indian cricket team. Cricket transcends age, religion and income and is India's strongest unifier. This is a historic moment for us as our logo is now prominently featured on the official Team India jersey, symbolizing a powerful alliance between one of the world's most beloved sports and a brand ready to go the distance for our national pride.

Cricket is India's strongest culture and sporting platform with unmatched reach and emotional connection. This is not just a sponsorship, but ownership of the nation's biggest state, cementing our leadership at the intersection of sports, culture and commerce. We believe this move will have a massively positive influence on Apollo Tyres' long-term story.

Finally, sustainability has always been our key pillar. I'm delighted to share that Apollo Tyres has enhanced its S&P Global ESG rating score compared to the previous year, achieving a score of 58 in 2025, up from 53 in 2024. We've also received the CII-ITC Sustainability Award for Corporate Social Responsibility in Excellence, reflecting the company's strong commitment to CSR initiatives. Our Chennai plant also recently received Gold Awards at the Safety, Health, Energy, and Environment competition, organized by the Quality Circle Forum of India.

As part of Apollo's healthcare initiatives, a digital healthcare application has been launched for truck drivers. This tool facilitates video consultations with healthcare professionals and helps our users locate near by Apollo Tyres healthcare centers.

With this, I will conclude my opening remarks. Let me reaffirm all of you that we are consistently monitoring our market trends across geographies, our cost structures, maintaining an unrelenting focus on driving sustainability and profitable growth. We are proactively positioning ourselves to navigate emerging challenges and seize new opportunities, and I'm confident that our strong fundamentals and strategic direction will enable us to capture the long-term value across our core markets.

Thank you for listening to me, and I'll now hand over the call to Gaurav, who is our CFO. Thank you.

Gaurav Kumar: Thank you, Neeraj, and good afternoon, ladies and gentlemen. Continuing from where Neeraj left, let me share further details of our operations for the last quarter.

The consolidated revenue for the quarter stood at INR 68.3 billion, a growth of 6% over the same quarter last year. The consolidated EBITDA for the quarter stood at INR 10.2 billion, an improved margin of 14.9% compared to a 13.2% in the last quarter and 13.6% in the same quarter last year.

Coming to the balance sheet. Our consolidated net debt stood at a level of INR 26 billion as on September 25, similar to the level in March 2025. The net debt to EBITDA for the consolidated operations stood at 0.8x at the end of this quarter.

As Neeraj mentioned, the GST rationalisation has given a fillip to our growth, leading us to achieve the highest revenue growth in the last 10 quarters on both standalone and consolidated basis.

In India, the revenue for the quarter was INR 47.1 billion, a growth of 6% over the same quarter last year. The EBITDA for the quarter stood at INR 7.2 billion, a margin of 15.3%, significantly higher compared to the 13.6% in the last quarter and 12.1% in the same quarter last year. The volume growth Y-on-Y was in mid-single digits, based on growth in both Replacement and OE volumes and a significant recovery in exports.

Our premium brand Vredestein continues to get very strong traction in India with the highest ever volumes in the Q2 of FY '26. Regarding the

demand outlook, we expect to maintain the healthy demand momentum in H2 of the fiscal with the new GST regime and the rebound in infrastructure and mining segments post-monsoon. We saw continued demand acceleration coming in the month of October with healthy year-on-year growth.

Moving over to the raw materials, we expect the raw material cost to be range-bound in Q3, which should continue to support our healthy margin story.

Coming to the balance sheet for the India Operations. The net debt level stood at INR 27 billion, a gain, similar to the levels compared to March 2025, and the net debt to EBITDA for the Indian Operations was at 1.1x, marginally lower than the 1.2x at the beginning of the year.

Moving to the European Operations. The revenue for the quarter was EUR 177 million, a growth of 4% over the same period last year and a 21% over last quarter. The EBITDA for the quarter stood at EUR 22 million, and EBITDA margin of 12.7% compared to 10.8% for the last quarter. It is still below the levels that we expect our European Operations to perform. But given this year of transition, as we are undertaking some significant decisions, we are positioning ourselves very well for the European Operations.

Continuing with our premiumisation journey, the UHP mix for the quarter increased to 49% compared to 46% for the same quarter last year. Our PCR capacity expansion in Hungary is underway and we expect an acceleration in demand momentum going forward as we ramp up this capacity.

Further to our earlier announcement about the intended decision to close production and production related activities at the Enschede plant, in order to optimise our manufacturing mix, we have now reached a settlement with the Works Council in Netherlands.

In the results for this quarter for Europe Operations, the exceptional item

below EBITDA level is related to the additional estimated cost of this restructuring to the tune of EUR 17 million based on the settlement reached with the Works Council to go ahead with the intended plan to close Enschede production.

We had explained to you last quarter that the earlier figure was based on the basic signed social plan dictated by accounting standards to immediately take a charge in spite of not having clarity. Now based on the consultation process over the last 4 to 5 months, there is certainty on the figure.

The current additional figure reflects the payout to employees as per settlement reached and the other associated costs with the closure. This payout would only be done in the next fiscal year. We expect the implementation of Enschede closure to happen by end June 2026. And in long-term, this would have a positive impact on the profitability of European Operations as was seen post the restructuring in FY '21.

Lastly, we continue to monitor our Capex outflow and there is no change in our Capex guidance for FY '26. As always, profitability, free cash flow generation and return ratios are our key focus areas and we are progressing well on our trajectory of profitable growth with a consistent uptick in margins.

With this, I would conclude my comments. Thank you. We would be happy to take your questions.

Chirag Jain: Thank you. Participants we'll begin with the Q&A session. If you have any questions, you can click on the Raise Hand button. We'll take the first question from Raghu. Raghu, you can unmute yourself and go ahead.

Raghunandhan N.L: Thanks, Chirag. Thank you, sir, for the opportunity. Congratulations on the strong margin performance.

Neeraj Kanwar: Thanks Raghu.

Raghunandhan N.L: Sir, as you indicated, it has been a better growth compared to last several quarters. And the marketing efforts have also increased. So, if you can talk about how you see the future shaping up in terms of regaining market share and your efforts towards that?

Gaurav Kumar: Yeah. Yes.

Neeraj Kanwar: So, as you know, we have invested in the brand, the Indian Cricket Team, and I am hopeful and optimistic that this will give us reach in the rural markets of the country, where we see after GST, a huge demand for our car tyres and for two-wheel tyres. It will also have impact on agri and on truck. And we already seen in the month of October, good demand that has come up.

We are hopeful that Q3 revenue growth should be, if not better, but at least at the same level. Profitability will continue to remain at this level, if not better. So, looking at H2, we believe that there is much more to happen given the brand strength that has also come in and our focus on increasing dealer network in India, our distribution network and with the current dealers also expanding our base with them. So, all-in-all, I'm very optimistic about H2.

Raghunandhan N.L: Good to hear that, sir. Thanks for that. Gaurav sir, can you talk about the volume growth for India business across channels and how you are looking at the replacement demand across segments as well?

Gaurav Kumar: Sure. So, Raghu, the overall volume growth was 4% for this quarter. It was still quite muted for truck and passenger car, just in the positive zone.

The big demand upliftment in terms of volume growth was in the farm segment, the two-three wheelers and the others. So that's for this quarter. Going forward, as Neeraj mentioned, we are expecting an uptick in the demand scenario. So, we would expect the replacement demand to start moving up from this level to mid-to-high single digits.

Raghunandhan N.L: How was the replacement and OEM growth sir?

Gaurav Kumar: Overall, replacement growth was 2% and OEM was 4%.

Raghunandhan N.L: And this replacement growth was slower because of the GST issue and should improve going ahead?

Gaurav Kumar: That's correct. For almost a month given the GST implementation understandably the market slowed down, but it's beneficial in the long-term, so yes there was some impact on the replacement growth in the current quarter.

Raghunandhan N.L: And you indicated about recovery in the exports. How was the exports growth this quarter and would you say that exports growth can be high single digit for the full year?

Gaurav Kumar: So, exports growth was in double digits for the current quarter. We had not done well if you would remember in Q1. So overall for the year, yes, we would push towards the high single digit.

Raghunandhan N.L: Got it. And sir, if you can share the raw material cost, what was the benefit in Q2 and your expectation for Q3?

Gaurav Kumar: So, the raw materials in Q2 were down 3% sequentially from Q1 and we expect it to be stable to slightly down in Q3.

Raghunandhan N.L: Got it. And can you also share the commodity prices for each of the commodities, natural rubber, synthetic rubber etc?

Gaurav Kumar: Natural rubber was around INR 210 a kg, synthetic rubber INR 175, carbon black INR 115 and steel cord INR 155.

Raghunandhan N.L: Thank you sir. And you referred to Vredestein where the number has gone up significantly and highest revenue for Vredestein you have achieved. If you can indicate how salient it is when you look at the India PCR and where would you like to take it up in terms of your effort on premiumisation?

Gaurav Kumar: So, the numbers within the overall basket, Raghu, are still small, but as mentioned the growth trajectory is very good. But still within an overall level it's at a level of 10,000 tyres a month in a total mix of 4,50,000 to 5,00,000 but it continues to go up. We are positioning it as an absolute premium brand with fitments at the top end. And we will continue with that positioning rather than just try and gain volumes across all categories. So, the dual-brand strategy for passenger

car with the Apollo brand and Vredestein brand will continue. And the proportion of this premium will keep going up.

Raghunandhan N.L: Got it, sir. And just the last question, sir. On Europe, there are benefits of translation gains. But if you can talk about how you are seeing the volume trends? And going forward, would you expect a further improvement?

Gaurav Kumar: The top-line growth in Europe was, as I mentioned, 4%, which was entirely from volume. There was nothing gained on the pricing front given the raw material scenario. So, we did have positive volume growth. Take this into account that for one of the product categories, Space master, it was a known case as this product continues to come down with the OEMs based on contracts. So, it does feed into an overall

operations number getting dampened. But on the passenger car side, things were definitely looking quite good.

Raghunandhan N.L: Got it, sir. And outlook, sir.

Gaurav Kumar: Outlook for Europe market overall continues to be a challenging scenario. It's still not back into the positive zone, but at least it's improved from where the situation was two quarters back. And we are looking at growth coming back, even though it would be low single digits.

Raghunandhan N.L: Got it, sir. Thank you so much. I'll fall back into queue.

Gaurav Kumar: Thank you.

Chirag Jain: A reminder to the participants, if they have any questions, they can click on resend button. We'll take the next question from Aniket Mhatre . Aniket, you can go ahead.

Aniket Mhatre : Hi, sir.

Neeraj Kanwar: Hi, Aniket.

Aniket Mhatre : Thank you for the opportunity. Hi, sir. So just on the market share trends, right , last time around, you had indicated we were losing some share in the TBR segment. So how is that shaping up now? And also, if you could talk about similar thing on the PCR side, how are our market share shaping up in the India business?

Gaurav Kumar: So, our internal estimates, we do not have official data for that. On the TBR replacement, we estimate our market share to be around 29 %. And on the PCR replacement side, based on our internal estimates, we would be at 20 % market share, which would be industry -leading.

Aniket Mhatre : So, I mean, we were losing some share in TBR that has been arrested now. Is that the fair understanding?

Gaurav Kumar: Yes.

Aniket Mhatre : Sure. Got it. And how about OEM share, sir?

Gaurav Kumar: OEM share we have maintained. We had lost ground in PCR OEM share as we did not bid for certain businesses on profitability account. Each RFQ is now being critically evaluated both on account of profitability and strategic part. And that is where on some of the models that we did not bid for still does impact the current business. But we are looking at the future and seeing how to correct this strategy. What has happened in the past has happened.

Aniket Mhatre : Understood. And while you did indicate about demand sustenance in H2, how is the overall OE recovery shaping up right now both in TBR and PCR, if you could help us understand. Are we seeing a pick -up as far as post-GST rate cuts or how do those segments stand?

Gaurav Kumar: We are seeing some pick -ups in the OEM side, particularly on the truck side. PCR, still not great signs, but the expectation is some amount of growth will come back, but not at the high levels, which OEM see when demand is really moving.

Aniket Mhatre : Sure. Understood. And just one final thing from my end. For the Enschede facility, post the shutdown, would you like to quantify what kind of margin improvement can we expect once it shuts down , you know ?

Gaurav Kumar: That's a difficult one to estimate, Aniket. We have indicated the total cash costs, particularly around the EUR 55 million. Based on our expectations, the payback period should be about 2 years. So that'

s the
best estimate as of now.

Aniket Mhatre : Got it, sir. Great. And all the best. Thank you so much.

Gaurav Kumar: Thank you.

Chirag Jain: Thank you , Aniket. We'll take the next question from Mihir Vora. Mihir, you can go ahead.

Mihir Vora: Yeah, am I audible?

Gaurav Kumar: Yes, Mihir.

Neeraj Kanwar: Yeah.

Mihir Vora: So, sir, my question was across the capacity utilization across our segments and where we are deploying the Capex currently, in which segments are we prioritizing?

Gaurav Kumar: So, our capacity utilization, Mihir, is still in the 80s in India. In Europe, Enschede and Hungary are close to 90%. As I mentioned in my commentary, there is a capacity expansion, which we had already announced, passenger car, both in Hungary and Andhra Pradesh.

The Hungary capacity increase had been announced earlier and that is on-track to be starting of production from the next fiscal year. The AP - PCR expansion was started later and that will only come through towards end of next fiscal year.

As of now, those are the two capacity expansions that we have talked about and our Capex plan currently remains on schedule. By the next call, when we would have gone into the budget cycle for next year, we can update all of you on the Capex plans for next year.

Mihir Vora: Great. All right. And sir, secondly, on the TBR market share, though we have arrested the share loss, but overall going ahead, how do we plan to gain? Will it be through pricing competition or we continue to fight on the product? So , some color on how we gain the TBR share going ahead.

Gaurav Kumar: No, we will not go the pricing route, Mihir, and that's been a consistent strategy. It will be a mix of brand, product and an expansion of the distribution channels. And teams are working on that to regain some of the lost market share of the last few years.

Mihir Vora: Right. And sir, does OEM play an important role here that if OEM fitted tyres come into a CV, then you know, consumers would prefer that or CV players are aware of which tyres to choose. And OEM does not play a very important role into the decision making here ?

Gaurav Kumar: OEM is an important overall constituent, but it does not dictate the choice in replacement as much as it does in the case of passenger car.

Mihir Vora: All right. Okay. Okay, sir. That's all from my side. Thank you.

Gaurav Kumar: Thank you, Mihir.

Chirag Jain: Thank you, Mihir. We'll take the next question from Yash Agarwal. Yash, you can go ahead.

Yash Agarwal: Am I audible?

Gaurav Kumar: Yes, Yash.

Yash Agarwal: Yeah, yeah. Good evening, sir. And congratulations for your results. I have just one question related to the competitive intensity in India with

new entrants targeting TBR and PCR in India. How does Apollo sees competitive intensity, delay retention and talent attrition evolving?

Gaurav Kumar: Yash, thanks on the results part. And yes, there are new players entering and that's been known for some amount of time. Competitive intensity will, of course, increase with a new financially strong entrant, even though they would be new in this field. Whether they will follow a price cutting strategy is still to be seen because they've always had profitability leadership.

And if they start with a strategy of undercutting on prices, there will be a big erosion in their margins. We can't say what their strategy would be. We will have to keep focusing on our strategy of distribution, expansion, product quality, engagement with the customer, etc., still to be seen as to how things roll -out next year as a new entrant comes in.

Yash Agarwal: Thank you, sir. And one more question on the Apollo's medium -term ROC E target and what are the r

ealistic timings to return to that given the current market situation?

Gaurav Kumar: So, the target remains at a 15 %. For this cycle, we had kept it at 12 % plus and more trying to get to the 15 %-ish. We even reached there for a year or so. And then last year, the ROC E was lower than the target. We are beginning to inch back up.

We will be coming to the end of our 5-year vision cycle by March '26, and we will set up targets. But on ROC E, I would say they would be higher than what was set in the previous cycle. And we should be able to get there in near -term, aided by the current situation in India and also the boost that we would get on the European profitability.

Yash Agarwal: Thank you, sir. That's it from my side.

Gaurav Kumar: Thank you, Yash.

Chirag Jain: Thank you, Yash. A reminder for the participants, if they have any question, they can click on Raise Hand button. Gaurav, I had a couple of questions. How has been the competitive intensity recently? I mean, I think over the last 1, 1.5 years, we saw higher competitive intensity on the commercial vehicle tyres, TBR front. But of late, how the scenario has been from a competition standpoint? That would be first.

Gaurav Kumar: It's been fairly similar, Chirag, to what's been usual. The few players compete fiercely for market share. It's not an industry where competitive industry has reduced. Goes a little up or down tactically, depending on capacity utilitions of individual players. I would say largely it's remained the same.

Chirag Jain: Okay. And second thing is on post the GST cut, obviously, the prices would have been reduced by 7 % to 8%. And currently, the raw material cycle is favorable. But do we think that if at all raw material cycle were to turn, this kind of headroom we have to take up price increases in a comfortable manner compared to let's say, what would have been in the earlier GST regime? Does that 7 % to 8% give us better cushion in terms of let's say, raw material cycle were to turn adverse?

Gaurav Kumar: GST benefits, Chirag, have been passed on. To the second part of your question, it does give a certain headroom, but it will also depend on the competitive intensity. At the end of the day, when raw material cycles have turned we have always had to take price increases, keeping in mind the overall industry scenario . It is not an industry or a category where you could go far out from competition in terms of taking pricing decisions.

Chirag Jain: Understood . Thank you .

Gaurav Kumar: Thank you.

Chirag Jain: We will go back to the question queue . We will take the next question from Ro nak, Ro nak, you can go ahead.

Ronak Mehta: Yes hi . Hi team , thank you for the opportunity . Congratulations on good set of numbers . My question is mainly on the inorganic side, so there has been some consolidation going on in the global off -highway tyres market, also there are some assets on block in the Indian off -highway segment . If at all there is an opportunity, would you be open for acquisition, what is your view on -- how do you want to, how are you looking at the space of consolidation in the OHT segment and where would you want to be in this segment?

Gaurav Kumar: So Ro nak, some of the consolidation that you have mentioned internationally have been very large transactions and we have largely stayed away from that . If there is something that comes up which is a small -medium size in this segment and makes sense economically, we would look at it, but we would not just jump into this segment for the sake of bulking up revenue etc. and because it is a fad and other players are entering . It has to make business sense, strategic sense and also economic sense and that 's why we were not participating in some of the recent consolidations that you mentioned.

Ronak Mehta: Fair poi

nt. Okay . All right . I just had that question. Thank you.

Gaurav Kumar: Thank you , Ronak.

Chirag Jain: Thank you, Ro nak. We will take the next question from Mitul. Mitul, you can go ahead.

Mitul Shah: Yeah. Hi, sir. Thank you for the opportunity and congratulations for very strong performance.

Gaurav Kumar: Thank you , Mitul .

Mitul Shah: Sir, first question is on competitive intensity. As you commented earlier, more or less stable competitive environment, but for any new entrants or a new player, particularly for the PCR and TBR, how do you see the competitive situation and how is the consumer behavior, especially from replacement side towards the new brand tyres?

Gaurav Kumar: I think it will have to be seen. Here we all are talking about referring to is a strong player, but their strength lies in the OHT, agri, etc. segment. That's what they are known for as a product, as a brand, etc. This is the first time they would be entering into the new product segments of PCR, TBR.

In terms of your question as to how the market treats the players, they would be well known. So , it's not a player who has to even get their name recognised. But at the end of the day, the tyre is a performance product. It's not a showpiece to be displayed somewhere.

So first and foremost, they will have to prove their product performance, product quality, and then establish a significantly distribution network different to what they have currently. That will take some time. And hence to be able to predict as to how it will roll -out into the market is very difficult as of now , because it depends not just on product being available. First and foremost , has to be the product quality, product performance.

Mitul Shah: Sir, what was the implication seen by you over the last many years is whenever similar incident happened from other tyre companies like whether Michelin or Metro Tyres and all, when they entered in terms of

the pricing pressure or margin pressure, how the industry dynamic changed during that period?

Gaurav Kumar: So, when the global players have come in, they have typically tended to come in at the top -end, and it's taken them decades and decades in spite of a very strong brand name, the Michelin's , Bridgestone 's, Yokohama, et c., when they came in , into the country, even Continental. In spite of global brands, well -known, they did not find takers, they found challenges in the market in expanding the distribution, et c. And the Indian players have held on.

In terms of domestic players, for example, the last time Birla Tyres entered the product category, even though again, they were a well -known in the bias category, it did not succeed. So , we still need to see for this new player entering as to how, what strategy they follow and how it rolls out in terms of their product quality.

Mitul Shah: Sir, second question on the replacement side that what we are hearing due to this GST related uncertainty or GST announcement, there was a huge destocking during the month of September, initial few days and which got restocked in October and maybe in November. So how is the scenario now at a channel inventory level? Was that so meaningful? Would that continue that restocking in this quarter helping on the replacement wholesale growth for the industry and for you?

Gaurav Kumar: A large part of the restocking would have happened , Mitul, in October and October was strong, but we continue to see strong signs. So , is there a very large inventory correction waiting to happen? Unlikely. Our own inventory levels were fairly stable from June to September. And even at the dealer level, it would be genuine demand, not just based on stocking up, which was not done in the first part of September.

Mitul Shah: Sir, lastly, in terms of then replacement coming back very strongly in Q3 as well as favorable raw material scenario. Probably Q3 margin because of the product mix as well as commodity side should bounce very strongly or should improve sequentially strongly. Would that be right assessment?

Gaurav Kumar: So, the raw material situation is stable. As of now, we are not seeing it going further down. And yes, with the replacement demand being stronger, coming back, that will provide some further operating leverage. So , on the margin front, things are looking good.

Mitul Shah: Thanks, sir. And all the best.

Gaurav Kumar: Thank you , Mitul .

Chirag Jain: Thank you, Mit ul. A reminder for the participants, if they have any questions, they can click on Raise Hand button.

So, I guess there are no further questions in the queue. I'll hand it over back to the management for any closing comments.

Neeraj Kanwar: Yeah, w e'd like to thank all of you for coming for this investor call and look forward for our Q3 results. Thank you.

Gaurav Kumar: Thank you. Thank you, everyone.

Call: Feb 2026

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ATL/ SEC/ 21 February 10, 2026
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BSE Ltd.
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400001.

Sub: Transcript of Analyst/ Investor Conference Call

Dear Sirs,

Pursuant to Regulation 30(6) and 46(2) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we wish to inform you that a Conference Call for the analysts and investors to discuss the financial and operational performance of the Company for Q3 FY26 was held on February 5, 2026.

Please find attached herewith the transcript of the aforesaid call. The same has also been placed on the website of the Company <https://corporate.apolloytyres.com/investors/ir-updates/>

This is for your information and records.

Thanking you,

Yours faithfully,
For Apollo Tyres Ltd.

(Seema Thapar)
Company Secretary & Compliance Officer

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Apollo Tyres Limited
Q3 FY26 Earnings Conference Call
February 5, 2026

Ronak Mehta: Good afternoon, everyone. On behalf of ICICI Securities, we would like to welcome you all to Apollo Tyres Q3 FY '26 earnings conference call. Today, we have with us from the management team, Mr Neeraj Kanwar, Managing Director and Vice Chairman, Mr Gaurav Kumar, Chief Financial Officer and the Investor Relations Team. We will start the call with brief opening remarks from the management team about the quarter gone by and then we'll proceed with the Q&A session. Thank you and over to you, sir.

Neeraj Kanwar: Thank you. Good afternoon, and thank you for joining us today. I welcome you all to the Apollo Tyres Q3 FY '26 post results conference call. We closed

Q3 with consolidated topline growth of nearly 12% and an EBITDA margin of 15.3%. I am pleased to share that in Q3 we have recorded our highest ever quarterly revenue, both on standalone and consolidated basis.

On the domestic front, we saw robust double-digit growth in all channels. All our three product categories saw very, very strong growth. In contrast, in Europe, the demand environment continued to be muted across key categories. We registered a flattish topline, Y-o-Y, in line with the subdued market scenario. As we track evolving market dynamics, our focus remains on delivering profitable growth supported by new product introductions, premiumisation of the portfolio and disciplined cost initiatives.

We expect to sustain and accelerate our topline growth in India and in Europe. Let me now talk about key pillars of our vision FY '26. Starting with R&D, we continue to secure additional model approvals from marquee passenger vehicle manufacturers across India and Europe, reaffirming our strong product competencies and accelerating our premiumisation journey.

We have also consistently achieved podium positions in independent European tests, underscoring product excellence, strengthening partnership with premium OEMs, and expanding our OE footprint. On the Digitalisation front, we continue to invest in Artificial Intelligence to improve customer service, drive efficiencies in our plants and at the same time help in cost optimisation.

Moving to the Branding side, we continue to demonstrate strong brand equity, anchored in superior product quality and customer satisfaction. Our sponsorship of the official Indian Cricket Team jersey has garnered us extensive media attention and co-

verage, driving unparalleled brand reach and visibility and adding distribution.

This landmark association is a source of pride for all the Apolloites, has boosted dealer morale and is already translating into positive business outcomes. Finally, Sustainability has always been a key pillar for us. I'm happy to share that we have won multiple accolades during the quarter, including first prize by our Chennai plant in the 6th National Water Awards in the 'Best Industry' category, recognition from ASSOCHAM with the prestigious Water Management award at the India Water Leadership Conclave and many others.

These achievements reflect our unwavering commitment to environment, health, safety and our sustainable growth. As part of Apollo Tyres healthcare initiatives, we have recently inaugurated our 35th Healthcare Centre in Rajasthan, enhancing healthcare access for the trucking community. We have also partnered with the UN Development Programme to advance biodiversity conservation.

With this, I conclude my opening remarks, but as we closely track market dynamics and our cost structures, our focus remains firmly on sustainable and profitable growth. We are proactively preparing for emerging challenges and opportunities. And I'm confident that our strong fundamentals and strategic direction will support long-term value creation across our markets. Thank you for listening to me. I'm handing over to Gaurav. Thank you.

Gaurav Kumar: Thank you, Neeraj, and good afternoon, ladies and gentlemen. Continuing from where Neeraj left, let me share further details of our operations for the last quarter. The consolidated revenue for the quarter stood at INR 77.4 billion, a very strong growth of almost 12% over the same quarter last year. The consolidated EBITDA for the quarter stood at INR 11.9 billion, an improved margin of 15.3% compared to 14.9% in the last quarter and 13.7% in the same quarter last year.

Coming to the balance sheet, our consolidated net debt level stood at a level of INR 13 billion as at the end of this quarter, substantially lower than the INR 26 billion at the end of previous quarter. The sharp decrease in net debt was

driven by reduction in short-term borrowings as a result of strong operational cash flows. The net debt to EBITDA for the consolidated operations dropped to 0.4x at the end of December 2025 compared to 0.8x at the end of September 2025.

We witnessed robust demand momentum in Q3, leading to the highest ever revenues on both standalone and consolidated basis. We registered double-digit YoY growth in our standalone and consolidated revenue, the highest growth over the last 12 quarters. The momentum was driven by a more positive demand environment in India, coupled with the added boost from the reduced GST rates for the industry.

As Neeraj mentioned, brand visibility through our strategic sponsorship has also led to the strong performance, especially in the consumer tyres category. In India, the revenue for the quarter was INR 51.4 billion, a growth of 13%+ over the same quarter last year. The EBITDA for the quarter stood at INR 7.5 billion, a margin of 14.5% compared to 15.3% in the last quarter, but significantly higher than the 11.1% in the same quarter last year.

The profitability was impacted, as we have discussed over various calls and meetings, by the timing of the spend on the BCCI sponsorship, which started in this quarter relative to our other A & P spends, and is only a near-term impact. The A & P spend would normalise from next year onwards. We witnessed that Q3 volume growth YoY was in mid-teens, led by a strong double-digit growth across all categories, replacement, OE and exports.

Our premium brand, Vredestein, continued to get good traction and achieved highest ever volumes in this quarter. On the demand outlook, we anticipate healthy momentum to continue into Q4 of the fiscal

year. We witnessed continued strong demand during the month of January with double-digit growth.

Moving on to the raw material side, we expect the raw material cost to be steady in Q4. On the balance sheet for the India Operations, the net debt level stood at INR 18 billion in India, significantly lower as compared to the September level. The net debt to EBITDA for India Operations reduced to 0.7x from the 1.1x at the end of previous quarter. In our standalone results for this quarter, the exceptional item below the EBITDA includes a one-time charge of INR 259 million on account of the estimated obligation under the new labour code. This is based on actuarial valuation and best estimates in accordance with the accounting standards.

Coming to Europe, the revenue for the quarter was Euro 180 million, flattish compared to the same quarter last year. The EBITDA for the quarter stood at Euro 32 million, a margin of 17.9% compared to the 17.7% for the same quarter last year, and substantially higher than the 12.7% for the last quarter.

Continuing with our premiumisation journey, the UHP mix for the quarter increased to 52%, compared to the 48% for the same quarter last year. Our PCR capacity expansion in Hungary is progressing as planned, and we expect an acceleration in demand momentum going forward as we ramp up this capacity.

Over the last four or five years, our strategic intent around the judicious use of capex in an effort to sweat our assets, prioritise deleveraging, and return on capital via pursuit of profitable growth has borne fruit, as seen in our strong balance sheet. We've had low levels of growth capex over this period and substantial improvement in our underlying operating metrics.

We remain committed to this strategic intent while also ensuring that we are making the right investments for continued profitable growth in our core categories, particularly to capitalise on the demand environment as our capacity utilisation has continued to increase through the year.

Our current capacity utilisation level in India are in the high 80s, and given

our growth expectations for the near future, as seen by the current demand momentum, we would start hitting capacity limitations soon, and hence it was prudent for us to plan investments in our core categories for the next 3-4 years.

Taking this into account, the Board of Directors in the recent meeting approved a INR 5,800 crores capex for our AP plant for expanding both the PCR and TBR capacities, spread over the next three financial years, that is FY'27, '28, and '29. As part of this, there would be a growth capex of about INR 2,000 crores in FY '27. Our capex guidance for FY '26 remains as such.

We will continue to provide you a clear picture of future capex plans as done over our calls over the last few years and our strategy would continue to be focused on profitability, free cash flow generation and return ratios. With this, I would conclude my opening comments. Thank you and we would be happy to take your questions.

Ronak Mehta: Thank you. Participants, we'll begin with the Q&A session. If you have any questions, you can click on the raise hand button. We'll take the first question from Raghunandhan NL from Nuvama.

Raghunandhan NL: Congratulations, sir.

Gaurav Kumar: Thank you, Raghu.

Raghunandhan NL: Good afternoon. My first question, sir, on the capacity increase. Roughly, if I calculate, there would be about 370 tonne per day getting added because of the PCR and TBR addition. And the capex per tonne seems to be around INR 16-17 crore. I was trying to understand this is further higher compared to the previous capex which we have done. So, I was trying to understand what has led to this increase in capex per tonne.

Gaurav Kumar: Sure, Raghu. Your calculations are broadly correct. It is about a 350 tonnes capacity addition

leading to about INR 17 crore per metric tonne of capex.

The increase comes as a result of both the inflationary pressures, and you would see that our last big capex was back in FY 2021, and also because the technology keeps moving. The capacities that we have set up have always been state-of-the-art, not just catering to a small segment of the market. It caters to the global OEMs, both in India and also the overseas developed markets of Europe and U.S.

Raghunandhan NL: Got it, sir. Sir, my second question was on the India volume growth, and if you can give a break-up between OEM, replacement and exports, and also your thoughts on how do you look at the outlook for replacement and exports for FY '27?

Gaurav Kumar: Our volume growth for OEM and replacement was in mid-teens and in exports it was just short of 20%. So we've had a healthy growth, as I mentioned, across all the three channels.

Raghunandhan NL: Got it, sir. And how do you see the outlook, sir, for FY '27?

Gaurav Kumar: Outlook as of now, Raghu, seems to be very good. As I mentioned, even January has seemed good. And as of now, the expectation is that this demand momentum will continue.

Raghunandhan NL: Understood, sir. And last question before I fall back to the queue, on A&P spends, how much was A&P in Q3 as percentage of your standalone? And how do you see this ratio panning out over a year's period? Because I think you have a tie-up with BCCI for a period of three years.

Gaurav Kumar: Sure, so Q3 Raghu, would be an anomaly given that there was activation apart from the usual sponsorship fee, so it would have jumped up. We used to be roughly around 2% spend of A&P as a percentage of sales. In a normalised scenario, we would be upping it to about 2.5% to drive the top

line growth and that is where it should settle as we go forward.

Raghunandhan NL: Thank you , sir. Thank you so much. I'll fall back to the queue.

Gaurav Kumar: Thank you , Raghu.

Ronak Mehta: Next question is from Basudeb Banerjee . You may unmute your line and go ahead.

Basudeb Banerjee: Yeah . Thanks , Gaurav. Few questions here. To continue with Raghu's question, like 2.5% would be the A&P ahead. How much was the A&P this quarter exactly?

Gaurav Kumar: Just one minute , Basu. It is clubbed with a little bit of other expenses, but A&P along with certain sales promotion was of the order of INR 150 crores.

Basudeb Banerjee: And you are saying that elevated number will last till Q4?

Gaurav Kumar: Yeah, in the short term because even as we take our call on what are the A&Ps we want to continue, what are the ones we would reduce, it will take some time Basudeb , because of existing contracts and that's why I said the FY'27 scenario would be a more normalised scenario for our A&P spend.

Basudeb Banerjee: Sure. Second things are as you typically give out your raw material basket prices . And from outlook perspective as you said steady, so if you have like currency on one side, crude and natural rubber price, international price is slightly inching up ; so all those things how to look at that, whether gross margin can play a spoilsport as such or you don't think there is any chance of that under current outlook?

Gaurav Kumar: See we continue to live in times where some of these global events are very difficult to predict, even within week to week we have seen the rupee swing very sharply both ways. In the middle of the quarter, we were looking at some further tailwind from the raw materials. Based on the international scenario, the current outlook given by our procurement team is a flattish scenario, so as of now that's the best estimate we have.

On your first part of the question, the prices for some of the commodities - natural rubber was around INR 195 a kg, synthetic rubber at INR 170, carbon black at INR 115 and steel cor

d at around INR 155 rupees a kg.

Basudeb Banerjee: Sure, and last question, so it's good to see a massive debt reduction, but in the P&L if I see Q -o-Q standalone interest outgo was in fact higher, so when should we see the reflection of the reduction in debt at the P&L level?

Gaurav Kumar: It should start coming in because the long -term debt repayment was happening as per schedule, the big reduction was on some of the working capital borrowings as inventory reduction happened and that may have happened in the last one month or 45 days, so it will start reflecting fairly in the next quarter. Sure sir, thanks all the best.

Gaurav Kumar: Thank you , Basu.

Ronak Mehta: We take the next question from Aryn Pirani . Aryn , you may unmute your line and go ahead.

Aryn Pirani: Yes, hi, thanks for the opportunity. Hi, my question is on this capacity expansion, so first a clarification ; the capacity utilisation that you mentioned in your release of 82% for PCR and 89% for T BR, is it just the Andhra capacity that you are talking about or is it just your full company capacity in India, capacity utilisation in India, right?

Gaurav Kumar: So in the release that was there because there is a certain format, Aryn , and very valid question , it was for A P; what is more relevant for us is the overall India Operations capacity utilisation, that as I mentioned was in the

high 80s both for car tyres and truck tyres.

Amyr Pirani: Okay . And so just a follow -up on that, you mentioned 7 million and 1.6 million that you have in Andhra and you mentioned how much you will add, just want to get a sense that including Chennai and everything else, how much will the addition be, do you have that number and how much PCR do you have vis -a-vis the 3.7 million being added and how much TBR you have vis -a-vis the TBR being added?

Gaurav Kumar: Sure, Amyr , and let me talk of the capacity in terms of number of days. So our India capacity is a little short of 60,000, so let's say about 58,000 tyres per day, and we are adding 10,500 ; so we are adding about 17 %-18% of capacity to our India PCR capacity. Similarly, our existing TBR capacity is 15,000 plus and we are adding 3,600 tyres per day capacity. So about a 20%+.

Amyr Pirani: Okay. That's helpful. And just on the capex number itself. So I am guessing this year we will be at like less than INR 1500 crores for the full year on a consol basis. That's correct. And next year you talked about a growth capex of INR 2,000 crores. So then would it be fair to say that overall capex including maintenance and everything could inch in excess of INR 2,500 crore s because there is a PCR expansion ongoing in Hungary as well. So how should we put all that in context?

Gaurav Kumar: So, I would put the overall capex number for next year closer to INR 3,000 crores , Amyr . As you rightly said there is the PCR expansion in Hungary which was already underway. Some of it is coming in this year, some of it is coming in next year. And then our usual maintenance operational capex across different functions always totals up to about INR 700 odd crores. So , I would put that number at INR 3,000 crores for next year.

Amyr Pirani: Okay. And I know it's a bit early in the day but then in this FY'27 to '29 cycle would FY'27 be the peak year or will INR 3,000 crores on an overall consol number that we should assume for this cycle?

Gaurav Kumar: FY'29 would be a much more tapering off , but FY'27 and '28 both years would be high capex . FY'28 in fact might be even higher than the INR 3,000 crores . That's the mid portion of that capex .

Amyr Pirani: Okay. So just one last thing on this. What is your ROCE right now as we are getting closer to the end of the FY'26 plan period. Any initial thoughts on how we should think of ROCE because on the one hand growth is picking up but capex is also pick

ing up.

Gaurav Kumar: So our current year ROCE we are running at 13.5%. It is in the band where we had set out our targets , but still not reaching that 15% target where we wanted to be and I think we cross ed that number or were at that number for two out of the five years. As we are finalising the budgets , we are also on the drawing board for our five year vision from April 2026 to March 2031. And we would definitely be looking at ROCE leveraging and the free cash flows taking into account the operational metrics , but also the fact that capex is kicking in. So we will have to come back to you on that.

Amyr Pirani: Sure. Thanks. Look forward to that and I will come back.

Gaurav Kumar: Thank you , Amyr .

Ronak Mehta: We take the next question from Joseph , you can unmute your line and go ahead.

Joseph George: Thank you. I have two or three questions. One is on the income tax, the standalone entity has been at about 33%, 34% tax for some time. We haven't moved to that 25% tax. Now, with the changes that have happened in the MAT this year's budget, do you expect to go to a 25 %, 26% tax soon?

Gaurav Kumar: Yes, Joseph, the tax team is examining and with the change, most probably we would be moving to that tax bracket.

Joseph George: So effective FY27?

Gaurav Kumar: I think so.

Joseph George: Sure. The second question that I had was on capex . So over the last three, four years, I think you also mentioned this in your opening remarks, last three, four years, the focus was on bite-sized capex and debottlenecking et c. And if I remember pre-Covid, tyre companies, including ourselves, used to announce INR 3,000 crores, INR 4,000 crores big lumpy capex .

But for the last three, four years, we have not seen tyre companies do that. And in that sense, this is a change. So I want to understand what takes us away from the practice that we have had for the last three, four years and coming in announcing a very big capex .

Gaurav Kumar: So, Joseph, it's not moving away from that intent. There are also times when within the same building, you can do marginal increases in capacity with few equipment ordering, as we would call in manufacturing parlance as line balancing. But we reached a stage where we could not further increase the capacity by line balancing and hence, any further increase in capacity needed civil. And the moment you reach that stage, it has to be of a certain quantum.

Now, also, to be fully transparent about the capex , we could give you just an FY'27 capex and say another nine months down the line that we'll give you the FY '28 capex because that's when it is being incurred. But the fact is that the capex plan that we have needs to be of a certain quantum to be optimising on the manufacturing capacity, the civil construction.

And hence, it is better that we are transparent about the overall plan that is there in the mind as we kick off this capex . It's not moving away from that. This can then be followed again by the small, bite-sized capex within that same building, if it is possible. So it is not dictated by a change in strategic intent, but more as to where we stand vis-a-vis our capacity and capacity utilisation cycle.

Neeraj Kanwar: Gaurav, just to add to that we are also seeing shortages in TBR and passenger car , and in farm. Given what we have been able to do with BCCI, we are seeing a lot of traction coming from the rural market, specifically in three categories which is PCR, two-wheeler and farm category. And that's where the growth is coming.

In our estimates, in TBR, we are running at close to 100% utilisation. So we need expansions coming. And like I said in my opening remarks, it's all towards a profitable growth. And Gaurav has already explained you the fundamentals behind the factory.

Joseph George: Understood. Just the last one, just some c

larifications. One is the INR 3,000 crore that you mentioned, it is at the consolidated level, right? It includes growth, maintenance and the European capex .

Gaurav Kumar: That's correct, Joseph.

Joseph George: And the last thing was, if you can share the numbers for Reifencor for the quarter.

Gaurav Kumar: So Reifencor revenues for the quarter were EUR 82 million with an EBITDA margin of 8%. This is their best quarter, but yet the markets were weak.

Joseph George: Thank you .

Gaurav Kumar: Thank you, Joseph.

Ronak Mehta: We take the next question from Arvind Sharma. Arvind, you can unmute your line and go ahead.

Arvind Sharma: Hi, sir. Good afternoon. I hope you can hear me. Thank you for taking my question. The first question on the pricing environment, you alluded to a very strong demand growth. How is the pricing, especially in the replacement market?

Gaurav Kumar: Pricing has largely remained stable, Arvind. It's held up. We haven't taken any pricing action. People have been competitive, but the raw material tailwind has played into the margins as you would see for all the players.

Arvind Sharma: All right. Thank you so much. And just one question more on the accounting purpose. You alluded to a fairly strong capex over the next three years. Will it be a by-part capex, i.e. some lines start coming in earlier, so the revenue starts accruing in parts over this period? Or do you believe that the entire revenue, hopefully, the demand comes only in FY '29?

Gaurav Kumar: No, Arvind, we will start seeing some revenue flow into FY '28. And the reason for taking these approvals and starting next year itself is we see that we will start hitting capacity constraints towards end FY '27. So we will have some capacity coming on stream in FY '28, which will play into the revenue and then it will ramp up and only towards the second half of FY '29 will all of the capacity be on stream. So actually, the full benefit of these capexes will be there in FY '30.

Arvind Sharma: But FY '28 onwards, given demand remains where it is, you would see some revenue start occurring.

Gaurav Kumar: Yes, Arvind.

Arvind Sharma: Thank you so much for taking my question, that's all from my side. Thanks, again.

Ronak Mehta: Next question is from Kapil, Kapil you may unmute your line and go ahead.

Kapil: Good evening, sir. This is Kapil from Nomura. My question is on Europe, when will the restructuring that we've had in the Netherlands plant, start getting visible in terms of benefits and how much benefit do we expect from that?

Gaurav Kumar: Sure. So Kapil, as announced the plan remains on track, the Enschede plant in Netherlands will stop production end of June 2026, one quarter into FY '27. The transition of the various product categories to the plant in Hungary and India is already underway and we think that in second half of FY '27 you would start seeing the benefit of that flowing through. I would hold on to giving a margin guidance as we do not do across, but we think there will be a definite boost up to the European Operations profitability with that.

Kapil: Sure, sir. Thanks. And second question was, we've recently seen the India - Europe and India - U.S. trade deals getting announced. If you could share some of your broad thoughts on how the company can take advantage of these in terms of export potential, how are you looking at competitiveness of Apollo Tyres now after these deals become effective from this year or next year?

Gaurav Kumar: So Europe is a very strategic and almost a home market for us, so a deal is welcome. The duty levels were anyway small, but with this announced closure of Enschede, the exports to Europe would even increase. So any kind of FTA is welcome. We would not have the details right now as to quantifying the benefits. U.S. of course, with the duty re

ductions would

further, sort of, let's say provide a boost. Our revenues had not suffered, but profitability had definitely taken a bit of a beating in the current year, that will start going up.

Kapil: And do you see a potential that we could gain market share significantly in either Europe or U.S. after this? I'm not talking of short term, but maybe in the next two, three years?

Gaurav Kumar: See in both these geographies, we will still continue to be a small player. Will we gain market share? Yes. In Europe, replacement market, we are all of under 3% market. Our gaining of market share, also given the market size, would still be in decimals. We will gain market share, we expect both these geographies to keep growing at a significant pace for us. But within an overall context, India is and will remain our largest market.

Kapil: Sure, sir. Thank you. That's it.

Gaurav Kumar: Thank you.

Ronak Mehta: We take the next question from Yash Agrawal. Yash, your line is unmuted, please go ahead.

Yash Agrawal: Thank you for the opportunity, sir, and congratulations on your results.

Gaurav Kumar: Thank you, Yash.

Yash Agrawal: You just highlighted that the domestic demand is really strong. So can you just on each segment level, can you see which segment is having a better demand like PV versus truck and what is the channel inventory level as of now?

Gaurav Kumar: So right now, Yash, we are seeing a strong demand across categories. For example, even in Q3, the only area in the domestic market where we had a slow growth for us was PCR OE, which was more a result of some of our past actions of not taking up certain accounts because of profitability reasons. Otherwise, the growth across replacement and OEM for all product categories was very strong.

As Neeraj mentioned, also with the jersey sponsorship, we are seeing very good traction on the passenger car, two wheelers and farm, including in the rural segment. But even the truck demand has picked up very strongly, both from OEM and replacement.

Yash Agrawal: Okay, sir. And second question on the channel inventory level.

Gaurav Kumar: Inventory levels are fairly, fairly normal. There is no abnormality in that.

Yash Agrawal: And my last question is on the Europe demand scenario, what's the outlook for Q4 as few of the other players in the industry highlighted pickup in the demand and things getting better at the back end of the FY '25. So do we also see similar trends?

Gaurav Kumar: Right now, Europe continues to be a weak market. Even in Q3, the quarter gone by, the passenger car Europe market, which is the most relevant category, the market growth was -1%. It sort of improved from a mid to high single digit negative to this level. But it continues to be in the low single digit. I'm in fact, sorry, the Europe market was -4%. So there are signs of it improving, but still not to a point that it is getting into the positive zone, Yash.

Yash Agrawal: Okay, sir. Thank you from my side. Best of luck.

Gaurav Kumar: Thank you, Yash.

Ronak Mehta: If we take the next question from Mihir Vora, please unmute the line and go ahead.

Mihir Vora: Yeah, hi. Am I audible?

Gaurav Kumar: Yes, Mihir.

Mihir Vora: Yeah, thank you for taking my question. So sir, basically, if we go through the capex currently, you mentioned that it is around INR 17 crores per tonne per day. And previously, when we had done this FY '20 Andhra Pradesh capex at around INR 11.5 crores to INR 12 crores per tonne per day. So this is sort of an increase in capex. So how are we seeing the pricing in longer term in our products, basically, that how will the pricing move up going ahead in terms of realization because the capex cost has gone up?

Gaurav Kumar: And Mihir, I won't have the data readily right now. But we can come back to you as a team. The

pricing does move up year to year, it doesn't seem evident. But each time the raw material cycle kicks in the pricing moves up, even though there is pricing pressure. And then it sort of is sticky as the raw material cycle goes down. So we can present that data to you as to how it has moved over the five year period.

Mihir Vora: Right, but apart from that, just an idea from you that if the RM stays stable, where as like it does not, but if it stays stable, then what kind of hikes do we need to take to maintain that return levels on a plant?

Gaurav Kumar: I wish we had this nice stable scenario of RM remaining constant, but we would probably need to take a mid-single digit kind of price increase every year.

Mihir Vora: Okay. All right. And secondly, on the debt levels, what are we seeing, like right now we are at a INR 1,300 crore net debt, but going ahead with the larger capex, how do we see our debt in FY '27 going ahead?

Gaurav Kumar: We will take on some debt as we go through FY '27 capex and even FY '28. In our estimate, with a normalized industry scenario, we would still be below our long term stated goal in this vision period of below 2.0 net debt to EBITDA, even at the peak levels.

Mihir Vora: Okay. So that's all from my side. Thank you.

Gaurav Kumar: Thank you, Mihir.

Ronak Mehta: We take the next question from Naveen Baid. Naveen, you may unmute the line and go ahead.

Naveen Baid: Yeah, thank you for the opportunity. Just to confirm the volume growth that you highlighted, which was in mid-teens, that's only for the standalone business?

Gaurav Kumar: That's on the standalone business. Europe was ...

Naveen Baid: Yeah, Europe was?

Gaurav Kumar: Europe was flattish.

Naveen Baid: Okay, thank you.

Ronak Mehta: Okay. We take the next question from Vijay Pandey. Vijay, you may unmute the line and go ahead.

Vijay Pandey: Hi. Thank you, sir, for taking my question. Thank you. A couple of questions. First, I wanted to check if you have any raw material hedging and currency hedging policy especially connected to the global rubber prices?

Gaurav Kumar: We've looked at raw material hedging, Vijay, and we came to the conclusion that we would rather not get into this speculation because very little of this also comes with delivery of the product. So after looking at it for quite some time, we came to the conclusion to stay away from rubber or crude oil hedging. On the currency side, all our borrowing, if it's in a foreign currency,

is fully hedged 100% on both principal and interest. And even on our operational exposure, we are a net importer in India, our hedging ranges between 75 % to 100%.

Vijay Pandey: Okay. Because currently, the global rubber prices have been increasing over the last at least four weeks. What is the time frame after which we start seeing the impact on the P&L? Is it like a quarter or two quarters?

Gaurav Kumar: So for our India Operations, it's maximum a quarter, sometimes even lesser than that because what is sourced from the local sources pretty much starts sitting within a month. For European Operations, the lag is about a quarter.

Vijay Pandey: Okay. And lastly, our standalone other income was pretty significant this quarter. Is it anything related to something significant?

Gaurav Kumar: Yeah, it was a one-time dividend that was received through the overseas subsidiary. And that's why the number is significantly higher.

Vijay Pandey: This is just for this year or does it come every third quarter?

Gaurav Kumar: No, this is only for this year.

Vijay Pandey: Okay, thank you.

Gaurav Kumar: Thank you, Vijay.

Ronak Mehta: We have a follow-up question from Naveen Baid. Naveen, you may unmute the line and go ahead.

Naveen Baid: Yeah, thank you for the opportunity. Just wanted to check in terms of the

order for margins, especially for the domestic market. What would be the differential of margin between exports and the aftermarket business? Some color?

Gaurav Kumar: So replacement always remains as the most profitable category. Exports is usually much lower than that. Of course, it can depend on the currency part of it. So TBR is where exports may inch up closer to the domestic replacement. But in general, domestic replacement would be always higher margin than exports.

Naveen Baid: Got it. Thank you.

Gaurav Kumar: Thank you, Naveen.

Ronak Mehta: We have the next question from Nitin Agrawal. Nitin, you may go ahead. I think he's dropped from the line. Okay. A reminder to the participants, if they have any questions, they can click on raise hand button. Okay. So we have a question from Mumuksh. Mumuksh, your line is unmuted. Please go ahead.

Mumuksh: Yeah. Thank you, sir, for the opportunity. Sir, I just wanted to understand, on the Europe side, on the demand there and over the next few years, I mean, what kind of capacity expansion where we need to expand considering the demand there? And any further updates on what kind of savings we can see with the land plant closure? How positively can the margins get impacted? Thank you.

Gaurav Kumar: So Mumuksh, as mentioned earlier, the Netherlands demand for last one year has been in the negative zone. It's improved from where it was, from significant negative to slight negative across product categories. But it is still negative. PCR, agri, truck, all of them. Long-term trend of the European market is generally a 1% to 2% growth. So that should remain.

As of now, apart from the capacity expansion, which is underway in Hungary, in near term, there is no plan of any further capacity expansion unless something very different plays out on the market demand scenario. As of

now, the current expansion we are undertaking is good for us for a few years.

Mumuksh: And sorry, if I missed on the savings, how can the closure help on margins?

Gaurav Kumar: The closure side again, as I mentioned, we will start seeing the results playing into our P&L numbers from second half of FY '27. There would definitely be a boost. At this stage, we would refrain from giving out specific margin guidance.

Mumuksh: Got it, sir. And sir, I mean, you may have covered just on the advertising spend on sponsorship side, how are you seeing the impact on the ground in terms of brand recall or how you are benefiting from this new initiative?

Gaurav Kumar: Neeraj also mentioned very strongly, we are seeing a very strong brand pull and we stand committed to this sponsorship and the fact that the positive impact it is doing both in the rural areas on the consumer tyres, we see a very strong impact of this A&P spend.

Mumuksh: Got it, sir. Sir, on the cost side, if you can mention, how would the Q3 RM break up there? And just recently, the natural rubber has gone up. I mean, how do you see the trend there in terms of cost side?

Gaurav Kumar: Mumuksh, I am not sure if you missed out some of the earlier question answers, or you joined late or what?

Mumuksh: Yeah, so, okay, I will note it down, sir. I just joined a little later, sir. Yeah, thank you. Thank you so much for the opportunity, sir.

Gaurav Kumar: Thank you.

Ronak Mehta: We have the next question from Nitin. Nitin, you may go ahead.

Nitin Agrawal: On the market share trend that we are seeing in both TBR and PCR and along with your OEM and replacement, because last time you indicated that we have lost some market share in the PCR segment primarily because of low margin bids that we avoided. So, your thoughts there?

Gaurav Kumar: So, in terms of market share, we believe we have a very strong market share trend. In terms of market share, we believe we have either maintained or gained market share in

the current quarter. So, some of that reversal has started. We still need to regain some of the lost ground on the PCR OEM side, Nitin.

As I mentioned, some of the decisions on account of profitability that were taken one or two years back, and in OEM, it always plays out longer. So, we are taking strategic calls on OE business. We will not again completely swing, ignoring the profitability aspect. But we are recovering some of the market share that has been lost.

Nitin Agrawal: Okay. So, just can you put a number on your market share for TBR and PCR in the replacement segment if possible?

Gaurav Kumar: There is no official data available. We would put our TBR replacement share close to 30% and our PCR replacement close to 20%.

Nitin Agrawal: Okay. Thanks. That was from my side. Thank you.

Gaurav Kumar: Thank you, Nitin.

Ronak Mehta: Okay. So, I guess there are no further questions in the queue. I'll hand it over back to the management for any closing remarks.

Neeraj Kanwar: I just want to say thank you for joining our call and hope to see you in the next quarter. All the best. Thank you.

Gaurav Kumar: Thank you.

Call: May 2026

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ATL/SEC/21 May 18, 2026

The Secretary,
National Stock Exchange of India Ltd.,
Exchange Plaza,
Bandra -Kurla Complex,
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Mumbai - 400 051 The Secretary,
BSE Ltd.
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400001.

Sub: Transcript of Analyst/ Investor Conference Call

Dear Sirs,

Pursuant to Regulation 30(6) and 46(2) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we wish to inform you that a Conference Call for the analysts and investors to discuss the financial and operational performance of the Company for Q4 FY26 was held on May 15, 2026 .

Please find attached herewith the transcript of the aforesaid call. The same has also been placed on the website of the Company <https://corporate.apolloytyres.com/investors/ir-updates/>

This is for your information and records.

Thanking you,

Yours faithfully,
For Apollo Tyres Ltd.

(Seema Thapar)
Company Secretary & Compliance Officer

Apollo Tyres Limited
Q4 FY26 Earnings Conference Call
May 15, 2026

Jay Kale : Good afternoon, everyone. On behalf of Elara Securities, I welcome you all for the post Q4 F Y'26 Result Conference Call of Apollo Tyres L imited . From the management side, we have with us today, Mr Neeraj Kanwar, Vice Chairman and Managing Director , and Mr Gaurav Kumar, Chief Financial Officer.

I would now like to hand over the call to Mr Neeraj Kanwar for his opening remarks. Over to you, sir.

Neeraj Kanwar: Thank you , and a very good afternoon , and thank you for joining us today. I welcome you to the Apollo Tyres post results conference call. We closed quarter four with a very strong consolidated top -line growth of nearly 14% Y -on-Y, and an EBITDA margin of 14.6%. For the full year, cons ol top-line growth was 9% Y -on-Y and EBITDA margin of nearly 14.6%. For our Indian Operations in Q4, we saw a strong double -digit growth in the replacement and OE markets as compared to last year.

Growth across all product categories has been very encouraging, placing us firmly in line with and in some segments ahead of the market performance. In Europe Operations, we witnessed a slow, low single -digit growth in volumes. Growth in certain international markets was

impacted by the geopolitical developments in West Asia, which continue to create significant uncertainty and add volatility to raw materials, to energy and to logistics costs. We are closely monitoring the evolving situation and remain focused on responding with agility while maintaining disciplined cost controls.

Despite the tough macroeconomic environment, we expect to sustain and accelerate top-line growth in India and Europe. Importantly, our balance sheet remains very strong, and despite the turbulent macro environment witnessed over the last several years, we have continued to improve our leverage profile. On a consolidated level, our net debt to EBITDA ratio has significantly improved from 3.2 times multiple to 0.4 times in 2026 March, providing us with ample financial strength to navigate future uncertainties with confidence.

Let me now touch upon some of the key pillars in the company. Starting with R&D, we continue to make steady progress across all segments. In passenger vehicle tyres, we secured fresh approval from leading OEMs, including BMW, MINI, Genesis, KIA and Mahindra. In replacement as well, we introduced upgraded premium products across India and Europe Operations.

On the Digital front, we continue to invest in strengthening both customer-facing platforms and internal operating capabilities. During the quarter, we started the rollout of our new B2B e-commerce platform in Europe.

While continuing work in India to improve customer experience, inventory visibility, and service efficiency. We're also scaling the use of artificial intelligence across the business functions with several initiatives underway in manufacturing, logistics, and customer service to drive efficiency and cost optimization. These efforts have also received external recognition with Apollo Tyres being recognized by Amazon Web Services as a case study for our use of AI and data technologies.

On the Brand side, the BCCI partnership generated strong momentum, further amplified by the 'Har Safar Mein Dum Hai' campaign launched around the ICC T20 World Cup, which reinforced its position around performance, resilience and trust. The campaign was rolled out across multiple platforms and markets, strengthening brand connect and consumers and enhancing overall brand equity.

Moving to the People pillar, I'm happy to share that Apollo Tyres has been recognized as the Top Employer in 2026, with India Operations receiving the recognition for the first time, while our European entities continued their strong track record. Finally, on Sustainability, remains a key pillar for us. During the quarter, our climate targets received validation from the Science-Based Targets Initiative, reaffirming our long-term commitment towards net zero across the value chain.

As I conclude my opening remarks, I would like to assure that we are proactively preparing for emerging challenges and opportunities, and I'm confident that our strong fundamentals and strategic direction will support long-term value creation across our core markets.

Thank you once again, and I'll hand it over to Gaurav. Thank you.

Gaurav Kumar: Thank you, Neeraj, and good afternoon, ladies and gentlemen. Continuing from Neeraj's update, I'll share a bit more about how our operations shaped up last quarter. The consolidated revenue for the quarter stood at INR 73.4 billion, reflecting healthy double-digit growth of 14% plus compared to the same quarter last year. The consolidated EBITDA for the quarter stood at INR 10.7 billion, a margin of 14.6% compared to 13% in the same period last year.

Coming to the balance sheet, we have been able to further improve our leverage ratio, given the focus on cash flows and profitability. The net

debt to EBITDA for consolidated operations improved from 0.7x at the end of last year to 0.4x. Neeraj already mentioned the dramatic improvement we had from March '20, when we were at 3x on net debt EBITDA to the current levels. Helped by healthy margin performance, our consolidated ROCE for FY '26 stood at 13.4%, an improvement of around 240 basis points compared to FY '25.

As Neeraj mentioned in India, we witnessed a strong high teens, Y-on-Y volume growth in both replacement and OE segments. The revenue for the quarter was INR 52.4 billion, a growth of 14.3% over the same quarter last year and almost 2% over the previous quarter. We had reported a record quarter in Q3, and we surpassed the same immediately in this quarter. The EBITDA for the quarter stood at INR 7.6 billion, a margin of 14.6% compared to 11.2% in the same period last year.

As indicated earlier, this quarter had significantly higher spends, with the activation spends relating to sponsorship of Cricket Jersey, and yet we reported the margins that we mentioned at 14.6%. The A & P spends would normalise going forward and be slightly higher vis-à-vis the previous annual trend in the current and future years, but only slightly higher compared to our usual trend.

The net debt to EBITDA for India Operations has significantly improved from 1.1x in March '25 to 0.7x at the end of March '26. Additionally, following the enactment of the Finance Act 2026, we decided to transition to the concessional tax regime effective FY '27. With this transition, our applicable tax rate reduces from 34% to 25%, and consequently,

our deferred tax liabilities have provided a positive net impact of almost INR 570 plus crores and has been recognised in the P&L during the year as reflected in the net profit.

In terms of outlook, demand remains strong across categories and channels, with April already showing equally strong volume growth, and we expect the same momentum to continue through Q1. At the same time, the geopolitical developments in West Asia have added significant volatility to raw material, energy, and logistics costs, which will impact margins in near term. We are mitigating this through calibrated price increases, and disciplined cost control. Raw material costs are expected to rise in high teens on a sequential basis. And we have already announced price increases of 6% to 8% for this current quarter. More price increases would further be needed.

Coming to Europe, revenue for the quarter was EUR 170 million, down 1% Y-on-Y. The market conditions remain muted. While we outperformed the market on the passenger car tyre category, truck tyre sales were impacted by the supply issues from India. The EBITDA for the quarter stood at EUR 25 million, with an improved margin performance of 14.6%, compared to 14.3% for the same period last year. In terms of outlook, we expect a better growth momentum in Q1. April has already been positive for all segments.

As for India, the margins will remain under pressure on account of the increased cost as we attempt to offset them through price increases. The closure of the Enschede plant production remains on track. And as mentioned earlier, we have assessed now the fixed assets at the plant as we enter into the last month, and a non-cash write-off of EUR 43 million has been taken on the fixed assets this quarter.

The capacity utilisation was at a high of 90% across both our India and Europe Operations.

Overall, given the healthy demand outlook, we expect full capacity utilisation and therefore will continue to progress on our planned expansion initiatives. For FY '27, we have outlined a CapEx of INR 35 billion, with nearly 80% towards growth and capacity expansion projects. We

will continue to monitor the volatile external environment and guide operations keeping an eye on cash flows and ROCE. As Neeraj mentioned, the balance sheet remains very strong to be able to ride out the near-term difficult times.

With this, I would conclude my opening comments. Thank you. We would be happy to take your questions.

Jay Kale: Thank you, Neeraj and Gaurav. Participants, we will open the floor for questions. Anyone who has a question can raise their hand, and I'll announce your name, and then you can unmute yourself and go ahead with your question. We'll have the first question from Mr Raghunandan. Raghu, please unmute your line and go ahead with your question.

Raghunandan NL: Thank you. Thank you for the opportunity, and congratulations on a strong set of numbers.

Neeraj Kanwar: Thank you, Raghu.

Raghunandan NL: Firstly, sir, if you can talk about within standalone, how has the total volume growth in Q4 and within that, how has exports done? And if you can also give some color that within replacement, TBR, PCR, how are you seeing the growth trends?

Gaurav Kumar: So Raghu, as mentioned, for both OE and replacement, the volume growth was high teens. Exports were impacted by events through the year. So the overseas markets were muted. We had mid-single-digit growth in the export volumes and a high teens in both OE and replacement. And to your second part of the question, TBR replacement, PCR replacement, for this quarter, we had 20% plus growth. OEM, TBR 20% plus PCR single digit.

Raghunandan NL: Sir, given that there has been a lot of focus on A&P spends and market activation, and you're seeing the benefits in terms of better growth, can you talk about how has been the market share movement

in recent months and for FY '26 in replacement?

Gaurav Kumar: We don't have the official data, Raghu, that is published, or it comes with a significant lag. For the full year, we believe we have gained market share in TBR replacement and even in TBR overall. Passenger car replacement, we would have gained share, not in passenger car OEM. But that are our internal estimates.

Raghunandan NL: Got it, sir. Good to hear that. And on the export outlook side, for FY '27, how do you expect the trend to pan out and which regions, segments, how do you focus? How are you thinking about it?

Gaurav Kumar: So we will continue to look at this export strategically. As I said, our capacity utilizations are at a high. And in certain product categories, particularly on truck, we would need capacity allocation decisions given the strong demand in India. India and Europe would remain priority markets for us because they are the two home markets. And then the capacities would be allocated to other geographies. Right now, Europe is showing some promising signs. But how the situation pans out, given the events of West Asia to be seen, U.S. market is currently looking weak as we enter the first month.

Raghunandan NL: Thank you so much, sir. I'll fall back to the queue.

Gaurav Kumar: Thank you, Raghu.

Jay Kale: Thank you. We have the next question from Mr Siddhartha Bera. Siddharth, please unmute your line and go ahead with your question.

Siddhartha Bera: Yes, sir. Thanks for the opportunity. Sir, first question is on the commodity

inflation. You mentioned about a mid-teens increase in quarter one. Does it factor in the entire cost increase till now? Or do you think there can be further cost inflation in quarter two, given the current scenario? And also, how much price hike do you need further to pass on the entire cost inflation and go back to the earlier margin trends which we were operating?

Gaurav Kumar: Siddharth, currently, the situation is very volatile, as all of us are experiencing in our different industries, et cetera. Mid to high teens is the current reality. It can change because the situation, even as we have progressed, about a month and a half into the quarter, has kept changing. The current estimate is around mid to high teens. We've taken about half the price increase that is needed. So at least a couple of more rounds of price increases would be needed to negate all the cost push that is there. How would Q2 look? Difficult to predict as of now.

Siddhartha Bera: Okay. And on the CapEx, you mentioned about INR 35 billion for the year. How does it sort of spread out in terms of the India and Europe business?

Gaurav Kumar: Sure. So close to INR 3,000 crores out of the INR 3,500 crores would be in India, where we are expanding capacity both in truck and car tyres. In Europe, in the Hungary plant, there is only a passenger car tyre expansion, which is also already well underway. So the balance would be in Europe.

Siddhartha Bera: Understood. So last question on the European margins. Now we have sort of restructured the plant. So by when do you think we should start seeing benefits on the margins with this restructuring, what we have done?

Gaurav Kumar: Siddharth, the last day for the Enschede plant would be June 30th, which has been a tough, difficult, emotional decision for us. Take about another quarter as we stabilize things. So in H2 of FY '27, the positive impact of margins as we become more cost competitive for our European operations should start flowing in.

Siddhartha Bera: Got it, sir. Thanks a lot. I'll come back in a queue.

Gaurav Kumar: Thank you.

Jay Kale: Thank you. We have the next question from Mr Basudev Banerjee. Please unmute your line and go ahead with your question.

Basudeb Banerjee: Hi, team. Thanks for the opportunity.

Gaurav Kumar: Hi, Basudeb

.

Basudeb Banerjee: What is the overall stand-alone volume growth, if I wish to look from a sequential basis, specifically it's a seasonally strong quarter for commercial vehicles. So just wanted to understand, in a commodity inflation scenario, Q-o-Q revenue is up 2%, so what has been the price hikes in Q4, volume growth sequentially, and how are you looking at price hikes in Q1 and going ahead?

Gaurav Kumar: So Basudeb, the entire top-line growth of 2% Q4 over Q3 has been through volume growth. So the volume growth in Q4 has been 2% on a sequential basis. As I mentioned, we have announced price hikes of 6% to 8%, of which 3% to 5% have already been implemented in the India market, and the others are coming through in May. So two rounds of price increase have been announced across product categories.

Basudeb Banerjee: So, on a blended basis, replacement price hike, overall replacement portfolio, you mean 6% blended hike?

Gaurav Kumar: 6% to 8%.

Basudeb Banerjee: Across Q1, in two tranches?

Gaurav Kumar: That's correct.

Basudeb Banerjee: So that should get fully reflected by Q2 for sure?

Gaurav Kumar: That's correct.

Basudeb Banerjee: That's great. And second thing, sir, as usual, you say commodity -wise price during Q4, and what is the situation as of today?

Gaurav Kumar: So for Q4, the prices and the current situation is very different. Natural rubber was at INR 200, synthetic rubber at INR 170, carbon black at INR 110, and steel cord at INR 155 per kg .

Basudeb Banerjee: And the same things currently for you?

Gaurav Kumar: Current natural rubber prices are at INR 250 a kg. It started, I think, at the beginning of the quarter at about INR 220 odd, so it had already gone up. I don't have the current prices for each of the materials. Natural rubber is a more prominent one, so that one I can tell you what is the current price.

Basudeb Banerjee: Sure. And as raw -mat basket inflation looks almost 20% at least, so as per your internal maths, the 6 % to 8% replacement price hike would be good enough, or you need something more beyond that if it remains status quo, the raw -mat basket?

Gaurav Kumar: We would need further price increases, Basudeb , and given how the industry implements price increases in small quantum, we would need two rounds of price increases.

Basudeb Banerjee: Beyond the 6 % to 8%.

Gaurav Kumar: Beyond the 6 % to 8%.

Basudeb Banerjee: Okay, sir. That's good, sir. Thanks.

Gaurav Kumar: Thank you, Basudeb .

Jay Kale: Thank you. We have the next question from Mr Am yn Pirani. Am yn, please unmute your line and go ahead with your question.

Amyn Pirani: Hi. Am I audible?

Gaurav Kumar: Yes, Am yn.

Amyn Pirani: Thanks for the opportunity. The first question is on the Europe margin. On a Y-o-Y basis, we have seen some improvement. But if I go back to the two years prior to that, we are still quite low , even if I compare 4Q to 4Q. Obviously, this restructuring is going on and hopefully we should see better margins as Hungary ramps up. But what would you attribute it to the reason why the margins are because last year 4Q was also lower than the previous year 4Q and the year before that. So what is going on there if you can help us understand?

Gaurav Kumar: Sure, Am yn. And that's at the core of the decision regarding the Enschede Plant. You've correctly pointed out that the 14.3 %, 14.6 %, etc. , are lower than our previous few years historical levels which used to be a 16% plus. And the reason is that the European market conditions have been sluggish, flattish to a negative now for two years running. And in that scenario, it has been coupled with continuing high energy costs and salary inflations which are much higher than the usual for these Western European geographies.

To give you an example, based on the inflation data the last two, three years' inflation of salaries in Netherlands was around 12 % to 13% instead of the usual 4 %, 5% compounded. So the factor eating into the margins from the previous normalised levels is fundamentally that the top line is remaining the same given the market conditions but some of the other costs are escalating given the higher inflation. And that sort of brought down the margins and in fact forced us into a situation where we had to take the tough decision regarding the Enschede plant.

Amyr Pirani: Okay, that's helpful. And just coming back to the commodity inflation, you mentioned that we should expect the mid to high teens increase sequentially in 1Q over 4Q. But would it be fair to say that based on spot levels of commodity 2 Q could be even higher than where 1 Q is?

Gaurav Kumar: Fair assumption. Yes. If the situation continues at the current level, and we've seen over the 45 odd days in the current quarter that the -- at least the natural rubber has kept going up, the crude has sort of fluctuated. Yes, so Q2 could -- if nothing changes, Q2 could be marginally higher than Q1.

Amyr Pirani: Okay. Okay. Understood. Understood. Thanks for this. I'll come back in the queue.

Gaurav Kumar: Thank you , Amyr .

Jay Kale: Thank you. We have the next question from Mr Vijay Pandey. Please unmute your line and go ahead with your question.

Vijay Pandey: Thank you for taking my question. Am I audible?

Gaurav Kumar: Yes, Vijay.

Vijay Pandey: Sir, firstly on Europe, so the commodity inflation there, you will be seeing there also the impact. So, I wanted to understand how much price hike can we take in Europe, both on the commodity inflation as well as the higher energy prices. Have we taken any increase there or how is it?

Gaurav Kumar: We've announced a 2% price increase in Europe also, Vijay. Europe, we are more a follower given our size relative to some of the global majors. So, we follow their pricing actions based on their announcements. You need to keep in mind that for the same level of increase of raw material, the price increases needed in Europe are smaller. So, if India needs almost two-thirds price increase vis-a-vis the raw material basket, Europe needs it less than half. But that said, we would need further increases even for our European Operations.

Vijay Pandey: Okay . Thank you. Secondly, sir, I wanted to understand just on following up on the previous question, is it possible for us to go to a 16% EBITDA margin in Europe two years down the line in a long-term scenario -- mid to long-term scenario or that do you see to be ...

Gaurav Kumar: We definitely believe that in a normalised scenario, we will get back to a 16% which was our earlier normal , and in fact, we believe we can even surpass that.

Vijay Pandey: Okay. One more thing, if you can just let us know the advertising and sales and marketing expense. So, how much was it for this quarter in terms of as a percentage of sales? And I think generally it's at around 2.5% . So should we expect this level for '27 also, and what was for this quarter?

Gaurav Kumar: Sure. So the advertisement and sales promotion, which as I mentioned, reflected the recent sponsorship of the Jersey and then the activation was higher by more than INR 100 crores in terms of usual. So against a typical 2% of sales, we were at 4% of sales for the current quarter. I have talked about it earlier. Going forward, we would expect , as growth kicks

in, etc., for it to be around a 2.5% plus of sales. We would move up in a longer term trend, but not to the extent what is being seen is in this quarter.

Vijay Pandey: Okay. Okay. And so lastly, if I may, can you give us the bifurcation between the international rubber and domestic rubber for your raw material basket?

Gaurav Kumar: There would not be any significant differences, Vijay. I would not have that readily because I get t

he overall basket cost, but typically, the domestic rubber growers price it very close to the landed cost of overseas rubber. It's a very transparent market. So it's not that there are significant differences between the two sources.

Vijay Pandey: Okay. Thank you.

Gaurav Kumar: Thank you, Vijay.

Jay Kale: Thank you. We have the next question from Mr Arvind Sharma. Arvind, please unmute your line.

Arvind Sharma: Hi. Good evening, sirs, and thank you for taking my question.

Gaurav Kumar: Good evening, Arvind.

Arvind Sharma: Hi. It's on the pricing environment right now. You did say you've taken price hikes and more are underway. Given the cost pressures, raw material, as well as energy, how do you see the overall pricing environment, including the competitors?

Gaurav Kumar: So, Arvind, everybody has announced price increases. Apollo Tyres and CEAT are slightly ahead of some of the other peers. So price increases have been announced by everybody. There are timing differences and there are slight quantum differences.

Arvind Sharma: Right, sir. And from here on, like going ahead, since you said there are more cost pressures underway and we do see new competitors as well as jostle for market share, do you think that the pricing environment would remain such or there could be aggressive pricing according to your estimates?

Gaurav Kumar: See, right now, given the cost push, the aggressive pricing in terms of discounting, I don't think would happen. Aggressive pricing would mean delaying price increases, etc. The good side is, A, demand is very strong, we are fairly close to our peak capacity utilization, so that's a plus. And the other point, as Neeraj mentioned, the balance sheet is strong, so there, yes, near term, there would be margin pressures. Longer term, we have always taken the price increases to catch up, as has been demonstrated multiple times in the past, and we are seeing good growth momentum.

Arvind Sharma: Thank you. Thank you, sir. And just quickly, any views on imported tyres possibly increasing their presence?

Gaurav Kumar: The import of tyre remains at a certain level, there is a little bit more in the passenger car tyre category, very little in the truck tyre category. We don't see any reason for that increasing dramatically in the near term.

Arvind Sharma: Sure, sir. Thank you so much for answering those questions. That's all from my side.

Gaurav Kumar: Thank you, Arvind.

Jay Kale: Thank you. We have the next question from Mr Vedant. Please unmute your line.

Vedant Kshatriya: Hi, sir . Thanks for the opportunity. Sir, I just wanted to know that you have taken like a 6 % to 8% price hike, and the overall raw material impact is around about mid to high teens. So any sort of other cost levels or any sort of other hedges that you have to mitigate these apart from price increases?

Gaurav Kumar: So Vedant, raw material is our biggest cost basket. Ability to negate that completely through other cost levers is limited. That said, everything possible is being done to reduce costs, whether it is things like travel costs, conferences have been postponed, whatever costs can be not incurred currently, given the cost pressures , are being done. But the cost basket of raw material versus the others is quite disproportionate.

Vedant Kshatriya: Okay. Thank you, sir.

Gaurav Kumar: Thank you, Vedant.

Jay Kale: We have the next question from Mr Mumuksh Mandlesha. Please unmute your line and go ahead.

Mumuksh Mandlesha: Yeah. Thank you, sir, for the opportunity. Just on the RM basket, sir, for Q4, what were the blended chains, sir? Is it flat, sir?

Gaurav Kumar: For Q4 over Q3 was a 1% increase, Mumuksh.

Mumuksh Mandlesha: Okay, sir. Got it, sir. So just on the Europe inflation part and also the energy feed cost, is it possible to quantify what kind of a cost pressure would be there in Q1, sir?

Gaurav Kumar: I won't have the numbers on the energy readily. On the raw material side, the basket would be going up by about low to mid -teens. Since the natural rubber consumption is much lower there, the raw material cost inflation would be a little lower in Europe vis -a-vis India Operations.

Mumuksh Mandlesha: In Europe, I mean , going ahead, we are taking a 2% price hike. So are you seeing more price hike ahead?

Gaurav Kumar: Right now, we haven't seen competition announcing it. There has been talk of price increases. We are waiting to see what competition is doing.

Mumuksh Mandlesha: Got it, sir. Just on the OEM side, I just want to understand how much would be the lag there in terms of taking price hike and is the prices fully being passed on or there is some negotiation to delay the price hikes?

Gaurav Kumar: So with a large number of our OEM customers, we follow a pricing formula which kicks in with a lag of three months. So the pain would be there for three months and then the entire raw material basket cost push goes up. But that's not for 100% of the OEMs. In some cases, it's a negotiated figure , and that is going on. We have got small price increases already, but not enough to counter the raw material cost push.

Mumuksh Mandlesha: Got it. And lastly, on the exports also, how are the price hikes there, sir?

Gaurav Kumar: Export market for us, the biggest one is Europe, which is both a home market and an export market from India. The other market, for example, is U.S., where the demand is weak, but we have still announced increases to the tune of mid to high single digits.

Mumuksh Mandlesha: Got it. And sir, here the exports piece, the IN R depreciation would also support the – negative impact.

Gaurav Kumar: That's correct.

Mumuksh Mandlesha: Got it, sir. Thank you. Thank you so much for the opportunity.

Gaurav Kumar: Thank you.

Jay Kale: We have the next question from Mr Rishi Vora . Please unmute your line.

Rishi Vora: Yeah . Hi. Thank you for the opportunity.

Gaurav Kumar: Hi, Rishi.

Rishi Vora: First, just first question on the demand, right? You talked about good trends in April and possibly continuing in first quarter. But when we take whatever 6 %, 8%, 10% price increase, how should we think about demand during second half of this financial year, especially in the TBR replacement segment on the backdrop that the tyre cost would go up? And obviously, there has been a diesel price increase as well that has happened and can further go up. So the fleet operators profitability over time will get impacted. So how should we think about demand is going into second half of FY '27?

Gaurav Kumar: Rishi, that would largely depend on the overall GDP growth, etc. And we see predictions on that changing. They have been brought down slightly. You are right that if the continued inflation, both on the fuel side, tyre, and other materials continue, there would be some impact on the overall GDP and hence the demand. Currently, in spite of these price increases, which April is behind us, and as I mentioned, the demand is as strong as what we were seeing in Q4. So the immediate outlook seems still continues very strong in spite of all these factors. How the second half pans out, right now, things are just too volatile to be able to make any definitive statement.

Rishi Vora: But in your experience, in this type of inflationary environment, when we take price increases, is our customers that price -sensitive in that category? Or you think that they'll kind of absorb this hike and demand will still be steady, at least from a historical context?

Gaurav Kumar: From a historical context, new vehicle purchases might start getting impacted first. If there are goods to be moved, then they will be moved, albeit at higher cost. And finally, consumer takes that higher cost

be
cause the chain keeps passing on that cost. But definitely, people tend to first start postponing the new vehicle purchases, whether it's on the truck side or the car side.

Rishi Vora: Understood. And on the Europe business, this year we did around EUR 670 million of manufacturing operation revenues. And post the closure of Enschede , how should we think about revenue drop that can happen? Obviously, I understand some will shift to Hungary, some will shift to India. But is there a potential revenue loss which we should factor in going into FY'27 that can happen?

Gaurav Kumar: There could be a potential revenue loss on only one product category, which is the agricultural / OHT, which was a small capacity that we did not manufacture in any of the other plants. And in some of those cases, we may lose some of the OE business, which anyway was a loss -making business. So it would be a conscious choice. For all the other product categories where we had similar production in our other plants, whether in Hungary or India, we would have the ability to supply the markets.

Rishi Vora: And what would the agri -contribution would be, like 1%, 2% of revenues?

Gaurav Kumar: The agri -contribution overall was about 12% of our revenues. And within that, the OE piece would be about half of it. So let's say 5%, 6%.

Rishi Vora: Understood . And just last bit on the closure of the plant, is there any cash outflow which we should expect in FY '27 or everything has been accounted for in '26?

Gaurav Kumar: So there would be cash outflow Rishi in FY '27. There's a payout of social plan as per the agreement of about EUR 50 million that has already been provided for in the earlier quarters. In the exceptional items, there was a cash component and non-cash component. So we don't expect a cash provision over and above what we've taken.

Rishi Vora: It says EUR 50 million of cash outflow will happen in '27.

Gaurav Kumar: Yeah, that and then there are certain costs linked to that legal costs, etc. So there's an overall EUR 55 million plus of cash provision that has already been taken.

Rishi Vora: And what will be the tax for Europe?

Gaurav Kumar: About 20%.

Rishi Vora: Okay. So blended now would be like 20 % for Europe and 25 % for India going forward.

Gaurav Kumar: That's correct.

Rishi Vora: Understood. Thank you and all the best.

Gaurav Kumar: Thank you, Rishi.

Jay Kale: Thank you. We have the next question from Mr Joseph. Please unmute your line.

Joseph George: Hi, thank you for the opportunity. I have three questions. I'll take them one by one. So the first one is, you mentioned that the demand environment is extremely strong right now. But if these macro challenges, etc. continue, there's a possibility that we might see some slowdown in terms of absolute volume growth. And in that context, how much flexibility do we have with respect to the large CapEx that we announced last quarter, the INR 5,800 cross CapEx? Is it something that cannot be pushed out? Or is it somewhat flexible?

Gaurav Kumar: There is some flexibility, Joseph. But as I mentioned, as we saw in Q4, our capacity utilization were already 90%. Through April, we struggled in terms of keeping up with the demand. So right now, we would definitely be going ahead as per our CapEx plans. If we see slowing down, we would have some flexibility for FY '28. FY '27 would largely be committed.

Joseph George: Understood. Gaurav, the second question that I had was in relation to exports. Now, if you look at the rupee, rather euro-INR rate, that has moved very favorably. So in that context, two questions. One is, do we - I mean, does the standalone entity get the benefit of the rupee depreciation on the exports to Europe, one? And second, in that context, India becoming far more low-cost for production. Is there a scope for increasing the production in India to

to cater to the European markets?

Gaurav Kumar: So under the transfer pricing regulation, Joseph, for our European Operations, particularly, India can only retain a fixed margin. So as a step a standalone entity, it would not get the benefit. The overall group would benefit by the devaluation of the rupee. On your second question, yes, definitely, if you see the quantum of capacity increase in Hungary versus India are very different. And we will continue to leverage and take advantage if the India cost structure becomes even more cost competitive for serving not just Europe, but even other export markets.

Joseph George: Great. The last question, Gaurav, I have is on the Reifencor revenue and EBITDA numbers, if we can share. Thank you.

Gaurav Kumar: So the Reifencor number for this quarter was EUR 40 billion and EBITDA just under 2%.

Joseph George: Perfect. Thank you. That's all I had.

Gaurav Kumar: Thank you, Joseph.

Jay Kale: Thank you. We have the next question from Mr Yash . Please unmute your line and go ahead.

Yash Agrawal: Hi, thank you for the opportunity. Could you share your thoughts on market share trends across both TBR and TCR segments, particularly across OEM and replacement channels?

Gaurav Kumar: Yes, as I mentioned earlier, we don't have exact market share. We believe we've gained market share in the TBR replacement category in the current year. MRF and us would be the two leading players in the TBR category overall numbers wise, we should.

Yash Agrawal: Yeah, and my second question was on the channel inventory levels across category. How is that shaping up after like strong start to the year?

Gaurav Kumar: In India, there's no marked difference in terms of inventory levels at the dealers.

Yash Agrawal: Okay, sir. Thank you. That was very helpful.

Gaurav Kumar: Thank you, Yash.

Jay Kale: Thank you. We have the next question from Mr Vijay . Please unmute your line.

Vijay Pandey: Just a follow-up in the presentation you have mentioned for the Europe that there is the revenue decline is because of the operating income. I just wanted to understand what is that ?

Gaurav Kumar: Sure. So , Vijay, as I mentioned, we in fact had a volume growth and given the raw material trend in Q4, there was a overall price mix. So the revenue decline from pure sales, etc. , was 1%. The balance 2% which is contributing to the 3% overall decline is the other operating income. We had received state aid from Hungary / EU, when we set up the plant. And we met all our commitments as of the end March '25. But as those assets move to India, the TBR assets, some of that other operating income, which was being amortised and accrued, because the benefit was over 10 years, has to be moved out of Hungary. And that's why you see the drop vis-a-vis the similar quarter last year.

Vijay Pandey: Okay . And this will continue for the next three quarters as well, right?

Gaurav Kumar: Yeah, this will come down because the TBR assets are no longer in Hungary. It's not a cash impact, because the entire state aid has been received. It was to be amortised over a 10-year period, and not just on receipt.

Vijay Pandey: Okay. Okay. Thank you , and all the best .

Gaurav Kumar: Thank you, Vijay.

Jay Kale: Thank you. That was the last question. On behalf of Elara Securities, I would like to thank the management. Thank you and all the best.

Neeraj Kanwar: Thank you.

Gaurav Kumar: Thank you.